

VIP Industries (VIPIND)

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1st August , 2022

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Code No. 507880 and 959982 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051.
Code – VIPIND

Subject: Transcript of Earnings Call on Unaudited Financial Results (Consolidated and Standalone) for the quarter ended 30th June, 2022

Dear Sir/Madam,

In continuation of our letter dated 20th July, 2022, we enclose herewith transcript of the Earnings Call held on 27th July, 2022 on the Unaudited Financial Results (Standalone and Consolidated) for the quarter ended 30th June, 2022. The same is also available on the Company's website at <https://www.vipindustries.co.in/TranscriptofEarningsCall> .

The discussion was mainly on the Company and there was no unpublished price sensitive information was shared / discussed in the call.
Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Anand Daga
Company Secretary & Head – Legal

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"VIP Industries Limited
Q1FY23 Earnings Conference Call"

July 27, 2022

MANAGEMENT

MR. ANINDYA DUTTA – MANAGING DIRECTOR – VIP INDUSTRIES LIMITED

MS. NEETU KASHIRAMKA - CFO - VIP INDUSTRIES LIMITED

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VIP Industries Limited
Conference Call
July 27, 2022

Moderator : Good evening, ladies and gentlemen, and welcome to the VIP Industries Limited Q1 FY23 Earnings Conference Call. From the senior management we have with us today, Mr. Anindya Dutta -Managing Director and Ms. Neetu Kashiramka – Chief Financial Officer . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anindya Dutta - Managing Director, VIP Industries Limited. Thank you and over to you, Sir.

Anindya Dutta: Hello and good evening. Thank you for joining this call late in the evening. We've been putting late evenings ourselves to bring out our results faster, and I believe this is the fastest we've been till now, and hopefully we'll strike and we will improve further beyond this. Before we talk about the results, firstly I would like to tell you that at VIP the whole team is very happy to have a disruption free Q1 , the peak season quarter , which we were eagerly awaiting for the last two years, since Q1 was completely washed out because of pandemic. And with the conducive environment, and more importantly, with all the hard work that the team has put in, I'm quite delighted to announce the revenues were at ₹591 crores , which is the highest revenue quarter that we have ever

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reported. This is also a 5% growth over the pre pandemic Q1 FY20. Just to contextualize the environment on one side travel opened up in a very nice way. We saw sequential growth in airline passenger traffic both in April and May. However, the level of domestic passenger traffic was not same as what was in Q1 FY20 , it was slightly lower , and we also saw a slight decline in the month of June. International travel has also opened up while it's still gaining momentum. We didn't see much of a corporate travel coming back, and that's not something that we were expecting to happen. By and large, I think travel is coming back and that's quite helpful for us. During the wedding season there were enough wedding dates within the quarter, and I think it was celebrated the way it should be and we got the benefit of that. The schools and colleges opening helped us in terms of the sale that is dependent on the consumption because of schools and colleges. So overall a very good conducive demand environment. But while we say that I think there were equal or newer headwinds that we were facing . On the inflation side , we are dealing with an inflation that we have not dealt with for almost a decade, we are approximately at a 24% inflation over the same period last year, this inflation is not only putting pressure on our profitability, but also could be a potential demand dampener . Besides inflation, one more key call out here is the future group and the closure of stores in the transition. It had a big impact on us , out of the 430 stores of future group across all its banners , only 44 were operational in Q1 for our business. We had a high dependence on this one account, ~15% of our revenues used to come from future group stores , all banners put together, pre pandemic , and that was extremely constrained in this quarter and we had to look at avenues to regain the demand that would have happened because of future group. We are expecting this revival to happen by Q3 hopefully. In spite of the

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headwinds as you can see, the result has been quite good. If I were to talk about the performance

in channels, modern trade was the largest hit in this whole thing because of future group did make up at least 50% of the loss through other accounts within modern trade and a large part of this was also made up by other channels. In retail (exclusive business outlets) has performed very well. It has come back to the same revenue as it was in Q1 FY20. With almost 100 stores lower than what was in Q1 FY20. Even general trade expanded and got the business very well. In fact, one of the things that general trade is taken on is to see how do we penetrate further down pop strata and during the quarter we had 68 new towns opening up for us. E-commerce performed well in driving the growth, but e-commerce is now a place where we always have a much higher potential than what we are possibly getting largely because of coming from a relatively lower share in e-commerce. So by and large I think all revenue streams in terms of channels performed very well in terms of our brands and categories also, we had great performance both in the value segment as well as in the premium segment. VIP and SkyBag Brands created good buzz in the market with high decibel campaigns. In fact, we were the only brands active on TV in the last three months. Campaigns like "the Wedding collection" using with the protagonist Vaani Kapoor or "change the world" with Varun Dhawan really did well for us. Even on Caprese we went back on air with digital and print brand activation and the Caprese brand as well has come back to its pre pandemic level. Besides the brand activation, many new launches were done in this quarter and I'm very happy to share that all of our new products (whether it is in tech themes or the high fashion zone) have done extremely well during the quarter for us. So overall, the revenue has been pretty good. When we look at the gross margin, that's a bit of a dampener from what we were expecting, and are
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largely coming from the inflation that we experienced we saw gross profit of 50% which was sequentially lower than the previous quarter, largely because the previous quarter had the price increase kick in. However, the cost increase or the inflation really took place in this quarter. Price increase was designed to cover part of the inflation and it was designed to take a slight hit on gross margin this quarter because as we go ahead with other cost reductions we will neutralize the impact of the inflation. With all that very happy to say that our EBITDA is at 18.3%. The control on all other fixed costs was in line with what we had planned and therefore it gave us a EBITDA 18.3% and PBT of ₹100 crores. We continue to remain strong on our fundamentals, whether it is building the channels or building the brand and more importantly building our supply chain. We've often spoken about our own manufacturing and control manufacturing share as part of whatever we are selling and that scaled up to a 79%, which is quite heartening to see. Going forward, we are quite confident about the demand environment to remain stable, while the inflation and the areas on some of the channel like future groups will continue to put pressure on us but as the overall environment stabilizes we are more confident to work through these constraints and make sure the fundamentals that we are building helps us to continue to deliver good results. With that, thank you and I would now open the session for questions.
Moderator : Thank you very much, ladies and gentlemen. We will now begin the question and answer session. First question is from the line of Karan Khanna from Ambit Capital, please go ahead.
Karan Khanna: Can you talk about what's been the volume recovery now v/s pre Covid during the quarter and as a follow up what would have been the revenue
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losses which the company would have seen during the quarter given the impact of future group.

Anindya Dutta: So the volume growth is 8% on the base (FY 20) and it's difficult to quantify what is the loss because of future group , since the stores were not open, but overall the consumer demand was caught in other avenues and other channels so we had a plan to look at the catchment area wherever the store is shut and we activated our own stores or MBO's nearby. We also take took up fast and whatever else is possible . Especially in malls where these stores were there. So if you see overall, I would think that we have almost recovered or whatever the future group last was in in most of the other channels. But one cannot say for sure there would be some loss . Overall, I think given the performance that we've had , it seems that large part, at least of what could have potentially happened through future group, was captured in other channels and other stores.

Karan Khanna: On the raw material front, if we can just talk about how the situation is now v/s the previous quarter and what's your take in terms of raw material going forward, will the prices cool off or will the benefits be passed on to regain market share which has been lost over last two years.

Anindya Dutta: It's a little mixed bag in terms of what we're seeing in the market right now as far as raw material is concern . There is some softening that we are seeing, but there is continued high inflation in many other components and raw material that we have . In the immediate quarter I think we are already covered for the raw materials, so we expect the inflated conditions to remain for us in the immediate quarter. However, slightly in the long term, it's quite volatile for me to predict right now. What benefits could come in from where we are right now . As the benefit comes in, I think our
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strategy on competitiveness and profit remains the same where we continue to walk a tight rope as long as we continue to strive to Market share gain while we have healthy gross margins and overall profit.

Karan Khanna: On the supply chain front while your dependence on China has reduced to around 11%, can you give us some sense if there has been any disruption with respect to raw material procurement given the current lockdown situation in China? And also what happens with the supply for backpacks and handbags and premium luggage which are still imported from China?

Anindya Dutta: On the raw material front, yes, there has been quite a difficult condition in terms of disruptions from China. A part of it was covered through a little bit of pre planning and some bit has happened . We're trying to bend things "here and there " to make the ends meet, so that's going on. But as China stabilizes , I think the flow will stabilize. As far as buying finished goods on the high fashion portfolio which is Caprese and backpack , part of it will continue to happen from China and barring the disruption of days and weeks whenever we have had in the past or if we will have happened in the future, we are trying to cover that up with having extra inventory in some of the core areas that we believe will be high sellers.

Karan Khanna: And lastly, in the recent annual report you mentioned you were looking to add 120 -150 EBO's this year via asset light expansion. This roughly implies a run rate of around 30 -35 stores per quarter. Can you help us understand if you're on track for this and how many stores have you opened?

Anindya Dutta: So just to reveal some numbers here in this quarter we have added 21 stores and we have signed up 23 more stores within this quarter, so I'm quite sure that we should be able to maintain the run rate.

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Moderator : Thank you, the next question is from the line of Bharat Chedda from ICICI Securities . Please go ahead.

Bharat Chedda: Despite there is a raw material inflation, it is credible that you have maintained gross margin at 50% level. But if you look at EBITDA margins then probably it is at 17.4% compared to probably Q1 FY20 where we had a margin of around 22.2%. So what has been the reason for this EBITDA margin being lower?

Anindya Dutta: Firstly, I think EBITDA margin is 18.3, if the number is correct. We have converted ourselves to our own manufacturing and that has changed the cost line from gross margin to more overheads and fixed costs. So as we expand our own manufacturing, that cost is not coming below the Gross Profit line. The pressure is not in below the Gross Profit line but the pressure is really in the gross margin line which is purely happening because of the completely unprecedented high level of inflation that we are dealing with.

Neetu Kashiramka: Just to add, there were one or two additional expenditures like exchange rate fluctuations which impacted the EBITDA margins. 2% of EBITDA margins actually impacted because of exchange rate fluctuations. If you see the slide we have given other expenditure details, you will get that information.

Bharat Chedda: Related to this, what kind of margin are we looking at for the full year? Will it be in the similar lines to this quarter or we can expect an improvement in the EBITDA margin for FY 23 overall?

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Anindya Dutta: We would love to maintain this but to be honest, it's quite volatile for us to predict right now, but given the conditions stabilizing, I think anywhere between 18%-20% is what we should aim for in the second-half of the year.

Bharat Chedda: Need clarification about the volume growth, you said is ~8% vis-à-vis Q1 FY20. Is that correct?

Anindya Dutta: That's right.

Bharat Chedda: But if you look at in the value growth totally for that period is around 5%. Is my number correct?

Anindya Dutta: You are actually right the mix is in favour of the value portfolio, which is changing the value-volume equation.

Moderator: Thank you. The next question is from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: In your opening remarks, you sounded a bit disappointed. I'm not sure if I read it correctly, but is it that there was a part of demand which was there and we could not cater to or where you slightly disappointed with the demand itself because you also spoke about air passenger traffic not going to pre COVID level in the quarter.

Anindya Dutta: Tejash on a lighter note, I think you should see the time on the watch and decide is it disappointment or fatigue. We just finished a long meeting but absolutely not disappointed. I think it's a brilliant performance. Much awaited that we were wanting to get to and this has added all confidence in the team. Yes, there are many moving parts in the business and we got to manage all of them. So the good news is that as we speak right now,

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whether it is a fourth wave or not, I think the consumption of our products has become steady and this itself is going to multiply all the efforts that we've been putting in the last eight quarters to stabilize our business. So I'm quite optimistic and confident about the future.

Tejash Shah: Secondly, I think Neetu Madam also spoke about in the previous question that visibly alpha's contribution pre COVID to post COVID has actually picked up materially and as you also mentioned while answering in previous question that it is the reason of margin dilution also, but just wanted to know is this focus largely consumer demand driven or we were

highly under indexed in this segment and that's why we have put a disproportionate focus on this part of the segment.

Anindya Dutta: No, I think it's a brilliant question because yes, it is coming from an under indexed part in the value segment. Also what is happening is that there is a higher tailwind in the value segment which pandemic has brought in with maybe unorganized market yielding into organized . So definitely from every reason you see it is very important to address that from a share gain and also from a growth point of view, because that's where the market is growing faster. In fact, our approach and our strategy was to see how do we cater to this more profitably, and therefore the hard luggage, and within that the hard luggage made out of polypropylene is what we went after and we put capacities , we have invested capital behind it and that 's something helping us right now not only to cater that demand but also what we would have otherwise done, we are doing it slightly more profitably.

Tejash Shah: So similarly, bag packs if you see the saliency there it has a wide gap between pre COVID to now. So intuitively, we would have thought that the

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pent up demand of school and back to school and back to office would have normalized in this quarter, but it is not visible in bag packs going back to the pre COVID number. So any insights if you can share.

Anindya Dutta: Yes, you are right that the demand with all the demand drivers has come back. I think what has happened from our side, which is not really fully worked for us, was the delay in the launch of the new collection that we had. So there was a miss from our side in terms of a slight delay in the launch of that, and possibly we didn't get enough of what the demand brought to us in the last quarter, but again, fundamentals in place. I think this is just a correction and in the series of many corrections this is a slightly delayed correction that we've had.

Tejash Shah: Last question on the business model change that we spoke about that , after almost 15 years the focus is coming back on domestic production. And that also means , that part of the value chain profit will be captured in our P&L, but at the same time how should we think about the ROCE going forward ? Because Capex intensity should increase logically from here on.

Neetu Kashiramka: Our business per say is not to Capex heavy so payback is 18 to 24 months . So from that point of view, if you see our return on capital employed is ~30%.

Tejash Shah: If you can share Capex plan for this year and next if you have.

Neetu Kashiramka: So this year we have, Capex plan of ~₹50 crores .

Tejash Shah: And this will be for Nasik facility ?

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Neetu Kashiramka: Not only Nasik , it is a mix of all Bangladesh , Nasik, as well as some more.

Moderator : Thank you. Our next question is from the line of Jinesh Joshi from Prabhudas Lilladher . Please go ahead.

Jinesh Joshi: I have a question on exports , I understand that it shares about 3% -4% currently. But given the fact that most countries are now looking to diversify their supply chain from China post the pandemic . Are we seeing any increase in enquiries over there? The reason I'm asking this question is because in the past it will be about 10 % to 12% of our top line. So can we expect to reach that level in the near future?

Anindya Dutta: Firstly I think, international business could mean a very large opportunity for us, which we haven't exploited or explored in the past to that magnitude, but we would like to do eventually in the future. But we had a certain export business in the past, pre pandemic. Firstly, I think in this quarter we've not only come back to that level, but we have

surpassed that

level. In Q1FY23 export , stands about 5% of our revenues. And this is not only the China and the supply, but also the export and the front end team is working hard to reopen every country and every sector that we had. We

had about 20 odd countries to which we were selling in the past, we have exceeded that in this quarter. So two parts to that to see one is to reactivate what we had in the past. I think we have reached like in all other areas reached and surpassed that base, with some gap from now we would look at possibly going into international with a much bigger game plan.

Jinesh Joshi: Any specific geography you would want to highlight?

Anindya Dutta: So in our existing business, I think Middle East and largely GCC is where the core of what we're doing lies. We had a change of channel partner in UAE.

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We have now entered the Saudi market. So these three countries are yielding well for us in the previous quarter, and what we see in the near term we should be getting better and better there and exports into many other countries in Southeast Asia or some European countries that also resumed what we had before.

Jinesh Joshi: Secondly I have a question on Capex. I know this sounds a bit repetitive, but if I recollect properly in the last call we had stated that we have plans to incur Capex of about ₹30-₹35 crores, but in the annual report that figure was mentioned as ₹65 crores. And in response to the previous question into, ma'am gave a figure of ₹50 crores so, I just want to collate the numbers in a better way. Which area are we spending into and the reason for diversion in numbers as well.

Anindya Dutta: This is for the previous year.

Jinesh Joshi: No FY23.

Anindya Dutta: So we will come back to you with all the number part. On the difference in number in whatever sources you are looking at. But then what Neetu said right now it is order of the magnitude ₹50 crores is what we have outlaid for this year.

Jinesh Joshi: No problem, we'll take it offline. One small clarification, we have some exceptional gain of ₹15 crores with respect to fire insurance claim, but total amount which we were supposed to receive was approximately a ₹48 crores. So any specific reason why we have received the partial payment and not full payment in this quarter?

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Neetu Kashiramka: So the survey report is not completely out. This is an interim payment which has come and we have accepted because at least now it justifies that the claim is legitimate. So we are expecting around ₹41-₹45 crores of payments recovery on this, which will come only by Q3FY23.

Moderator: Thank you, our next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.

Bhargav Buddhadev: My first question is that offsetting the loss of the future group, which was about 15% of revenue has been a commendable effort. So if the future group comes back, do we see this as additional revenue? Or how should we look at?

Anindya Dutta: No, it won't be. See the way I said that there is an overall demand in the market and shifting between stores or channels is quite possible. So as I said, the way we made up for it is by having a catchment area strategy. When it comes back, I think it will reorganize itself to that, but it's very difficult to quantify that how the particular retail chain or the store does drive the demand further overall for the category and yes to that extent one is fully functional. I'm hopeful that it will add something more than whatever, because wherever else we are getting that kind of attraction may also continue at a higher base. There's no perfect science to this because finally it is the consumer demand met through various stores or by different channels. And there is a lot of fungibility between them, so when it comes back it is it will be a very welcome situation when future group fully becomes operational.

Bhargav Buddhadev: Secondly, on the LFS side the earlier VIP wasn't that aggressive and they

were giving our businesses to competitors, but now we understand that
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your team has become fairly aggressive and they have started increasing their share on the LFS side if you can sort of elaborate briefly on this side in terms of what is the penetration and the opportunity over here.

Anindya Dutta: I don't share the same perspective that we were not very aggressive and we are aggressive now we are aggressive across. And the LFS side does represent, the premiumization agenda that we have, whether it is with Caprese or whether it is with luggage and therefore VIP and Skybags. That channel and that sector for us is high yielding for premium and more fashion related range within our brands so we will continue to be aggressive on that and it's more about segmenting it right and we're putting the right agenda and the right strategy behind each of these channel segments that we have.

Bhargav Buddhadev: My third question is which areas of talent in your opinion, are we still short off and what are we doing to fill these gaps?

Anindya Dutta: This is something that we've been working very hard in the last four quarters. In terms of building up the team, we are at relatively much better position than what we were about a year back. But we continue to look for better and higher talent in e-commerce. Definitely, that's one area, along with that, in the innovation side and therefore design and product development sides. So these are areas which are very strategic. And these are going to be a newer journey for us going ahead and therefore that's an area which is more under focus for talent build from here onwards and other areas that were under priority is being done.

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Bhargav Buddhadev: And my last question is that now with the currency depreciation being so sharp and we being more sort of backward integrated and also sort of manufacturing more in India, is it fair to say that we are now fairly well placed as opposed to our competition? Both organized and unorganized.

Anindya Dutta: Well, I would say we are relatively better, but "glass is still half empty". There's a lot to do in terms of our raw material and finding out an alternate sources of raw material. We are still dependent on China for a large part of our raw material and streamlining all that. So the agenda isn't over, I think we have made a very solid big start. We could be ahead, but what we see is that there is still some more to go before we can really say that we have consolidated on this one strategic shift that we had done in the organization.

Moderator: Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: Just wanted to understand how has been the online performance for the quarter.

Anindya Dutta: The online performance was good, both sequentially as well as on the base that we had both the last year and the 19-20 base, we have simply grown by excess of 50% on all accounts. As I said, while having said that, we think that it could always be better because this is where we are and we do not have the share that we have in other channels or even our overall share in the market. So there is a catch up game that we are playing as well as ecommerce is concentrated mostly in the marketplaces.

Ankit Kedia: Sure, and so my second question is what is the learning from the future group which we have had having a high dependence on one group, so

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incrementally would reliance also have a high single digit market share for

us or revenue contribution for us along with certain sales. So are we de-risking ourselves to a particular group or we continue to have high dependence on particular channel of Group.

Anindya Dutta: No, I don't think we can see it like that, because depending on how big the retail chain is, brings us a certain opportunity and the idea is to maximize in each one of these channels in terms of our share and salience. So it is not in our hands to de-risk by saying that if the chain is doing very well, we don't want to have high share because we want to have low dependence. That doesn't make sense. Yes, the situation that has happened in the last quarter is unfortunate, I could only say unfortunate because of our high dependence, but one cannot have a strategy of lower dependence on a chain which would only happen if you decide to have lower share in that chain.

Ankit Kedia: And what would be our dependence on reliance today? Because lot of the stores would be taken over by Reliance now.

Anindya Dutta: When that happens we will get a sense of what volumes are stabilizing. This question would be more to reliance in terms of where they are seeing the big Bazaar volumes overall. And for my category, how much they will come back to, but that's something only future will tell us.

Ankit Kedia: Sure, and my last question is on the A&P Spend. The quarter we have had around 5.5% of A&P spends. Do you think for the full year around 5% would be the ballpark number we would maintain A&P spend this quarter.

Anindya Dutta: Yes somewhat like that.

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Moderator: Thank you. The next question is from the line Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh: So the first question is on the contribution of polypropylene (PP) with hard luggage through the total sales and polycarbonate (PC) with hard luggage through the total sales.

Anindya Dutta: Total sale of hard luggage or the overall company sales.

Akhil Parekh: No, no within that. The breakup of polypropylene based hard luggage and polycarbonate based hard luggage.

Anindya Dutta: We can share the data, don't have it ready right now, maybe offline. We could connect with you and give you the data. If you want a ballpark, I can give you some understanding. It's roughly between 70-30 kind of a split in hard luggage but precise numbers I'll share with you later.

Akhil Parekh: And if you can highlight margin differential between PP and PC level.

Anindya Dutta: Well, margin is a price dependent variable, but I can tell you what is the per kg cost difference between polypropylene and polycarbonate; polycarbonate is almost 70% more than a polypropylene on a per kg basis of the raw material.

Neetu Kashiramka: But margin wise it doesn't differ much. It is 1%-1.5%.

Anindya Dutta: yeah, because the pricing is different. So we are using polypropylene to more fight in the value game, and polycarbonate more is in the skybags and VIP in the premium segment. So margin is a derivative as I said of pricing.

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Akhil Parekh: What is the difference between landed costs of a China based manufactured luggage vis-a-vis in-house manufactured luggage in India?

Anindya Dutta: Again, difficult to give one number on that, but in Bangladesh the raw material and the duty arbitrage overall on an apple to apple comparison is about 15% for us.

Akhil Parekh: Value segment growing at a faster clip, and you briefly alluded that there is a translation that is happening from unbranded to branded but would it also be possible that there is a down trading happening where a VIP consumer is going for aristocrat product. Given that the

RM inflation is very high and we are observing that value conscious consumer is moving

towards the lower priced product, so would that be a possibility by any chance?

Anindya Dutta: Yes, I cannot deny a possibility, and knowing that there is a possibility, we from our side do everything in our product mix that we create. Post understanding the target audience needs, who should be buying a VIP and skybags, we add the features and market it properly, in order to retain a VIP and skybags customer and we try and get the affordability segment consumer in Aristocrat brand. But that being the strategy, it cannot be 100% volatile. There could always be a possibility of cannibalization happening in terms of down grading.

Akhil Parekh: What is the average selling price across the three brands? Basically VIP, Carlton and Aristocrat.

Anindya Dutta: No. Well, I won't have that right now. It varies from channel to channel and from range to range, though there is no one average number that can be put as a reference here.

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Moderator : Thank you. The next question is from the line of Chirag Lodhaya from Valuequest. Please go ahead.

Chirag Lodhaya: My first question is on understanding this gross margin improvement because of structural shift to own manufacturing versus China sourcing. So what are the sustainable level of gross margins going ahead? I understand currently there is a bit of inflation, but in a normalized scenario we have to assume versus pre COVID what kind of improvement one should expect.

Anindya Dutta: So you were right, as of now the volatility makes it difficult for us to put a specific number, but an underlying 53 % to 55% Gross Margin is what we should be aiming at in a stable environment. Given the construct we have, I think 55 % is quite possible on a consistent basis once the volatile situation is out.

Chirag Lodhaya: Okay and you mentioned that at Bangladesh manufacturing landed cost is 15% cheaper versus China sourcing coming to India. How it would be when it is compared to third parties or in India?

Anindya Dutta: So I'll tell you how that Bangladesh 15% is coming. I'll give you a very broad based duty arbitrage, when raw material comes into Bangladesh v/s finished goods coming into India. The India duty is 15% whereas in Bangladesh there is no duty on raw material. Assuming that my conversion cost is same as China, which ideally should be lower in Bangladesh than the 15% at least remain as an advantage over the China finished good import. Comparing with India sourcing now it all depends the assumption the Raw Material is coming from China then the 15% definitely remains because Bangladesh production cost in terms of people and other cost is lower than India from where we are producing. But the comparison is not

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always Apple to Apple because use India's raw material sourcing depends on product depends on specification and many things like that. But overall the comparative numbers are largely coming from the duty point of view.

Chirag Lodhaya: So basically you are trying to say that Bangladesh manufacturing is as competitive as China despite China having massive scale. Is that fair understanding?

Anindya Dutta: Only on the conversion cost. If you keep the raw material aside, because if you're buying the raw material still from China and there is a freight cost, that is happening for the raw material to come in. So that freight cost is partially getting offset by the labor cost advantage that we have in Bangladesh. But again given the current situation and the freight costs, that equation does not work out in netting it off completely but pre COVID freight costs and the lower labor costs in Bangladesh, offset each other and to that extent

it brings us at least to the parity or maybe slightly lower because we're still buying raw material from China.

Chirag Lodhaya: And with current freight rates what would be the arbitrage? Is there arbitrage or today we are nullifying that with higher freight ?

Anindya Dutta: No, the freight rate is higher the re is not a perfect setup that is happening.

Moderator : The next question is from the line of Kirti Govind Dalvi from Enam AMC. Please go ahead.

Kirti Govind Dalvi: Just a couple of questions first, if I see the tax rate on console as well as on a standalone basis it seems to be a little higher so is there any one off?

And second ly, what is the sustainable tax rate we are seeing for the FY23 and FY24?

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Neetu Kashiramka: So this is high on account of dividend which we have received from Bangladesh. When we give dividends from VIP India, this will get offset under section 80 M so that impact is 5%.

Kirti Govind Dalvi: Okay, so for the year probably the blended tax rate will revert to normalized rate of 25% ?

Neetu Kashiramka: Slightly lower because Bangladesh tax rate is 15% and India will be 25 % so blended it is going to be around 22.5 % or 23%

Kirti Govind Dalvi: Obviously Q1 has some base impact of last year, but would it be fair to assume a mid-teens growth ? Given all your future group stores will come back and we are seeing the uptick in the travel as well.

Neetu Kashiramka: So we are looking at a similar growth. If you take it on normalized base.

Moderator : The next question is from the line of Niteen S Dharmawat from Aurum Capital . Please go ahead.

Niteen S Dharmawat: As you mentioned that we have shifted operations to Bangladesh and we hear some economic issues over there. So what is the risk that we see in case there is some disproportionate economic issues faced by Bangladesh economy and what will be our fall back option in such scenario?

Anindya Dutta: Once again, this all economic situation that you were talking about in Bangladesh is not something that we are aware about. In fact it's all in the news that Bangladesh economy in the last 10 decades has done the best and is ranked among the highest. So overall, it seems like a very progressive economic environment. Yes, overall any country does have a risk and we will evaluate the risk and continuously prepare for that. China

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would have been also a risk in a pandemic environment , when we were sourcing from China prior to the pandemic. I don't think the risk is high or something that needs to be addressed as of right now or in the near future.

Niteen S Dharmawat: It's a very recent news actually. It has come today only, so we might not have got the attention to it. But that's okay , we'll discuss it later on.

Moderator : Thank you. The next question from the line of Ankit Kanodia from Smart Sync Services. Please go ahead.

Ankit Kanodia: If beyond couple of quarters (maybe four quarters), looking directionally where we are today and as we see currently for this quarter our contribution from Aristocrat and Alpha is higher but it is a lower margin product and maybe inflation pressure is also out by that time, probably some of our problems of future group are also subsidized, and if the travel direction continues to be strong, how do we see ourselves in that sense? Because they are also doing spending a lot on our advertising and promotions. So how do we see that reflecting , I'm not looking at any numbers but directionally and any qualitatively , you would like to see beyond 3-4 quarters , how do you see VIP?

Anindya Dutta: So that's exactly is the space where we are wanting to reach. Given the situations that we have been dealing with, yes, we have been focused on more diff

icult things like changing our supply chain and all that. Value and growing is a necessity for us right now, because that's where the market is growing. Equally, we have to look at how do we , get our costs right so that

the value end is played profitably as well, relatively lower than the premium segment, and finding the right balance because as we go ahead
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and in the scenario that you are painting, what was very core to us, which is represented in the VIP and Skybags brand, should come back in terms of not relative sales, but in overall absolute throughput and in growth terms so that's what we are aiming for to get, and hoping some of the environmental things will settle down as you go along, which will settle down. I'm pretty confident in the future, so I think we will emerge much stronger than what we were before the pandemic as things stabilize from here on.

Ankit Kanodia: How do we see competition evolve pre pandemic and post pandemic? Because post pandemic, we must have seen some of the unorganized players shut shop, and they facing a lot of problems. How is the competition in the organized space right now and how different it is from the premium metric? If you would like to give some color there.

Anindya Dutta: I think the competition has only intensified. But given the one constraint in the demand environment that is bound to happen and therefore a lot of you know pressure on profitability and all that comes in because in a constrained demand, the large players put in everything that they have to get to revenue. So as that eases out, overall the industry profitability will stabilize. But competition will only intensify going forward in this space. It's a very small category compared to overall India and all other consumer categories. The penetration was low, given where our economy is, I think, the penetration is only going northwards from here, and with that the overall industry grows, the competition will only intensify. I think whatever we are doing is to ready ourselves to participate in that with the better strength than what we had before.

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Moderator: Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital. Please go ahead.

Pulkit Singhal: My first question is regarding the seasonality in the business, there used to be a certain level of seasonality pre COVID where second quarter is down 20%-25% and then gradually picks up and first quarter. This time around do you expect it to be somewhat different to giving some kind of pent up demand, etc. I mean, the level of seasonality to be lower? Or do you think it will be the same level as seen previously, pre COVID?

Anindya Dutta: I think this seasonality from a demand point of view will have a similar but just an interesting insight that if you were to look at slightly longer horizon. The acuteness of this seasonality over a period of time has reduced, and I think that's also happening because one of the vectors of growth is holiday and travel, and that has changed a lot from only summer vacation to many mini vacations. And marriage dates are becoming more open than what it used to be before, and all that so it's a gradual change which has also been visible if you see our seasonality over the years, but in the near term and just about the past pre pandemic, I don't see any reason why it will be very different from the industry overall.

Pulkit Singhal: I'm just checking from a pent up demand perspective as well, because sometimes people may not travel entirely in Q1, and may look to probably travel in Q2 as well. So just wanting to know whether that is playing out?

Anindya Dutta: We don't know that, but we'll hope for that and we are ready for that.
Pulkit Singha

I: And in terms of market share, last quarter we talked about low 40's. How are things progressing in the marketplace? Are we still around similar
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level s, giving the impact of modern trade in future group or are they improving now ?

Anindya Dutta: No, I think we are definitely holding our market share overall, but it's a feel and as number starts coming out for the industry we will also get a sense of how that is happening . I think definitely we are holding on to the market share that we had is what we are hoping for if not improving.

Pulkit Singhal: Then lastly I thought high inflationary environments are typically a for an organized players and that allows the organized players to take share from them. Is my understanding incorrect or they've kind of managed it lot better or you're seeing that happening?

Anindya Dutta: Are you saying between organized and unorganized players ?

Pulkit Singhal: Yes.

Anindya Dutta: This market share that we're talking about is about the top three companies' relative market share basis of specific data that comes out so correlating number is difficult to what you're saying. But yes, inflationary environment disruptions and supply situations all favors large players and always has been for all kinds of businesses and categories, and to that extent we have had the tailwind as organized players and may continue to do so because if China was the source of products for unorganized players. Directly or indirectly, I mean finished goods or raw material is going through some disruption to be sometime before it resumes fully.

Moderator : Thank you. Ladies and gentlemen, that would be our last question for today I now have the conference over to Ms. Neetu Kashiramka from VIP Industries for closing comments. Thank you and over to you ma'am.

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Neetu Kashiramka: Thank you everyone for joining this call and sorry about keeping this call so late this time. Next time we'll definitely try and make it to your timings.

Thanks , in case you have any other questions, you can definitely connect with me. Thank you.

Moderator : Thank you very much, ladies and gentlemen, on behalf of VIP Industries Limited that concludes today's call. Thank you all for joining us and you may now disconnect your lines. Thank you.

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Call: Nov 2022

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27th October , 2022

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal St, Kala Ghoda, Fort,
Mumbai – 400 001.

Code No. 507880 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051.
Code – VIPIND

Subject: Transcript of Earnings Conference Call on Unaudited Financial Results
(Standalone and Consolidated) for the quarter and half year ended
30th September , 2022

Dear Sir/Madam,

In continuation of our letter dated 19th October , 2022, we enclose herewith transcript of the Earnings Conference Call held on 21st October, 2022 on the Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended 30th September, 2022. The same is also available on the Company's website at https://www.vipindustries.co.in/Investors/Q2H1FY23_Transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Anand Daga
Company Secretary & Head – Legal

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“VIP Industries Limited
Q2 & H1 FY23 Earnings Conference Call”

October 21, 2022

MANAGEMENT

MR. ANINDYA DUTTA – MANAGING DIRECTOR – VIP INDUSTRIES LIMITED

MS. NEETU KASHIRAMKA - CFO - VIP INDUSTRIES LIMITED

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Q2 FY23 Earnings Conference Call
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Moderator: Ladies and gentlemen, a very warm welcome to the VIP Industries Limited Q2 FY 23 Earnings Conference Call. From the senior management we have with us today, Mr. Anindya Dutta - Managing Director and Ms. Neetu Kashiramka – Chief Financial Officer. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anindya Dutta - Managing Director of VIP Industries Limited. Thank you and over to you, sir.

Anindya Dutta: Thank you. Good evening everyone. Thank you for taking out time for this earnings call late in the evening and at the outset, apologies for late upload of the presentation as well as the results, we just about finished the Board meeting and that caused the delay. However, I am hoping that you would like the presentation that we have sent across to you. It's more detailed than what we've shared in the past. Having said that I think it's quite a delightful moment to announce a really good set of results for Q2 FY23. This is somewhat the whole organization is working towards. This may be one of the milestones that you wanted to achieve in terms of the all-round result that the organization has been able to put forward.

We saw revenue grow about 56% year-on-year. Why year-on-year is important now because somewhere from Q2 FY22 things have started to normalize. However, even if we were to look at it from the base year point of view which is FY 20, the growth rate for the quarter has been 25%. The flow through of the revenue with a healthy gross profit at about 48% has been through a good fixed cost management, which results profit as well with a PBT at about 10% and EBITDA at 14.8%. All key matrices that we see has gone through a very positive uptick as far as the quarter performance is concerned. If we were to talk a little bit detail on the revenue and as you will see in the presentation shared, all channels and equally brands and categories have worked very well. Of all the physical channels general trade, retail and modern trade has done extremely well, so has e-commerce.

Specifically speaking about some of the key shifts that has happened at channel level, what we were pursuing in terms of increasing our exclusive retail outlets in the market has really worked for us. As of Q2 FY23, we were still lower corresponding to Q2 FY20 in terms of total number of retail outlets. However, the total revenue in retail has seen a growth which means that our VIP Industries Limited
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store throughput has been extremely good. Just wanted to share some numbers so with all of you, as of Q2 FY23, we are at about 413 operational stores and we have almost about 45 odd in Fit outs, so that takes the tally to about 458 stores. We should definitely have this number to be more than 500 by the end of the year. The same number was about 485 exclusive stores in the corresponding quarter in FY 20. The mix is quite different, majority of the new stores that we are opening are franchisee stores, after we have reached the lowest of 365 stores. The other highlight worth mentioning here is modern trade. In modern trade we had a headwind in terms of Future Group not being active and of the 432 stores they had only a fraction of that was operational in Q2 FY23. We've done a great job in making sure that the demand that was lost because of the Future Group shutdown has been caught very well in all the other modern trade chain stores as well as in retail.

in MBOs in the same catchment area

and from our internal estimates modern trade has surpassed the budget and the internal estimates that we had for the quarter which has resulted in a growth despite this off about 22% over the base year. Likewise all channels have done extremely well. E-com has been able to leverage the buying season, as usually Q2 is almost 1/3 the annual sale in e-commerce because of the EOSS that are there in Q2, big days and festive buying we have done very well, the growth numbers is almost double in Q2 FY23 compared to the base year. One more key highlight here worth mentioning is on international business, we've been pursuing it not in our big mega strategy, but to make sure that where we were present and in geographies where we could get a inroad, we've started to get that in Middle East as well as 7 – 8 new countries that we have been able to open in H1 FY23. The international business in H1 FY23 stands at 5% of the total business this was about 2% - 2.5% in the pre COVID era.

When I talk about brands and categories, the heartening news there is that while in Q2 FY23, Value and Aristocrat has been on a run, the premium and mid premium brands like SkyBags, VIP, and Carlton have also joined in, it is very heartening to see all the three brands growing on the base numbers of FY20. So, not only we have renewed strength in value, but our past strength in the mid premium segment has come back and it's full play as far as Q2 is concerned. So with that good set of revenues, our supply chain strategy, our own manufacturing strategy and our cost controls have resulted in the profit that you're seeing on the results that we have

announced.

So, by and large a good quarter and really looking forward to even a possibly a better one with much more in terms of consumer impact activity is coming out that you would see in the coming quarter and the presentation that we have sent across gives some sneak preview of what we are about to launch for our consumers in Q3 FY23 . So quite positive about how we see the future from here onwards for the rest of the year. Thank you and now I open the floor for questions.

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Moderator: Thank you , we will now begin the question -answer session. We have the first question from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: So my first question pertains to demand environment in general and your read on the same , we have seen a lot of categories like ours where there was an element of pent up demand, which was very much loud i n the second half of the last year and even first quarter this year. So are we seeing the pent up part still playing out or you are seeing that the recovery what we're seeing now is more of a sustainable one and the pent up element is actually receding in this phase now ?

Anindya Dutta: So, it's a mix of both and somewhere it's more middling out. There is a bit of pent up that we are experiencing , however, a large part of this could be sustained because of shift from unorganized sector into organize d sector. This shift could be sustain ed for a much longer period unless something very differently evolves as far as the unorganized sector is concerned. So that's working differently in our sector than any other sector. Generally travel and the whole buoyancy on s pending and the marriage season is ahead of us in the next half of the year. So , quite hopeful and quite optimistic about the demand environment to sustain the way we are seeing right now.

Tejash Shah: Sure. First of all , congrats and thanks on a very detail ed presentation . In fact, quarter -on-quarter we are improving on disclosure levels. One thing which one can 't miss out is premiumization, which is very much clear on most of the slides. So if you can elaborate what we are doing exactly on t his and when we talk about premium

ization, Carlton has actually not

gotten much slide space. So just wanted to understand how are we going about the whole portfolio premium ization and all the premiumization initiatives in the existing brands also .

Anindya Dutta: Right, I don 't think we should measure it from the slide share point of view in terms of how many slides , what it has got , but really premiumization is something that we 've been driving.

The starting point is that this is something that we were strong at, it is not a new strength , value is our new strength and we are doing pretty well there. In terms of premiumization , consumer activation in terms of innovation , communication and promotions, all that if you were to look through the presentation, and otherwise that 's most visible, if you go to our stores you would see all the new launches in VIP and SkyBags there is certain things that we are working on which are extremely premium for adding consumer value themes and more and more products are comi ng there. I n terms of advertising SkyBags , is taking it to the next level on how we are connecting with the Gen Z and also if you see the whole retail strategy, and I spoke in detail about how we are expanding our exclusive business outlet network. That is also something that is adding hugely to be able to sell that experience to the consumers and therefore sell more premium products. It's a 360 degree around this in terms of driving the mid premium and the premium agenda, and it is something that will cont inue to be there and in fact get s strengthen going forward.

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Tejash Shah: Sure. And V IP Highlander is this just a collection, or we have launched a flanking brand along with the mother brand there?

Anindya Dutta: Every product has a name in the presentation so it's not going to be something that will be advertised to the consumer, it 's a VIP product, and it is designed with an SUV in mind. So in a way, this is the rugged & macho looking bag that you would makes you belie ve that taking it with you enhances to the image that you want to portray. So that 's the theme behind what VIP wanted to bring to the consumer. And as we call it, it 's an all -terrain luggage and if you see every component of that be it handles , the wheels and the whole composition has built to sustain tougher environment . So, it's not a new brand launch, it's a new range.

Tejash Shah: Yes, looks very classy though , congrats on that. So, last one on business part on market share. We have been very transplanted there also in sharing the detail. So should we believe that the worst is behind in terms of losing market share and then you should somewhere bottom out here and start gaining market share from here on?

Anindya Dutta: The numbers are saying so, and we strongly believe that this is something that we would pursue very aggressively but it's important to have a stance very clear that I am pursuing it along with making sure that we have sustained profitability .

Tejash Shah: Perfect. And two financial questions if I may, ma'am have we provided for future group exposure totally in this year and second any update on the insurance?

Neetu Kashiramka: The Future Group (Big Bazaar) fees were provided fully last year itself. So this year what open exposure we have is only FL which is the central and the brand store , that also around 25% is provided and on the insurance fees, we should get that in 4th quarter .

Tejash Shah: What would that be in absolute, the exposed un-provided number ?

Neetu Kashiramka: Should be around Rs. 9 crores

Tejash Shah: Okay, thanks for you were saying the insurance .

Neetu Kashiramka: Yes, so the insurance fees in the last leg of final survey report. So we should get that in quarter four.

Moderator: Thank you. We have the next question on the line of Jinesh Joshi from Prabhudas Lilladher.

Please go ahead.

Jinesh Joshi: I have a question on export , post COVID I believe that many countries are looking to diversify their supply chain from China so in that context which other countries can emerge as a properly alternative destination apart from India and do we have any structural advantage to vis-à-vis

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those countries like UT benefits, et cetera, the reason I'm asking this is because our current export share is approximately 5% odd. But we plan to scale this up over the next couple of years so any thoughts on that ?

Anindya Dutta: Yes, so Jinesh definitely we would like to scale it up going ahead and there is definitely a huge opportunity . It's just not a duty or advantage that we are only looking at being a cost effective manufacturer would give us a right to success in markets which we are buying from China. So, here over a period of time being competitive to China in manufacturing would be the key that would get us access to international markets. So that 's what we are pursuing. As of right now yes, we had seen some low hanging fruits which we have initiated but obviously the bigger opportunities will be in the larger markets like US, Europe, Canada, and so on and so forth where the higher quantum of luggage sale happens would entail but some of these markets will be equally difficult to enter from a branded point of view. So , it's too early for me to talk in any more detail other than what is the opportunity in terms of how we will go about it. Maybe, once we are ready we will talk about how we are going to approach it. As of right now, our strategy on international business is to make sure the market we were present before we go deeper into the market for example, you have had a huge jump in UAE alone, where our penetration into at a store level , into all the modern trade chain has gone through a big change in the last eight to nine months post COVID and that itself has brought us a benefit good enough to get us growth over our pre COVID base to more than double in investment, Although a very small base but focus strategy, creating a good amount of approach in a particular market and going deeper is working and that 's what we 're doing right now till we have reached to a stage where we look at a wider strategy.

Jinesh Joshi: Second question is on your profit margin profile, if I look at this quarter we are at about 48% odd and in Q1 FY23 we were at about 50% is there some erosion in gross margin on a sequential basis. But, given the fact that raw material prices have subsided and the freight cost is also cooling off , can you give us a fair estimate of what could be the gross margin expansion in second half vis -à-vis what is the average number in first half and that will be of great help.

Anindya Dutta: I can 't give you specific numbers for the future but what you said was absolutely right that the raw material cost and the freight cost was possibly at its peak in Q2 FY23 and it is only going to go down from here and how much exactly in Q3 FY23 , how much in quarter four way it stabilizes is a matter of crunching the numbers. But I 've always kept that, our gross margin profile that I would want to keep it is around between 50 % and 52 % and the aspiration is to make sure that we take it to 55 % and hold it. But we would always want our ship to be between these two guardrails of 50 % and 55 %, and keep working on our market share and growth, given margin we try and bring it within that range.

Jinesh Joshi: Sure. One last question from my side, if I look at the brand wise revenue mix which we have given this time around, the share of Aristocrat has risen from about 22% to 37% while the share

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of VIP and SkyBags has declined a bit when I compare it with the pre COVID phase now, we had given the fac

t that growth in the mark segment is expected to be higher than the economy or premium segment. Does it mean that the rising share of Aristocrat from here on would essentially mean a lower gross margin profile for us because essentially this product commands a lower margin to, just wanted to understand this bit from your side.

Anindya Dutta: No, absolutely a right question and the answer lies in the current gross margin also. So, if you see the table has shifted from 22% to 37% in Aristocrat favor, despite the inflation that we are talking about now, compared to any base year that you want to compare, the gross margin erosion is not there. So, therefore, this is what I was talking about that we would like to play the value market share gain in a manner that we have done the cost reduction to fight this game better. So all our own manufacturing, upstream, integration, all that is helping us towards this approach where we would possibly increase our Aristocrat sales, which will help us gain market share but it will not cause us to erode our margins commensurately.

Moderator: Thank you. We have the next question from the line of Nihal Jham from Novama. Please go ahead.

Nihal Jham: Sir, couple of questions from my side. First you have given the data of your increasing distribution versus FY 20 in Tier-4 and Tier-5 towns, is it right to relate the improvement in market share and the consequent increase in Aristocrat and Alpha to that extent that maybe that's a key driver to these aspects happening across increasing our top line in this segments and also increasing the market share?

Anindya Dutta: It's one of the factors it does not involve the correlated 1:1, if you see our better traction in e-commerce would also help corroborate the fact that, it's also selling a lot of value and that also has a higher share of Tier II & Tier III towns. So, many factors come together to make sure that value as a segment works for us, it is product, it is pricing, it is general trade as well as distribution which is accessibility which is through e-commerce. So it's a mix game.

Nihal Jham: Sure, sir. And just a related question to that, looking ahead is your expectation that the value segment is expected to see a much higher growth versus the mid premium and premium segments in the future as an industry, not for you specifically?

Anindya Dutta: So, the industry has been growing more in the value side, and for the organized player the value will grow faster going forward because of the unorganized to organized shift as well. So yes, value will continue to grow faster, then the mid and the premium side.

Nihal Jham: Yes. In terms of Capex our plans are very aggressive. So what are the incremental steps we are taking post COVID to driving the share of that business or the overall top line in that segment?

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Anindya Dutta: Once again from our product point of view there is a lot that is up in store for us going forward. The presentation has some hint of what we are getting into in Q3 FY23. From a distribution point of view, we are supremely active even in e-commerce. Additionally, we are also activating physical channels as well both in modern trade (Shopper Stop, and all the Lifestyle chains) as well as some exclusive outlets is something that we are experimenting with right now, and largely, the mall kiosks and things like that; but these are all in foundation stage right now and what you will see us basis this we will formulate something which is supremely more bigger and aggressive in the coming year and that's where we will start seeing more aggressive numbers as well as plans.

Moderator: Thank you. We have the next question from the line of Ankit Kanodia from Smart Sync Services. Please go ahead.

Ankit Kanodia: First of all, I would just echo one of the other participants comment

that thank you so much

for improving the quality of your presentation quarter-on-quarter so that really helps us in getting more understanding about the business and the industry. If my understanding is right, historically Q2 used to be the worst quarter for you and given some sort of pent up demand plus we are entering into the marriage season and all, I just wanted to understand how are we placed in the capacity front, what is the capacity utilization and how easy or difficult or what time does it take to ramp up our capacity, if required?

Anindya Dutta: I think it's a very valid question and that gives me the opportunity to tell you that we are continuously investing to increase our capacity in India (Nashik) and in Bangladesh. We have invested to increase our capacity on our existing base by about 25% which should help us cover for our growth next year and we are continuously doing this exercise and maybe early next year, we would look at the subsequent year and continue to expand the capacity if required. So this is something that is definitely on the radar and we will ensure that we have the in-house capacities as well as our network of outsourcing is more than the demand that we are envisaging for ourselves.

Ankit Kanodia: Thank you sir. Next question is on one of the slides, slide number #33. So, where we have mentioned about the market share of VIP against the two organized player. So we have mentioned till Q1 FY 23 is it fair to assume it is at a similar level in Q2 as well?

Anindya Dutta: Now see, that's the difficult part to estimate and do a projection here. But given the results, I am hopeful that if not gaining we would hold it at this level.

Ankit Kanodia: So just a follow up sir. If you look at pre COVID levels, our market share was at about 50% and right now we are at 43%, so how do we look at it?

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Anindya Dutta: I think, 50% is an aberration, of that particular quarter if we look back in the previous quarters, it's sobering around 45% on an average for a year. I would want this organization to be at a 45% plus and having done that share in luggage, I would focus on newer and more growth areas which are in the adjacent areas which adds more faster top line growth and overall business growth.

Ankit Kanodia: Earlier you spoke about the unorganized to organized shift, and what we witnessed during the COVID period that the unorganized sector was hit far more hard compared to the organized sector probably because of the strength of the balance sheet if I'm not wrong. Also, right now India continues to be looking at strong demand but let's say if we are about to enter recession like in US and UK. Is it fair to assume that again the unorganized sector will be hit harder than the organized sector or do you have some other views?

Anindya Dutta: There are a lot of scenarios within which you're building, but underlying thing is that, yes, in the future, the environment for unorganized sector will not be as conducive as it was in the past and the change started happening more from the GST, the COVID and the China situation made it more acute, it will possibly ease out a bit from where it was, the worst situation last year, same time and even now. But really speaking, going forward there will be a different scenario where the organized players for various reasons will have slightly more advantage than what it had before COVID.

Ankit Kanodia: In that sense apart from the top three players incumbents do we look at more competition in the organized sector and how do we look at that space in that sense from the competition perspective?

Anindya Dutta: If you look globally, the biggest player is here and there has been some consolidation that has happened, so really speaking there are not a lot of large players outside the country who are yet to enter India.

dia. So therefore, yes, barring the top three players, the list is really long, it's quite fragmented. So, there is endless list of brands & players and there are continuously many coming because the entry barriers are not that high, that has always been the case and will continue to be more, but to that extent unless you have a proper supply chain, this market is not as evolved that you can just buy some products and create a brand and launch it, you will need to have a little bit more structured approach for a completely new entrant to enter the category in India. So some bit of discouragement, maybe, but largely it's a fragmented industry and I expect smaller & newer competition to continuously keep entering the category.

Ankit Kanodia: Sir, one last question as you mentioned earlier that the value segment is growing much faster than the other segments and one of our competitors is predominantly present in the value segment. Are we also trying to focus more on that or we continue to have our strategy of focusing on the whole range of brands, which we have?

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Anindya Dutta: Absolutely, the second one as you said, we are obviously keeping all competition on watch understanding what they're doing, understanding their strengths and the opportunities that we have in the market in terms of where we could pursue something against competition. But largely, we are governed with our own agenda that we have built and our agenda comes from what opportunities we have with consumers, and how can we service consumers better; that's the starting point and everything else follows from there.

Moderator: Thank you. We have the next question from the line of Harsh Shah from Incred Capital. Please go ahead.

Harsh Shah: Looking predominantly between margin and market share, basically this quarter you posted a very good number on top line and last quarter you did kind of something like that you have an aspiration of maintaining 18% EBITDA margins in second half of the year. So my question was that.

Anindya Dutta: We can't hear you, you are not audible, your voice is breaking.

Harsh Shah: My question was more about the interplay between margins and market share so if we were to look at this quarter, we have done well in terms of top line but however, last quarter we did talk about an aspiration of 15% to 20% EBITDA margin in the second half. Do we see a market share or do we have a hard target of achieving that 18% - 20% margin?

Anindya Dutta: So, we need to see the margins with a slightly longer period in mind for the full year and from

a strategy point of view, and way we are pursuing both market share and margin, we have a good balance in our mind how we are pursuing and I would repeat again, that we are trying to find the ammunition to fight the market share gain, and that is not profit but cost reduction and that's how we are inspired and that is our agenda, now in this quarter you're right this is our peak inflation quarter and it's also by seasonality our lowest revenue quarter, therefore absorption of the revenue across all cost is lower and so on, and so forth. So, the ambition of 18% gross margin going up to 20% continues, and that's something that we will keep driving, there'll be one off quarter where it will not be on those lines and therefore some other quarter we possibly will make up to get the year to be at that particular number that's what I would like to position our self -right now.

Harsh Shah: Okay. If we were to prioritize between gaining market share and achieving the margin targets we will give priority to gaining market share?

Anindya Dutta: As of today if you ask me to choose only one between the two then yes, it is market share.

Harsh Shah: Higher market share with consistent level of margins would be better

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Anindya Dutta: You're right, gaining higher market share while maintaining profitability is what one would like to deliver.

Moderator: Thank you. We have the next question on the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: Firstly, can you tell me the volume recovery versus the pre COVID levels and also how it would be across value mass premium and premium segment?

Anindya Dutta: Volume recovery was also pretty good, the underlying volume growth was about 13%-14% overall for the category and this quarter over the base quarter of FY 20 and obviously, this was like the value trend is showing it is more higher in the value segments than in the mid premium but overall, it's about 13% -13.5%.

Jaiveer Shekhawat: Got it and given the amount of revenue that you have achieved already in second quarter, would you update your revenue guidance of about Rs. 2000 crores for FY 23?

Anindya Dutta: Yes, I don't see any reason why in the remaining quarters it will go down from the guidance that we had earlier given. So whatever has happened till now should stretch us to that limit.

But, I am not fixated on the number but directionally it is getting better from what we started the year with for sure. It could be even well than that.

Jaiveer Shekhawat: Understood and sir any update on the Walmart contract, you would like to share about?

Anindya Dutta: I am not very sure where this is coming from, I've not spoken about this, which Walmart contract are we talking about. This has actually come as a question somewhere before also but is there a reference to this?

Jaiveer Shekhawat: This is what we have picked up from our channel page itself. But would you have any update about say any negotiations that are already underway.

Anindya Dutta: No, there is nothing much to talk about there. From OEM point of view, we are interested in possibly taking up a few but it has to be only the bigger accounts that's how we are seeing it right now and in that context, one of the illustrations or example could be Walmart. And the team is in touch with not only them but across many other such larger potential customers. But that's about it, there has been no discussions beyond that, which is worthy to talk about here.

Jaiveer Shekhawat: Sure. And sir one more question on your margins as well, I understand what you're guided in terms of your gross margins where you'd like to achieve it. But say, given what we have seen with the crude oil prices happen as well. So they have corrected from as high as about \$ 120

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per barrel in June, to about \$90 currently. So purely from an RM pricing standpoint, what kind of a GM expansion should we expect in the coming quarters because of that?

Neetu Kashiramka: Actually you already answered that question, right.

Anindya Dutta: It is positive, I can't give you an exact number, but it's also important to see there is a cycle in which we buy our raw materials specially for soft luggage and all other components, which has a lead time, which makes any benefit or inflation that happens today result into the business at a time later than next three months or five months. So to that extent if there is something reducing right now in the environment we will not get the benefit in the immediate quarter. So yes when that reduces eventually that will flow into the business and maybe in five to six months' time.

Jaiveer Shekhawat: And sir were there any price hikes further, post the March hike?

Anindya Dutta: No, absolutely no.

Jaiveer Shekhawat: No. Is that because probably customers are not willing to absorb for the price hikes or do you

see no need to do that?

Anindya Dutta: We didn't see any need we had a strategy which we put in place in terms of pricing and the cost reduction that we wanted to

do within our operations and we are on track with that so

it's moving on the plan so we don't need to react in any way as far as consumer pricing is concerned.

Jaiveer Shekhawat: Mr. Anindya, if I may just sneak in another question on upper case. We have looked at the new launches that they've done so looks quite fashionable and also they have 2500 day warranty and very attractive price point so soft luggage so what's your reading of the situation, do you see the e-commerce space getting more intensified?

Anindya Dutta: Undoubtedly, e-commerce just makes the accessibility to consumer is really easy and fast. If you burn cash, you will be able to get not only eyeballs but also transaction. So, that is definitely something that we are watching out on whether it is Uppercase or players like Mokobara or there are many such players who are spending money with a range that is listed on the marketplaces. So, we give it due importance and we're tracking it and making sure everything that we need to do to benefit our cause we are taking those actions.

Moderator: Thank you. We have the next question from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh: Okay. Sir my first question is in the other consumer categories, what we're observing is that value segment is (inaudible) 43.49 underperforming while the mid premium & premium

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segments are doing well, while on the contrary in luggage over last few quarters, the trend is the other way around. So, is it because the unorganized segment is struggling from a standpoint we have a supply chain issues and that's why the branded players including us are gaining market share, or is it the brand salience the organized player is organically growing over the last few quarters and that's why the market share gains have happened from unorganized.

Anindya Dutta: No, one needs to understand when you're comparing with any other category the penetration of that category in India is important, if it is highly penetrated category then it's very different from our industry and our category where the penetration is not good and as and when new consumer's/first time buyers and non-buyers for many years come in the lower economic strata, as well as the lower town classes is driving growth for value product range in this industry and that is possibly a bigger source of growth, than this all unorganized to organized. So that is growing and adding to that for organized player the shift of unorganized which is not able to meet the consumer demand with the same economic advantage that the unorganized sector used to have before, that is yielding into the organized player. So, the underlying source is penetration that is increasing in India and that therefore is not temporary, it is going to be sustained for a good amount of time going forward because luggage is a category compared to many other categories not that penetrated. The usage of luggage in a middle class household is largely when it is an occasion like a marriage and all that, the travel in India, occasional holidays and all it is prevalent at a certain economic and a certain social strata and above. Now as India is becoming more and more prone to indulge itself in traveling, better more spending in marriages and all that. Kids going out of their homes and studying in other cities. These are the bigger drivers which will drive the consumption of travel products and things like luggage, and bags, and all this continues to become a bigger opportunity going forward.

Akhil Parekh: Sure, this is helpful. So essentially what we're saying is probably this trend is more sustainable and might not be a one off.

Anindya Dutta: Absolutely, and could be better than the overall category and industries that you're comparing with, when you compare categories across what c

onsumers use, this will possibly have a more

sustained growth overall in the industry than comparable or other categories.

Akhil Parekh: Mid premium and premium segment has started seeing good traction, so is it correlated with opening up of international travel and that's why we are seeing more traction now?

Anindya Dutta: Yes, absolutely and not only that, overall the segment has started a little late in leisure holidays and buying of products after that so this definitely is very robust right now in terms of this consumer segments starting to spend on travel and all other consumption cohorts that we cater to, there is an underlying demand which was always there, and may have got activated with a little bit of delay, then the value of the other part of the category.

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Moderator: We have the next question from the line of Jignesh Kamani from GMO. Please go ahead.

Jignesh Kamani: So last quarter it was guided close to Rs. 100 crore annual saving is possible because of the COVID return you can say all the cost control which is permanently sustainable. So which is Rs. 25 crore in –48:39 so what was the actual saving that happened in the first half, because of all the cost control activities which we did last year ?

Anindya Dutta: You're referring to Rs. 100 crore , the calculation is leading to this quarter we might find it difficult to answer exactly in what you are saying. But we need to understand in a way that whatever cost reduction we did with one stroke when COVID happened , we said some of it will come back when business comes back and that has come back and whatever we said at that point of time we would not let come back like headcount or some structural cost like offices and rentals of exclusive business outlets all that has not come back and those are the numbers I was sharing that we have not added while our total EBOs have gone up from 365 to 413. Only, four has gone up in company own stores, rest everything has gone in franchises. So this is just an illustration of the fixed cost in rentals has not gone up and therefore, we have retained it while the business has come back and the exclusive business outlets is through putting a growth over the base year.

Jignesh Kamani: If I take about Rs. 25 crore annual saving which is close to around 2% - 2.5% of the quarterly EBITDA , but we are not able to see the improvement so advertisement spend has increased drastically which has taken against that selling has been taken care by debt or how is the scenario ?

Anindya Dutta: No, you are comparing at a static way of cost, the cost also is going through an inflation whether it is a people cost, manpower cost and all that. So it's not an absolute of Rs. 25 crore that can be compared like that.

Jignesh Kamani: Understood, sure. Second question on the supply chain side, how is the number of SKU in our Bangladesh factory able to manufacture right now because in past we had an issue that because of the limited supply chain at the Bangladesh we will lost some of the revenue in India?

Anindya Dutta: Absolutely not, Bangladesh is not only able to make all the SKUs , but is also making all the five category of bands that we are in, whether it is hard luggage , soft luggage , uprights, backpack, duffel bags, as well as lady 's handbag. So in a short period of two years we 've been able to increase the Bangladesh operation not only in total volume but also in terms of its capability to produce all the categories that we sell, and therefore with the category comes designs and SKUs so it's come up to the level what we wanted it to be in terms of its capability, yes but as in when we innovate more and more the number of SKUs and complexity keeps going up and that is a challenge that would be there in any manufacturing sector, and therefore there is nothing.

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Moderator: We have the next question from the line of Madhuchandar Dey . Please go ahead.

Madhuchandar Dey: I have couple of questions. One is, as you rightly pointed out some of these secular trends like people traveling more , marriage etc. discretionary expenditure, which is benefiting luggage coupled with this shift from unorganized to organized, given all these pieces, putting all this together what is the expected normal trend of growth for this industry beyond FY 23 because FY23 will have a little bit of this pent up demand. So not really the number to look at from a long term perspective. So for the next five years, what is the growth rate do see k this organized industry .

Anindya Dutta: Okay. Well, there is always an element of projection and an assessment of overall economy, how it is growing , it is dependent on the macro situation in the country but if I was to keep that variable aside, getting to about 15% CAGR over the next five years for the industry is definitely a possibility and I would think it should definitely continue to grow at that rate, and maybe a little bit we enhance it, I am talking more about the luggage segment. I don't think we have a full understanding from our side to talk about the whole women's fashion accessory or lady's handbag at what growth rate it will have. From luggage and backpack , this is where we are looking at an industry to definitely grow at.

Madhuchandar Dey: And efficient players would have some edge, over this growth rate , if that's the correct understanding.

Anindya Dutta: That's right.

Madhuchandar Dey: Yes. I have just two other book keeping questions. What is the total CAPEX plan for FY 23 and FY24 and where would your own manufacturing stand at the end of FY23 and FY24?

Anindya Dutta: So, I will tell you about FY23 it will be in the order of magnitude Rs. 100 crores in terms of CAPEX and purely all manufacturing we are hovering around 65 % odd till beginning of this year and we will end up at about 70 %-75% by the end of this financial year by FY 23.

Madhuchandar Dey: And any outlook on FY24?

Anindya Dutta: Too early to say , we will work out the plan and as I said the CAPEX will be a resultant of the growth that we are going to target which would be quite healthy and robust and therefore,

what part of that we would like to produce ourself and what kind of investment would it need from plant and machinery , facilities and buildings and a ll that. So, when we get there we will kind of have our number , we are not in a stage to talk about it right now.

Moderator: Thank you. That was the last question. I now hand the conference over to Ms . Neetu Kashiramka from VIP Industries Limited for closing comments.

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Neetu Kashiramka: Thanks everybody for joining the call. Happy Diwali , in case of any questions you can connect with us anytime. Thank you so much.

Anindya Dutta: Thank you and Happy Diwali everyone.

Moderator: Thank you. On behalf of VIP Industries that concludes the conference . Thank you for joining us and you may now disconnect your lines .

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Call: Feb 2023

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2nd February , 2023

BSE Limited
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Dalal St, Kala Ghoda, Fort,
Mumbai – 400 001.

Code No. 507880 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051.
Code – VIPIND

Subject: Transcript of Earnings Conference Call on Unaudited Financial Results
(Standalone and Consolidated) for the quarter and nine months ended
31st December , 2022

Dear Sir/Madam,

In continuation of our letter dated 17th January, 2023 , we enclose herewith transcript of the
Earnings Conference Call held on 25th January , 2023 on the Unaudited Financial Results
(Standalone and Consolidated) for the quarter and nine months ended 31st December , 2022. The
same is also available on the Company's website at
https://vipindustries.co.in/investors/Q3&9MFY23_Transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Anand Daga
Company Secretary & Head – Legal

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"VIP Industries Limited
Q3 & 9M FY23 Earnings Conference Call"

January 25, 2023

MANAGEMENT

MR. ANINDYA DUTTA – MANAGING DIRECTOR – VIP INDUSTRIES LIMITED

MS. NEETU KASHIRAMKA - CFO - VIP INDUSTRIES LIMITED

Moderator: Good evening, ladies and gentlemen. A very warm welcome to the VIP Industries Limited Q3 & 9MFY23 earnings conference call. From the senior management we have with us today, Mr. Anindya Dutta – Managing Director and Ms. Neetu Kashiramka – Chief Financial Officer. As a reminder, all participants lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference is being recorded. I now hand the conference over to Mr. Anindya Dutta – Managing Director, VIP Industries Limited. Thank you and over to you, Sir

Anindya Dutta: Good evening everyone. Thank you for taking your time and joining the call. I'm assuming all of you have received a copy of the presentation and would have had the time to glance through it. I'm just going to take you through some of the highlights that I have mentioned in the presentation. At the outset, I'm quite happy to announce a good set of results. Our growth continued to be at a high, we had a 32% revenue growth over last year and even when we compare it with base it is quite impressive at 22%. Q1 FY23 saw a 5% growth thereafter in Q2 FY23 scaled it up to 25% and we now (Q3 FY23) continue to be at 20% plus. In fact, the volume growth on the business has been also quite good i.e. 25% year on year and almost 18% over base. This kind of volume growth is happening on a completely altered supply chain at VIP. The revenue performance that I spoke about. If you would have noticed is quite well-rounded. It's good across brands and channels. Talking about brands first, you would have seen some exciting launches that happened in our portfolio during this quarter. Skybags did a FIFA collection which did very well. In VIP we had a Highlander which is a rugged hard luggage. In Carlton, we launched a couple of premium soft luggage range and icing on the cake was our launch in Caprese with a range of products by Manish Malhotra. Not only the launches, the activations have been very strong, FIFA was activated with advertisements using endorsers as Kartik Aryan and many other celebrities. You would have seen some of these activations in Mumbai. We tried to go quite high decibel on it. In fact, Manish Malhotra launch was far bigger than just the volume, but it was more to drive imagery on the brand, and I would believe this is the beginning, we will have much more coming up on Caprese as we go ahead. Overall at VIP, premium portfolios has started to kick in as we had gone into a very high on driving the value portfolio. That was one key point on Q3.

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When I talk about channels, once again all channel has played its role in the growth. In fact, not only the revenue growth, but also adding the strategic element and the tasks that each of the channel has to do. General trade is leading us into driving penetration and accessibility. It increased its town penetration by 80 more towns in this quarter. Now we stand at about 942 towns. We are aiming to be in every town which is 50,000 plus population. Equally, we have come back to 443 EBO's, this does not include the 42 EBO's which are under fit out right now. Hopefully we'll cross the 500 mark which we have taken the target for the year before 31st March. Pre COVID the highest store count was 485. In modern trade, we had some challenge and pressure due to in Q1 FY23 because of the future group issue that had kicked in and it's still there but the good news is that modern trade is moving beyond its expected numbers in the year and also above

its base without future group and in addition to that by the end of December a large part of the future group stores that got shut has started coming up. Just to give you some broad numbers, there used to be 279 big bazaars stores and today almost 235 stores are open i.e. 3/4th of those stores have come in, and therefore that's going to hopefully help us in the coming quarter we were strong in these stores and we should continue our dominance and our relationship with the stores and channel.

Along with Modern trade, E-commerce, has also fired well, though this is where we don't think that we have reached our full potential or we are ahead of what our expectation is, so there is a lot that's going on and would continue to happen on e-commerce. On a side note we also have launched our direct to consumer (D2C) website and this has kicked in about four weeks back, so we are live and have started to get green shoots on the whole D2C business of Caprese. International business is also doing quite well in its own way. Our strategy of going deeper in our high potential market seems to be working and the growth that we are seeing is largely

coming from lesser number of countries, but far deeper. For example, as of now, in UAE we are starting to get double digit market share in chains like Carrefour and Lulu. So that was on channels.

If I briefly talk about our category performance. Hard luggage continues to dominate in the recent past, but we have started seeing some change of that in terms of soft luggage coming up and with our supplies picking up in soft luggage, I think that's quite promising. Backpack in particular is looking quite well for us in Q3 FY23 as well. Overall good revenue growth and like I started by saying this is completely on a remodeled supply chain and I would like to give you some numbers there. Currently, 73% of our volumes in Q3 FY23 were supplied by our own manufacturing facility in India and Bangladesh. In a way, this has been the highest ever ratio reported in any quarter. Our capacities as of right now has increased 65%. Our own manufacturing capacities have increased 65% since pandemic and this year we would be investing almost Rs. 100 crore in this financial year only to increase our capacities. Not everything of this has been spent, but in terms of actioning the spends and increasing the capacity is underway. This is almost equally split between India and Bangladesh in terms of Rs. 50 crore each. We would have added almost 200,000 square feet of manufacturing space in VIP Industries Limited

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since FY20. All this is leading to good gross margin sequential improvement of almost 1.3% and Y-O-Y improvement of 0.5%. This is largely happening on account of raw material prices and thankfully ocean freight.

Overall, in terms of our pricing and realization, we've been positive. In terms of fixed cost expenditure, I think it has been in line with our increased revenue, increased business, advertisement expenditure increase is a conscious decision and I think that's an investment that's going very well into our brands and for our future. Overall, EBITDA margin flow through from above has been lower, one large reason other than increasing in advertisement is the provision we did on all the future group doubtful debt that's almost taking out 1% out of the EBITDA (The provision we took was of Rs. 6 crore). Lastly, I think we expect positive demand environment to continue in the coming quarter. We hopefully would continue on our growth trajectory to end the financial year on a good note, and in terms of concerns there is the COVID situation in China which erupted suddenly. We have high dependence on China. However, it seems like it is passing off quickly. Our teams are working on mitigating the risk and we are preparing for not only Q4 FY23 but also preparing for a very big

Q1 FY24. So that's underway

with this. Thank you. I conclude my opening remarks and I open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Karan Khanna from Ambit Capital please go ahead.

Karan Khanna: So my first question is on your gross margins. So I think they continue to lag as against your expectation of 50% to 55% range, which you've highlighted in the past. So is it fair to assume that the majority benefit because of cooling off in raw material prices is yet to play out in your margin?

Anindya Dutta: Yes.

Karan Khanna: And second as a follow up what I wanted to understand is that so you have 443 EBO's today. Can you help us understand the split between VIP and Carlton EBO's?

Anindya Dutta: VIP and Carlton EBO is not part of our strategy. We are not doing Carlton EBO separately. We have done a few as an experiment. Our strategic grid is, company owned and franchisee model and the split there is 160 and 283, respectively.

Karan Khanna: So you think that there is room for improvement in cost efficiency when both VIP and Carlton EBO can be clubbed in one in certain geographies where you have both the EBO in the same location?

Anindya Dutta: They are extremely few, so therefore that's not something that we are looking at it. So separately there are few that we had done for Carlton and maybe yes, there could be opportunities but we are talking in the order of magnitude of single digit numbers.

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Karan Khanna: So what I'm trying to understand is that despite roughly 10% differential in gross margin versus your nearest domestic competitor, I think your EBITDA margins are largely in line with your competitors, so in light of this, what are the initiatives which you could take to further drive cost efficiencies?

Anindya Dutta: Yeah, so I think we're more benchmarking our business and our P&L from that point of view. Revenue growth is absolutely important. Investing behind that growth in a more sure footed manner which is building our supply chain and strengthening that is absolutely important. We

have a mix of brands and other than the value brands, the other brand needs to be advertised both in the form of brand building advertising as well as transaction building advertising which is more e-commerce. So one is in relation to competition, one is in relation to what is the right thing for the business and I think this is in the right direction. I think as the scaling goes up some of these ratios will start playing up better, and that's what in the long run one is looking for.

Karan Khanna: So my second question is on the e-commerce vertical, so we've seen that last quarter, e-commerce was 22% in terms of revenue contribution and this quarter it is 13%. So I understand there is some seasonality also in this, but can you help us understand if there has been any change in the market share in the e-commerce?

Anindya Dutta: So to answer the first question, you're right there is a strong seasonality in the sense that maybe more retail property driven. So the big days and all that are really big for e-commerce, so that's not only for one company but for a larger sector or industry, the quarter 2 is far bigger in the year as far as e-commerce is concerned. So e-commerce overall gain salience in overall market during quarter two for luggage industry. So to that extent, if you have lower share in a sector which is gaining salience you may tend to lose overall share but if it is for that quarter it would even out over a period of time.

Karan Khanna: And the last question is for Neetu. If you can help us understand what's the balance receivable from the future group and what was the deferred tax income that was credited to

the P&L.

If you could explain that and the lower current tax rate during third quarter.

Neetu Kashiramka: Yeah, so the lower tax rate is on account of the receipt of dividend from Bangladesh which we are in turn giving it back to our shareholders and therefore we get the tax benefit and that's why the effective tax rate is going to be around 18% to 19% for the year.

Karan Khanna: And on your future group any balance.

Neetu Kashiramka: We have around Rs. 12 crore of exposure.

Moderator: Thank you. The next question is from the line of Tejash Shah from Avendus Spark. Please go ahead.

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Tejash Shah: My first question is generic one, so if you can touch upon the overall demand environment with specific observations if you have any, on sub trends like premium versus mass and Metro versus Non metro and last one on how is the seasonality playing out as in most of the categories we are hearing that by the time December came, third quarter, had a very tough time so if you can touch upon the sub trends as well.

Anindya Dutta: So, on the demand and part the demand seems to be good throughout the quarter three and it's getting driven by the same cohorts that has driven the industry in the past, like increased travel, expenditures on weddings. We are also seeing things like a backpack and all that is slowly possibly getting more year around kind of purchase and there is repeat happening. So overall the demand seems good for the industry at least in the near future. While, one is reading in the news and seeing there are questions getting raised in the other sectors, I don't see it right now for our industry in the immediate short term. In terms of geographies, yes, there is a higher demand in Tier 2 & Tier 3 and downward cities, it's very measurable on my business, but qualitatively we are getting a sense of that. That maybe is also coming from the unorganized shift to organized. Having a better play there or a bigger play there with more dominance of unorganized in the Tier 2 and down pop strata cities. Did that answer your question?

Tejash Shah: Just wanted to know with China opening up, are you seeing or are you picking up any early trends of unorganized also bouncing back with China sourcing also getting sorted as we go.

Anindya Dutta: Honestly, not seeing a trend, but yes, keeping a watch out for that because that could be a possibility if not a major jump, but it will start fueling what was not fueled so well. So keeping a watch out but no early signs right now.

Tejash Shah: And last one with the volatility that we have seen in margins in the recent past, how should we go for like penciling margins for this year and if you can give some color for the next year as well, what will be guidance around margins?

Anindya Dutta: I can't give you a definitive number, but it seems in the right track. I think the fundamentals that we have been talking about and what is there on the presentation, continues to be pointing towards a better margin environment going forward in the coming year. The overall commodity and raw material prices are softening, the ocean freight is much lower than before, so it may not have kicked in into the business as of now, but it will as we go ahead. So on one side, the tailwind is prices coming down on the other side the headwind is also the mix and the value category growing and the unorganized sector pushing the growth further so there will be some kind of set off happening and it's difficult to predict that part because the volatility is more there and margin is a result of that. What's happening is we are pretty sure clear that we will want to have a good balance between margins and share and not trading off one for the

other and therefore we will have to pick and choose our battles depending

on how the
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environment is. So between 50 % to 53% is what we would try and keep the shift on is how I stand committed.

Tejash Shah: And the last one on mainly clarification. Ma'am, you said that tax rate for this year will be 18%, and did I hear correct?

Neetu Kashiramka: Yes, you're right.

Tejash Shah: And then it will normalize by next year.

Neetu Kashiramka: No, it will be in the range of 18% to 20 % because we will continue to do this .

Moderator: Thank you, the next question is on line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.

Bhargav Buddhadev: My first question is on the Caprese brand. So just wanted to know what price points are we targeting when we are looking at significantly scaling up this brand and also which channel will we be targeting to scale up with that .

Anindya Dutta: Yes, I think it's a very important question because it's something that we are starting of now.

So somewhere the Caprese brand may have been going towards, let's say, a price point of Rs.

1000 and below. We are definitely looking at the mid premium and the slightly above range, so anywhere between Rs. 2000 to Rs. 4000 range is what will be the mid part of what the brand should have. Once we get enough scale , we'll also do something which is above Rs. 5000 as well. So I won't say we are shifting from A to B, we are just repositioning ourselves to what the brand started with, where there is a larger void where there's a play of great design and great brand and therefore there is a value creation happening. So that will be, let's say, a sweet spot would be about Rs. 2500 to Rs. 3000 if I was to narrow it down some . That's on the brand and the pricing . In terms of channel we are looking at more direct to consumer in all form to begin with as we create penetration. So it's not only the e-commerce portals, but that's why we have launched our D2C website and we've done all the preparation in terms of back end to enable its scale up, so that will be another key go to market tool. We could also be looking at, some pilots going on where we are looking at exclusive experience stores where we would bring in the Caprese premium experience to the consumers. But as I said that the pilot stage if it works , commercially, that's something that we could scale up in a big way in the coming future.

Bhargav Buddhadev: Secondly , just wanted to know in terms of what has been the progress in terms of backward integration. So we were looking at manufacturing trolleys and wheels subsequently to further make ourselves more competitive. So where are we in terms of our game plan ?

Anindya Dutta: I can't tell you concrete stuff right now, but that's something that's on. There are couple of pilots that has happened on that in terms of understanding of what model will work, but you

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will see me talking about it or rather doing it in the coming financial year. I think we are more focused on making sure that availability and the whole supply chain was hugely stressed in terms of scaling up to the demand and with every going quarter, the demand is higher than what we expected and so therefore that has been the big focus but as we scale as we cross that peak in the coming quarter, which is Q1. These are some of the priorities that will be taken on in a big way.

Bhargav Buddhadev: And lastly, on the e-commerce bit, I believe we are number 3 in terms of market share on the e-commerce side, which is lower as compared to offline. So any key learnings from some of our competitors where we can sort of take clue and sort of implement them to increase our market. Or we want to continue to dominate offline and be a third or the second largest player on the online platform?

Anindya Dutta: So I think

number 3 is something that I see it as but you're right that there is no definitive data to corroborate that but one thing I am sure that we do not have fair share , whatever share I have in the other channels , I don't have that, and I definitely don't have leadership in e-commerce. So whether it is number 2 or number 3 is not so important , I think what you're asking and the answer is that everything we are doing is to make sure that we strive and get first to our leadership market share and then to aspire for the fair share within that channel.

Bhargav Buddhadev: So what are we doing to sort of boost up because essentially we believe some of our competitors are spending a lot to acquire traffic. So are we going to go into that direction or we sort of focus more on product launches to create a differentiator?

Anindya Dutta: No, I think we're doing all that is required as I said so therefore if there is spends and it's all

about the intensity of spend and not about whether one is doing that or not. So whether within the portals like Amazon or Flipkart, are you spending more on performance marketing so you would have noticed us feeding our brands through thematic advertising and other digital mediums but you've not seen competition doing too much of advertising in other mediums, till about quarter three and possibly most of that was getting into e-commerce. We are looking at that or rather we have kind of made our plans to balance it out slightly more in favor of e-commerce going forward, so we will increase our intensity of spends in e-commerce with the other part is portfolio and pricing as well, so that is continuously happening, the pivots are the same, the continuity and the intensity is important, and as we are going we continuously increasing that. So it's not about starting something it's more about increasing the intensity of what you're doing.

Moderator: Thank you, the next question is from the line of Manish Poddar from Motilal Oswal AMC. Please go ahead.

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Manish Poddar: I actually just wanted to understand three set of questions. One is if I look at the manufacturing. So now 73% is own manufacturing. What is the target for FY 24-25?

Anindya Dutta: So this 73% is of what sales has happened, how 73% of that has been manufactured in house. So in terms of pure sourcing, we are looking at in house split of about 60% in the coming year and roughly about 20 %-25% will be outsourced within India and maybe have about 10% to 15% at the outer limit this is including Caprese from China. That's the rough break up, but it's not a limiting thing, so I think depending on what is making more commercial sense the splits can get altered.

Manish Poddar: And so would it be right understanding, if I look at the delta change in manufacturing from Pre COVID till now. Even if you are saving at least what duty arbitrage is there, a large part of that has got deteriorated by the mix of higher share of aristocrat is that how it is?

Anindya Dutta: Yes, and also the fact that this is the time that the ocean freight and the inflation was very high.

Manish Poddar: But would a larger part be the mix part rather than the inflation part? That is what I'm trying to understand.

Neetu Kashiramka: Maybe 70% mix and 30% other factors.

Anindya Dutta: But we can examine this closely and come back, but this is our immediate or intuitive judgment to you.

Manish Poddar: OK, just two more questions. One is on this future retail store, how many stores are we reaching now? Because you said you're reaching out 3/4 of the stores and I think earlier we were doing 400 stores. So how many those do we reach now?

Anindya Dutta: We reached to everything that is open. What I was telling you is that under the banner of Reliance out of the 279 Smart

Bazaar, which is the Reliance banner is 235 stores and I reach to

all the 235. As and when they are opening the stores, they intend to open all the 279 back

Manish Poddar: OK, so effectively from beginning of year, which was about 45 stores. Now we are reaching to 235 stores.

Anindya Dutta: You're right.

Manish Poddar: OK, and just one bookkeeping Neetu ma am just this insurance, the balance payment. When is that expected to come across?

Neetu Kashiramka: Hopefully in this quarter.

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Manish Poddar: So there is no contingency or anything like that. It just the timing of the thing is the difference.

Neetu Kashiramka: Yeah, so it's in its last stage.

Moderator: Thank you. The next question is from the line of Tushar Sarda from Athena Investments. Please go ahead.

Tushar Sarda: I wanted to know when you increase your manufacturing, how much can gross margin expand? Because you will have other manufacturing costs which will come and sit in the P&L? So just on the material side the expansion should be a lot more.

Anindya Dutta: So therefore the comparison is versus not manufacturing and buying from China. So the labor cost advantage and the duty advantage is largest, so it is more compared to our earlier supply chain where we were buying from China. Today we bring in the raw material, make it in Bangladesh and bring it in India. The duty is not there so there is a 15 % advantage in the raw material part of it, which is like you see about 50% of our business. So that's definitely an advantage. Now there is a labor cost advantage, which could be offsetting with increase in trade or other areas. So straightaway there is this advantage that is there in manufacturing at least.

Tushar Sarda : So I mean, what kind of gross margin will you target? I'm assuming that will you set up the facility you will prefer to manufacture yourself, given all other things are equal under the cost in China really come down.

Neetu Kashiramka: So like to like basis if the raw material prices are same for both China and Bangladesh, we will have a 3 % to 4% benefit. If all the other factors remain the same.

Tushar Sarda : What kind of gross margin one would look at in three years down the road when things are normal, right now the recession is distorting all the numbers.

Anindya Dutta: I think then going back to about a 55% is what we have put as an ambition. We are goal seeking that and I think it's all about putting the right strategy at the right time in place to inch up there along with share and growth.

Moderator: Thank you. The next question is from the line of Nihal Mahesh Jham from Nuvama . Please go ahead.

Nihal Jham: So couple of questions from my side. First on the E -com channel , as you aggressively target to scale that up, what is your experience till now , in terms of the margins this channel gives us, because ideally if you look at a lot of the other categories, there is a lot of discounting and a lot of old season product which ends up getting sold which ends up impacting the margins you make on this channel. So has your experience till now of the 20% sales that we've seen been
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similar or we have seen a different experience and going forward also, we expect this channel to be non-margin diluted.

Anindya Dutta: So you're right, there is a pressure on margins in some of channels which is trying to gain volume through an attractiveness on price. However, when you see for my business, the net margin when I take out the direct selling cost in other channels using promoters and all that I don't see the difference to be so big, in fact in some quarters the e -commerce margin is a tad better only, so I think in the long run this is something that is going to not only

stay but will

grow significantly. It will be a game of getting more scale here and also to start the premiumization journey here through marketplace operation where the pricing is ruled by the brands and you are listed everywhere. So it's a journey and I think this is not a channel that we had a start at all. So compared to not only within the industry but others, we are catching up and what I see in the long run is that this channel will become large and a major channel for by consumers to buy VIP products and therefore we have to get the margin and share both right in this channel.

Nihal Jham: Got that point just to follow up on this was that currently what are the channel parity practices that you're following? Do we have a different range of SKU itself? We are trying to keep the pricing similar across our franchise EBO's and the distribution channel.

Anindya Dutta: So, increasingly, the e -commerce has a separate set of products, because that's where the channel conflict is highest because of price discovery is the easiest for anybody . But within our other physical channels also, there are ranges which are different that does add to some complexities, so we're trying to find the right balance between where we would like to see exclusives and where we want to see a common range. So it's a mix of both. There are some in non-ecommerce , there are some ranges which are exclusive for that channel and the rest is covered. This mix is only slowly changing in favor of more common products.

Nihal Jham: My last question was on Capex. Do we still have the target of maybe wanting to reach Rs. 500 crore of top line in this segment in the next couple of years?

Anindya Dutta: Well, I can't put a number to that, but what you're saying sounds too aggressive. See it's a very fragmented market so if you look at anything in three year's time I would like to take an ambition of being in a fragmented market. The brand of choice the market leader in this , now that translates into what crore is something that we'll have to work out and I will come back or maybe take as a management target.

Nihal Jham: Just a follow up, if I may that if I look at this category, which would say the ladies handbag segment has not seen any brand really scale up beyond the Rs. 100 - Rs. 150 crore market. So what as per you has been the limitations and what are the aspects that we are targeting to
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improve which can scale us to be a much bigger brand, not specifically maybe the number I mentioned

Anindya Dutta: I think go to market has been a limitation in this because this product needs a close experience as people buy and you also haven't seen very large companies coming into this category. So I think ecommerce direct to consumer is changing that and also to that extent we may not have been fully able to leverage our national network in the bags business into this, which possibly

all other players may not have. So go to market is possibly one key point on which scale up or a brand share in the category can go up all. But you're right that globally this isn't a very fragmented market, so I don't expect consolidation at all to happen. It is a very large space so there fore even getting within such a fragmented market , a high share, or market leadership will be a very strong ambition to take.

Moderator: Thank you. The next question is from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh: Would you be able to highlight what would be the price differential for the unbranded luggage which is arriving from China, vis-à-vis say a mass branded luggage and has the price differential between the two declined meaningfully over the last two years.

Anindya Dutta: No, I don't think I will be able to give you a specific answer on that because we haven't tracked

a particular product and compared it with this because two products are not alike, I mean, it is the features , it could be quite differently costed and differently priced. But once again I would think there are all reasons to believe that the gap is narrowed. Clearly, a large part of the bag making is high labor cost and the per hour labor cost in China , Bangladesh and India is significantly in favor of first India and then Bangladesh. Bangladesh would be most favorable, so to that extent that is definitely the difference that should change . The other thing is productivity even if at the source in the raw material price is same to all the three then there is an advantage to India and Bangladesh over both labor cost and today we are seeing productivity is coming at par with no major difference in technology. I think productivity is over a period of time, at least in my Bangladesh unit, I'm getting closer to China productivity already.

Akhil Parekh: And this is supplementary question to that is like we have diversified our supply base and we have also found vendors of India and Bangladesh. What are the challenges unorganized players might be facing from diversifying their supplies, because I believe that they were largely dependent on China prior to the pandemic and because of the disruption at in China, they have not been able to get enough supply , so any specific challenges which they might be having and they might not be able to get their supplies from India and Bangladesh vendors .

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Anindya Dutta: Well, they need to then have manufacturers in India and Bangladesh who are scaling up to supply to the unorganized sector. So that's the challenge there is no ready capacity, so that it could . it will take over. So this could be fueling many setting up a manufacturing. That's something that I'm saying more as a theoretical answer to your question, the only way the supplies can happen and the challenge for them would be to not finding vendors in India or who has the capacity to give them the products that China was giving them.

Akhil Parekh: Sorry if I understood correctly, you're saying because they don't have manufacturing base and that's why they're not able to get it from Indian vendors .

Anindya Dutta: Yeah, that's right. We did actually base in the past, that's why the whole industry was going to China

Akhil Parekh: On the gross margin front, the value segment continues to do well. Say hypothetically Aristocrat & Alfa reaches like 40% mark of the total sales. Will we still be able to achieve that 50% to 53 % of gross margin ?

Anindya Dutta: Yes, I think it should , given that our manufacturing efficiency is going up. The benefit of that will start kicking in. Right as we go along, so I think it will go even if Aristocrat reaches to the mark that you're saying but as I said that these are things that are not with one change that will happen. I think it's a gradual change that needs to happen and one is pushing things in that direction.

Moderator: Thank you. The next question is from the line of Harsh Shah from Incred capital. Please go ahead.

Harsh Shah: So my question from a longer term point of view. When I look at your presentation it shows that the organized sector share has increased from 45% in FY19 to 56% in FY22, but when we see 3 - 5 years from now, we're only expecting that to go to 60%. And secondly, even if we look at the penetration, we've covered a lot of ground in the last 3 years, our penetration being 90%. So when we look at our growth in the luggage space over next 3 – 5 years. If you were to exclude exports, how do you see our domestic luggage space growth over the next 3 – 5 years?

Anindya Dutta: I think the industry in terms of value terms should easily grow anywhere between 15% there about CAGR over

the next 3 – 5 years underlying volume growth could be lesser, but I mean

this could be the aggressive side of the growth that I would put, but expecting a 15% CAGR over the next 5 years, given the India's context should not be something that we could be shy of.

Harsh Shah: So 15% is something which you are targeting for the industry and not for the company. We can

grow at a higher pace given the kind of building blocks we haven't play.
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Anindya Dutta: Yes and depending on the category, what share we have. But if the industry is growing at that pace and given our share ambition that we would have and continue to have it will define our growth prospective.

Harsh Shah: OK, and then secondly, within the backpack space how do you look at the mass segment and our participation in presence there? Because much of the unbranded player plays there and that's the big opportunity for us but on the flip side, the margins there are quite low. So how do you think at the mass value in backpack space?

Anindya Dutta: Actually in every category there is a low priced segment and it is always the large largest part of it. So that's why every category looks like a pyramid, but this is not where we would want to dive into the low priced ones to begin with the lower margin. I think for us there is a huge opportunity to grow in the mid segment itself and that's what we are targeting to begin with. But yes, there will be something that we will do to trigger people to upgrade the low price to the mid-price.

Harsh Shah: OK, so we are not looking to replicate what we've done in Alfa, aristocrat in the luggage space in the backpack space.

Anindya Dutta: Well, in simple terms, if I was to answer its no.

Moderator: Thank you. Next question is from the line of Ankit Babel from Subhkam Ventures. Please go ahead.

Ankit Babel: So you people are targeting a gross margins of around 52 % to 53% in FY24. So what would be the EBITDA margins if you achieve those gross margins?

Neetu Kashiramka: 20%.

Ankit Babel: OK, and if I remember correctly you were also planning a turn over of around Rs. 4000 crore by FY 26 which is around of 25% CAGR. So can we see that traction of 25% revenue growth from FY24 onwards?

Anindya Dutta: I don't know which remark you are talking about I don't remember of having spoken about FY 26 on this. I think it's been more a directional one in terms of the growth and I maintain what I said in the past. Today the market is too volatile for us to have a good and a safe prediction for that long. Yes we are predicting where it could grow more to build supply chain and all that point of view and there we are being aggressive so that we build supplies. Given the good growth rate, but I don't think it's fair to right now discuss in detail about whether it is Rs. 4000 crore, or whether it is Rs. 3500 crore, or Rs. 4500 crore for that matter.

Ankit Babel: OK, but what are the export opportunities you people are foreseeing in the coming years?

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Anindya Dutta: As of right now, we are more focused in going deeper into the market we have. We had roughly about Rs. 100 crore business in exports in pre COVID and I think we are much more than that coming back in this year itself. I'm closing on. So we will take very aggressive growth on this, but compared to what is the size of the opportunity, it is not going to be like we're wanting to take a share of the global market and stuff like that. As the focus is very large India and the India growth opportunity but all the markets that where we have by either right to success or already a good foot in the door kind of a thing is where we're going to go deeper so it will be an aggressive growth in that which will take in the

coming years. Maybe we'll look at about or Rs.

250 – 300 crore business in 2 year's time.

Ankit Babel: OK and so lastly, what was the advertisement cost in Q3 FY23 versus Q3 FY22?

Anindya Dutta: Rs. 29 crore now versus Rs. 9 crore last year

Ankit Babel: OK and as a percentage of sales. What kind of advertisement will you target going forward?

Anindya Dutta: 5% to 6%.

Moderator: Thank you. Next question is on the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.

Pulkit Singhal: So the first question is on modern trade contribution pre COVID it was 30% and now it's 29%. Can you help us understand how much was the future group contribution back then? How much is it now in Q3 FY23 and given that these stores are opening up, should we expect a sudden bump up going at Q4 FY23 or not?

Anindya Dutta: I'm just getting the numbers for you, but before that yes, we are seeing the stores which are becoming operational fully. When I say fully means that in its full glory our sales are coming back so there should be a big bump up that we should get, but also what we saw when future group stores were down in the catchment area, the other stores were able to take the drop in this and that was a conscious strategy. So I won't expect to have this as a complete

consumption growth , but it will get into a new equilibrium within the catchment area. As far as your first question is concerned on what was the contribution of future group contribution modern trade was 44% pre COVID as of now it's about 20 %-22%, but we can contact you with more numbers once we look into this, right now I am confirming is 44% versus 22 % as we speak now.

Pulkit Singhal: You have a dominant market share within this group, I mean that continues even now.

Anindya Dutta: Yes, it continues in these stores. In fact, in modern trade because of this future group issues of the modern trade team was pushing to gain in market share in weaker accounts like Vishal Mega Mart, so we went strong in Vishal Mega Mart and some more entry into some more

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regional chain, so that's also looking good much better than what we were before in those weaker chains, but in the largest change we continue to have a good share.

Pulkit Singhal: And the amount that is still pending from future group supposed to be written off for the future purpose.

Neetu Kashiramka: So as of now we don't have clarity because there are some stocks lying, which is coming back so we will get clarity only maybe by the end of next quarter .

Pulkit Singhal: And second, based on the Raw Material cost, I thought that the benefits were supposed to play out 3Q FY23 onwards because prices peaked up in Q2 FY23 . So if you can just help us understand where are the raw material costs right now versus what you have booked in third quarter? So we get a sense of how much of benefit can flow through. Obviously, I understand you'll pass some bit of it based on the market etc. but then just to get. A sense of where we are?

Neetu Kashiramka: So we got only 1/3rd of the benefits, so the benefits started actually coming only in the last month of the quarter .

Anindya Dutta: Also the fact that as of right now versus what we have with us in terms of stock and the prices and how luggage industry works is whatever is from China we got to cover a little ahead in time because of the Chinese New Year and all. So maybe about 4% - 5% overall weighted average price could be lower in the market today versus what we are operating on what we are using. But don't hold me to this number I think it is something that we can check on this and come back to you .

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now have the conference for what Mrs. Neetu Kashiramka from

VIP Industries for closing comments. Thank you and over to you, ma'am.

Neetu Kashiramka : Thank you everyone for joining the call and Happy Republic Day. Any other clarification you can connect us.

Anindya Dutta: Thank you everyone.

Moderator: Thank you very much, ladies and gentlemen, on behalf of VIP Industries Limited. That concludes this conference. Thank you for joining us and you may now disconnect your line.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy

Call: May 2023

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Subject: Transcript of Earnings Conference Call on Audited Financial Results
(Standalone and Consolidated) for the quarter and year ended
31st March, 2023

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call held on 9th May, 2023 on the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended 31st March, 2023. The same is also available on the Company's website https://vipindustries.co.in/investor/investor_con_call_transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Anand Daga
Company Secretary & Head – Legal

VIP Industries Limited
Q4 & FY23 Earnings Conference Call
May 09, 2023

MANAGEMENT

MR. ANINDYA DUTTA – MANAGING DIRECTOR – VIP INDUSTRIES LIMITED
MS. NEETU KASHIRAMKA – EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

VIP Industries Ltd
9th May, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY23 Earnings Conference Call of VIP

Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing 'star', then 'zero' on your touchtone phone. Please note that this conference has been recorded. I now hand the conference over to Mr. Snigter Albuquerque from Adfactors PR – Investor Relations Team. Thank you and over to you, sir. Snigter Albuquerque : Thank you, Jacob. A very good evening to everyone and welcome to the Q4 & FY23 Earnings Call of VIP

Industries Limited.

From the senior management, we have with us, Mr. Anindya Dutta – Managing Director and Ms. Neetu Kashiramka – Executive Director & Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company's services.

Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties. Thank you and over to you, Mr. Dutta.

Anindya Dutta: Good evening, everyone. Thank you for taking your time for this earnings call.

I'm happy to share the results with all of you for Q4 and for the overall financial year. I am sure you would have got a copy of the "Results" and the "Presentation" that we had uploaded.

As you would see in that, we have continued our growth momentum for the year. Q4 FY23 witnessed revenue growth of 27% over the same quarter last year and for the overall year, the revenue growth was at 61%. And when we compare that to even the base year, which is FY20 pre -COVID the growth stood at a good 22% for the year.

I would say an overall a very good bounce back for the business post the setbacks of the pandemic, and I think more importantly, we have emerged much stronger in our fundamentals. As you would see, gross margin for Q4 FY23 saw the impact of both what we've been talking about our fundamental cost efficiencies that we have been driving quite hard through the year, along with the much -awaited softening of all input cost. Gross margin for Q4FY23 stood at 58%, the gain of almost 843 basis points sequentially and about 459 basis points gain compared to the same quarter last year. The gross margin for the full year stood at 51%.

An efficient fixed cost management led the flow through of the efficiencies generated in direct cost into our EBITDA. EBITDA for the year stood at 15.8% at Rs.331 crore .

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We have to take the final hit of the Future group outstanding, the charge -off in terms of doubtful debt was about Rs.23 crore for the year, without which our underlying EBITDA for the year would have been at 17%.

We also had an unfortunate incident of fire that burnt one of our factories in Bangladesh. While it has a full insurance coverage for the quarter and for the year, we have booked an exceptional loss of Rs.47.2 crore on account of the loss due to fire. Therefore, the PBT before exceptional loss was

Rs.41

crore and Rs.229 crore for the quarter and for the year respectively. And the final PBT post the exceptional loss stood at Rs.197 crore for the year and a loss of Rs.6.4 crore for the quarter.

I think to summarize the performance for the year, it was a great success in accelerating not only the revenue growth but gaining back share in value segment and more importantly driving transformational changes in our supply chain which has and will continue to yield superior cost efficiencies for the future. As we have highlighted before, our own manufacturing has scaled up very well both in India as well as in Bangladesh.

We have invested approximately Rs.100 crore in manufacturing CAPEX during the year and we plan to further invest Rs.200 crore in the current financial year to build our own manufacturing capacities keeping in mind the demand for the next couple of years. Not only in the back end, but we have also significantly strengthened our go -to-market and channel operations.

Our exclusive business outlets have crossed the 500 mark in FY23 and this is significantly ahead of what we had pre COVID, and we continue to have aggressive plans to take this to as high as 800 EBOs during the current financial year.

Our traditional trade distribution has crossed the 1,200 town mark in FY23 and we intend to continue our penetration and driving effective coverage to a target of covering all 50,000 population towns by the middle of next financial year.

When we come to the modern trade channel, we all know that it had a huge setback due to the closure of the Future group accounts. But not only the channel covered for the loss of stores during the year and made up for the growth through other chains. But now with all the closed stores being fully operational under the Reliance banner, we will stand to have an advantage.

When we come to the eCommerce channel where we seem to have a competitive gap, I am happy to share that we have initiated an accelerator program. We have gotten onboard BCG, one of the best consulting firms in the field to build for us the right capabilities and muscles in an accelerated way for

the future.

When we come to our power brands, I think each of our luggage power brands in the respective segments have done very well. We've invested behind them during the year. And if you would have
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noticed more recently, we have started strengthening our Caprese brand, which is in one of identified future growth areas, both in terms of its product portfolio as well as its engagement with consumers.

Looking forward, with the strength that we have built and a good demand environment, I am confident that the team at VIP will deliver consistently fast-paced and profitable growth.

With this I conclude my opening remarks and open the floor for questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Tejas Shah from Aventus Spark. Please go ahead.

Tejas Shah : My first question pertains to demand sentiment. So if I see historically our 4Q number usually tracks somewhere around 95% to 100% versus 3Q, and this is pre-COVID I'm talking about. And even if I see numbers of some of the hotel companies who have just reported numbers or airline, 4Q actually did better than 3Q for most of the travel-oriented companies. So just wanted to know how should we think about demand in our sector and how should we think about it going forward in the first half of this year?

Anindya Dutta: So I think the demand environment continues to be good. Everything that we track in terms of the

lead indicators for demand have been looking good and continues to do so. So, from that point of view going forward, I think we will have the right environment for growth. There is a talk of overall slowdown in the economy, but equally there has been talk about its getting negated in many sectors.

So while we could say the jury is still out, at VIP, we are pretty confident about the demand environment as well as our preparedness to make sure that we tap that.

Tejas Shah : And second on gross margins, so very noticeable improvement both sequentially and YoY. How should we think about gross margin in FY24?

Anindya Dutta: Tejas, I think I have maintained this that we are targeting to make sure that we are anywhere between 53% to 55% always, that's the intent. While the sequential gain has been very good for the quarter, but I think the competitive environment could emerge in a way where we want to balance margin growth and market share in a way that it works for all the three points, and therefore my guidance would be around 53% to 55% that we will continue to pursue.

Tejas Shah : And what could be that for EBITDA?

Anindya Dutta: The translation of that to EBITDA should be anywhere between 17% to 18% thereof.

Tejas Shah : Are we done on provision for doubtful debt on Future group or is anything left still to be done in FY24?

Anindya Dutta: No, I think it is done now.

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Tejas Shah : Ma'am, we had some claim for the previous fire that we had, it was pending. Have we got that money?

Neetu Kashiramka: We haven't got that money.

Tejas Shah : Any update on this?

Neetu Kashiramka: So we are trying to get it. Hopefully, it should come in next two to three months.

Tejas Shah : Last one on Caprese if I may. When I look at our own presentation what we have released and you spoke about Caprese as a next growth driver, I just wanted to understand how are we placing the brand? At one point, we are tying up with global brand names like Disney and Emily Paris kind of franchisee. And then when I do channel checks, I find Caprese getting much more GT-oriented or slightly kiosk like modern trade strategy. So, just wanted to understand, are we making it much more mass oriented brand or we want to actually go EBO and premiumize the brand from here on?

Anindya Dutta: So the go-to-market strategy will follow. When I say go-to-market in terms of what you said in channel and in stores but fundamentally the brand is positioned to be in the premium segment, right, but not in the luxury or super premium segment. Yes, in the previous two years, we were possibly tending towards making it more mass but my strong belief is that there is a huge market and an opportunity in what we call as premium. So, between 2,000 to 4,000 ASP kind of a bracket is what we are looking at to play in.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Jinesh Joshi : I have a question on the fire incident. So basically, how long will it take for the operations to fully resume at our Bangladesh plant? And secondly, if you can also quantify what is the extent of business loss that we have had in 4Q because of this incident? And one follow up which I have is with respect to our performance on the top line front. So if I look at our top line, despite the sequential fall of about 14%, our other expenses are up by about 4% even if I adjust the Future group provision of about Rs.12 crore-odd. So just wanted to understand what is driving this inflation and is there an element of one-off here?

Neetu Kashiramka: I'll take the

e second part of the question. On the expense side, since our revenue, if you see quarter - on-quarter, this quarter was the lowest and therefore operating efficiencies have not kicked in and the second part is on the Rs.12 crore of provision for doubtful debt so these are the two things which have made other expenses higher.

Anindya Dutta: Out of the Rs.23 crore doubtful debt, Rs.12 crore came in Q4 FY23 only. Coming back to your earlier question on the fire incident and the impact of that on the business, firstly, I'm sure you know, but to reiterate, this is one of the eight factories that we have in Bangladesh. Undoubtedly the whole VIP Industries Ltd

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operation of this factory seized after the fire because it was burnt to the ground literally. But, we have very quickly covered that with a couple of things; one, an outsourcing stopgap arrangement within India; and also within Bangladesh what was in the pipeline to create future capacities which was to kick in slightly maybe few months later was accelerated and we have started those capacities in Bangladesh. So this factory in itself will take time to come back to be rebuilt. But in lieu of this, the space that we had and

other factories that are coming up have been made operational. There was a momentary issue in terms of supplies for about four to six weeks which has been covered now and therefore the impact of that in all practical terms have been minimized in terms of any revenue loss because of that one factory production being shut.

Jinesh Joshi : I believe one of your peers entered into the premium category by making the soft launch on a D2C platform. So what steps are we taking to ensure that we compete effectively in this category and also given that the entry of this player, can it lead to a significant price realignment in the premium segment or you believe that the operating dynamics of the mass category are completely different and the strategy to compete on price may not work in the premium segment, just wanted your thoughts on this bit?

Anindya Dutta: There are very aggressive and robust plans in the mid -premium and premium segment that we have under the VIP Skybags and Carlton brand. So brand plans along with what we are wanting to do in terms of channel and go -to-market. I think they both come together to make sure that we have strong foils as far as the mid -premium and premium segment is concerned. I am cognizant of the fact that D2C and eCommerce opens up an area of easy entry for newer competition to come in and that's why, as I said in my opening remarks, we have decided to leapfrog as far as capability and competencies are concerned on eCommerce, which is not only what we see as marketplace eCommerce, but also as D2C business by VIP . So that's something that we have on the card. So, while we keep a very strong watch on competition and the progress that is happening in the overall industry, but there are effective plans to make sure that we counter any kind of competitive buildup that happens.

Jinesh Joshi : One last book -keeping question. This Rs.200 crore of CAPEX guidance which we have given for FY24, can you break it down between soft and hard?

Anindya Dutta: It is both in manufacturing sites as well as the plant and machinery for that.

Neetu Kashiramka: About 70% is soft luggage.

Anindya Dutta: Yes. So the larger part is soft luggage here in terms of the investment that will go in , when I say soft luggage, we include not only uprights , but categories like backpack and DF, DFT as well.

Moderator: The n

ext question is from the line of Bhargav Buddhadev from Kotak Mutual Fund . Please go ahead.

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Bhargav Buddhadev: So my first question is, in the opening remarks you mentioned about BCG being appointed to accelerate market share on the eCommerce front. Is it possible to quantify in terms of milestones where do you want to reach in terms of market share, what is the timeline etc.?

Anindya Dutta: I am sorry, Buddhadev, this is a little too premature to get down to that level of specifics, but I would want to reiterate that the objective obviously is finally going to be strengthening our market share, the

focus is usually on building fundamental competencies to become best -in-class as far as eCommerce operators and eCommerce business capabilities are concerned.

Bhargav Buddhadev: On the backpack side, you mentioned you're planning to sort of invest in manufacturing. A few of your competitors have launched aggressive pricing on the backpack, I mean, below Rs.1,000 MRP . So are we also looking at aggressively entering the segment given that the TAM for this is very high?

Anindya Dutta: Short answer is, 'yes'. We are looking at backpack for ourselves to be a very large growth area in the coming years including the current financial year. We are going to see the category in a much more holistic way across the spectrum of both pricing as well as various consumer usage of backpacks in terms of all segments within backpacks and that's why the commitment and the investment behind manufacturing ourselves as well as continue to source it from India as well as China.

Bhargav Buddhadev : And lastly on Caprese, just wanted to have your thoughts in terms of what is the milestone in terms of number of EBOs, shop in shop, etc., how are you positioning this brand?

Anindya Dutta: So right now in the short term, we are going to make sure that we have become a dominant eCommerce player in Caprese, that's the first milestone from a go -to-market point of view. In fact, even prior to that, we wanted to go back to the drawing board and work on our product portfolio, our

positioning, our sourcing, and therefore the price points and all that, I think a large part of that has been done or at least we are feeling now at a good space there, we are taking the sole strategy and the fight into the market now. The first milestone will be eCommerce and D2C. In fact, for your knowledge, today capresebags.com is fully functional. We have had a lot of teething issues but now all that has been now behind us. It's a brand, it's a website that's doing, good business to begin with. Every day, hits are high. So, these are early stages, but that's the long term vision and the commitment there. And thereafter we will also look at creating experience on-ground with our products and our brands, which would mean EBOs and in concept stores but I can't give you more specifics on that side in terms of number of stores where, but things that are getting built there and maybe in subsequent quarters we could come back to you with more specifics on how we are going to look at Caprese but larger growth of Caprese onto overall business in VIP, I would think it would be visible more in the next financial year. This financial year would be more strengthening the foundation, creating the fundamental strength that is needed to really get into a very fast pace growth going ahead.

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Bhargav Buddhadev : So, fair to say this year will be driven mainly by backpacks and growth on the premium side of your portfolio?

Anindya Dutta: That's right. And I think value will continue to grow because of the unorganized sector yielding into organized. And I think that will continue to remain almost with the similar amount of tailwind as much as it was in the previous year. So really speaking, what will happen is value will continue to grow, premium and mid-premium will join the bandwagon, right, and backpack is far more unorganized

in the luggage sector. So there is the unorganized sector and overall growth of the category itself is very high and we got to just play it right in this segment.

Moderator: The next question is from the line of Piyush Khandelwal from Bank of India Mutual Fund. Please go ahead.

Piyush Khandelwal : So, firstly on this BCG expense that you mentioned, can you quantify, I mean, how much would be the amount and this is for how long?

Anindya Dutta: Well, I can't share right now expense related to this. The engagement will continue for almost the full part of the year, about 10-11 months, it will cover almost the full part of the year and they are going to partner us through the journey of building the capability as well as converting them into execution during the year.

Piyush Khandelwal : My second question is, with this increase in in-house manufacturing that we are doing, will there be any kind of further more efficiency on the working capital side that we can see, I mean, right now we are operating at what 90 days that you mentioned in a presentation, so any kind of further working capital efficiency that we can see because of this in-house manufacturing?

Neetu Kashiramka: Yes, definitely, we are looking at 15 days of further reduction on the overall working capital, so 75-days.

Piyush Khandelwal : And this is, I mean, by '25, '24, two, three years?

Neetu Kashiramka: In next 18-to-24 months.

Piyush Khandelwal : This will be majorly led by hard luggage or I mean soft luggage?

Anindya Dutta: It is in the mix of the business that it has and it will follow that. Our manufacturing footprint is increasing with our projected mix of business between hard and soft and we are setting up facilities keeping in mind what we project as the demand and therefore all the impact of those will be visible in the same proportion of how the demand will be.

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Piyush Khandelwal : This 300 EBOs that we have outlined for this FY24, I mean, will this be a franchise-led or mix of FOFO and COCO?

Anindya Dutta: It will be a mix, but majority of this would be franchisee-led.

Piyush Khandelwal : Around 80%-85%?

Anindya Dutta: Right now, we are going with the mix of about 75:25 intended mix, but we'll have to play it as you go along.

Piyush Khandelwal : Sir, in your opening remarks as well you mentioned about this demand. If you can highlight, I mean, what kind of expectations you're looking for the industry growth let's say over next two to three years given this luggage sector especially doing well versus other consumption sectors, just wanted to get the sense on the growth rates for the industry?

Anindya Dutta: I think the underlying growth rate of the overall industry would be about 8% to 10%, but the organized sector will have an accelerated demand and that's the assumption and

expectation. I think the

organized sector will be at about anywhere between slightly upwards of 15% is what we are expecting to continue for the next few years.

Moderator: The next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Jham : One question was, you highlighted at the start of the call about the seasonality part and the fact that

the quarter was good. Generally, is there any change in terms of how we look at Q3 and Q4? Only reason I'm asking that is because this quarter we saw many more weddings in terms of the wedding calendar, which is ideally supposed to be a driver for the business. So just from that angle, if you want to comment and if there is a change in the way the seasonality of the business is going to play out in the future.

Anindya Dutta: Just so that I have got your question right, you talked about the wedding calendar for Q1, I mean -

Nihal Jham : No, for Q4FY23, there were many more wedding dates versus Q3 FY23 . So maybe the expectation was that the revenues that we end up clocking should have been similar just based on that being one of the drivers to the business?

Anindya Dutta: Well, we can't correlate data here, but in our understanding Q3 FY23 had more wedding -related purchase that we usually experience. So, it is more the festive season and the wedding which kind of comes together and that's how we see. The Q3 is getting more support from the wedding demand.

Nihal Jham : But irrespective of that, like if we have to look at the two quarters play separately, there is no change in the way you would expect that they play out in the future?

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Anindya Dutta: When you ask that question, I just want to say that, for the coming year, Q3 wedding season looks better than most other previous quarters that we have seen. So we are far away from Q3 but this year Q3 will have the peak of festive season. It's slightly delayed than the previous year in terms of Diwali and the high number of wedding dates that we see for Q3 is slightly higher than the best that we have seen in the past.

Nihal Jham : While you've alluded to the BCG tie -up, I just wanted to understand something around that. You highlighted about Caprese becoming a dominant player in eCom and historically, we've discussed maybe from the value segment, it's not that attractive a channel. At the initial stages currently, do you have any

specific brands of the ones you have which will create a dominant share at this point in time in the online space or it will be the preferred ones to gain share on that channel?

Anindya Dutta: So, we are in the process of identifying land and more important areas where you set up the Greenfield manufacturing in India.

Nihal Jham : Sorry, I couldn't hear you clearly. Can you please repeat that?

Anindya Dutta: I said the CAPEX investment is both in India and Bangladesh. And as you rightly said, it will be a combination of Greenfield and Brownfield both in India and Bangladesh. In Bangladesh, in the same SEZ location where we are there, and in India, we are in the process of scouting for the location and thereafter the land or whichever way we find the right opportunity to establish a Greenfield or Brownfield in India. It's work in progress right now.

Nihal Jham : Will there be any soft luggage expansion in India as a follow -up to this question?

Anindya Dutta: Yes, there will be. So, most likely while we manufacture mostly in Maharashtra, we are going to look at for now up north for putting up possibly an integrated plant of both h

ard and soft luggage. Soft

luggage will be included in this.

Nihal Jham : And as a follow -up, when we look at the top three players, so combined capacities as of FY24 end should be closer to Rs.4.5 crore of annual manufacturing units. So, can you talk about the current utilization? And if you can also comment on whether we can see a scenario where possibly for one or two years it could be extra supply or oversupply in the industry?

Anindya Dutta: Well, I can't talk about the industry, I can talk about VIP . And yes, we are building capacities, keeping in mind the next three years that we will need and we will activate the capacities as and when whichever year the demand. We have something called an (LTCP) Long Term Capacity Planning, that exercise we do twice in a year and we continuously look at a rolling period of three years to say what demand, which location, which part of the country, what categories and our creation of manufacturing facility is

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the output of that exercise which gives us what category, what quantity and what optimized location.

So that's how we are progressing. But on your question of how the overall industry is going to be in terms of capacity and utilization, I would refrain from commenting on that .

Nihal Jham : And lastly as a follow -up, on manufacturing soft luggage in India. So we've seen a scenario where in 2000 manufacturing shifted to China, in 2015 manufacturing shifted to Bangladesh and now again we're seeing manufacturing shift back to India over the next few years. So, if you can comment on the unit economics how they differ in manufacturing soft luggage in India versus Bangladesh versus China?

Anindya Dutta: So China is becoming more and more expensive with the wage rate and more volatile and therefore from our perspective that's something that we would like to build in terms of our back -end ourselves.

And this is not to manage the volatility and the cost, but it's also about strengthening ourselves to overall be more competitive with China also someday for sure. In terms of India versus Bangladesh, there is a trade -off between the logistics cost and the cost of manufacturing in Bangladesh. India is

increasingly becoming better in raw material availability and all that, I mean, not immediately, but overall in the longer run. So when I say the north facility, it makes sense to service parts of north which is more produced in north versus coming from Bangladesh so, that's the underlying concept of looking at. Wherever it is more optimized to manufacture to make sure the total cost of delivery to the consumer has to be optimized irrespective of the source and that leads to the decision of where we should have manufacturing.

Nihal Jham : On the insurance receipt for Bangladesh, by when can we expect that?

Neetu Kashiramka: As of now, we don't know because it's a process, but definitely it should take nine to 12 months, but we can come on this like exact timing dates maybe in a quarter or so, as of now it is in very initial stages.

Moderator: The next question is from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh : My first question is, like we mentioned that 70% of the CAPEX we will be doing on soft luggage, while we see that the industry is moving more from soft to hard luggage, and our numbers also reveal the same thing. So, any specific reason why we are expanding more on soft luggage instead of hard luggage?

Anindya Dutta: No, when you say soft luggage and hard luggage, it is the uprights, the su

itcases that we are talking

about. The other categories which are backpack, DF, DFT and also the part that we do for CSD which is outsourced. A lot of that is the capacity that when we in-source, one gets a benefit, the other is soft luggage when I said it includes backpack and DFT.

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Akhil Parekh : So it means that larger part of the 70% will go towards the backpacks and the DFT?

Anindya Dutta: Yes, you could put it like that.

Akhil Parekh : Second question is on the mid-premium, premium segment, right. As a percentage of sales is still stagnant if I look at it over last two years. And even though the international travel has fully opened up and we see the numbers are coming back to pre-COVID levels, are there any specific reasons why mass category continues to outpace premium, mid-premium segment?

Anindya Dutta: Yes, that is the unorganized sector, from which the organized sector is kind of getting growth. So, as the unorganized sector gets into the organized, it is more into the value segment. It has a far bigger pool of growth because of the shift and therefore what is more important to see would be the growth rate and not the mix between premium and value.

Akhil Parekh : And lastly, did we see any impact of the heat waves in terms of demand during the first quarter of this year?

Anindya Dutta: You mean to say as we speak now in this quarter?

Akhil Parekh : Like any negative impact or any slowdown because of the increase in heat wave?

Anindya Dutta: There is nothing that we can correlate to the heat wave as of now on to the demand.

Akhil Parekh : Regarding the fire incident, if I look at it last 10-years this is the third fire incident. So are there anything difficult to comprehend like any lapses on our side, why this has been happening bit frequently than probably what we can expect from our company like VIP?

Anindya Dutta: Unfortunately, there is nothing common on them or neither in terms of the practices that we have. The factories have been built in the specifications of all fire safety and best practices currently in almost all of our factories and warehouses. So I could only say that these are unfortunate incidents when we see seems to have a common thread but it does not.

Moderator: The next question is from the line of Manish Sonthalia from Motilal Oswal. Please go ahead.

Manish Sonthalia : I just wanted to understand what could be the peak revenue potential from this Rs.200 crore CAPEX?

Anindya Dutta: Well, one, we got to understand that this CAPEX is not for this year or just the coming year, but because there are Greenfield projects involved, so this we have a perspective of the next three years, including the current year, so FY'24, '25 and '26. But if we were to convert the CAPEX that we are putting in right now, this peak CAPEX and capacity can go up to about Rs.3,200 crore to Rs.3,500 crore.

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Moderator: The next question is from the line of Ankit Babel from Subhram Ventures. Please go ahead.

Ankit Babel : A couple of questions. Sir, you mentioned organized sector is expected to grow at around 15% -plus for next few years. What would be our growth rate in FY24 and 25?

Anindya Dutta: See, in the core luggage category, we would expect to grow faster than this because thi

s is the growth

rate we are talking about largely in the luggage segment. So, maybe we would always strive to gain share, so maybe a few percentage points more is what we will target. But we are also looking at growth areas which are Caprese and growth areas which are international in the slightly mid-term to longer-term. So, overall the growth guidance could be ahead of 15% for sure.

Ankit Babel : But, can it be like 20%, 25%?

Anindya Dutta: The ambition is to grow it at about 20%.

Ankit Babel : Just wanted to understand your maths of operating margins, I mean, in Q4, your gross margins were 58%, but operating margins were around 17% after adjusting to the Future group provision. Now for the next year, you are guiding for similar operating margins of around 17% to 18%, but at a lower gross margin of 54% to 55%. So, can you just explain that, I mean, are you expecting any operating leverage or lower other expenses ?

Neetu Kashiramka: This will be basically due to operating leverage. The overheads will not grow in line with the revenue growth and that benefit will get into the bottom line.

Ankit Babel : Okay, but, what I could recall was that earlier you people were targeting for some 19% -20% kind of EBITDA margins. So that is still on cards or you are just trying to be conservative here or you feel that 17% -18% is the normal margins?

Neetu Kashiramka: See, the mix is changing, right?

Anindya Dutta: It's good to be conservative and deliver better. But right now, if you ask us, yes, that's what we would like to say. But yes, internal ambition would be in the range of what you're saying.

Ankit Babel : Lastly, how is the export opportunity, what's the visibility there, I mean, you guys were targeting to be dealing with Walmarts and all those large pharma stores and overseas markets, so what's the status of that?

Anindya Dutta: I think we have clarified in a few calls back that somewhere this thought came into the conversation that we were looking at Walmart and OEM, that's not on the cards, I would like to clarify that, but international business more from a branded business point of view is what we would want to do. I think we have taken initial steps and it has worked very well over the last financial year. If you see even the contribution to the total business, it has grown and internally we know that we've done

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highest ever in international business in FY23. FY24 also, we will continue to build again strong foundations, when I say foundations, we are more looking at instead of expanding many markets, we are trying to go deeper into the markets that we are present in looking at having more than a foothold maybe, worthwhile market share in some of these markets and to invest in those markets to grow market share which is the level one strategy. In the Horizon -2 as far as international business is concerned, we would then look at European and US market but may not be in this financial year FY24, but we will prep for that so that we could have a big growth impetus coming from international business in FY25.

Moderator: The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani : In your presentation, you have mentioned that your capacity will increase in FY24 to 2,150. So just want to understand, this is only for the. Brownfield CAPEX or this is the total expansion that will come on line after this CAPEX?

Anindya Dutta: This is our own manufacturing, which includes Greenfield and Brownfield, but this is not third-party, this is our own manufacturing numbers that we have put

there on the presentation.

Neetu Kashiramka: Also, this is expansion initiated. So basically what will happen is some of the capacities will start in the next year, for example, we are building and then finally by the time the commercial production starts, it will be the next year, so which is FY25.

Jigar Jani : So by FY25 you expect to have this own manufacturing capacity in place?

Neetu Kashiramka: Correct.

Anindya Dutta: This capacity getting operational will be in FY25, yes.

Neetu Kashiramka: Will be started

Jigar Jani : Ma'am, could you highlight what is the current capacity utilization in the 1,400 -odd capacity that you have?

Anindya Dutta: Currently, the capacities are almost 100%. 1,400 is not fully got commissioned as of now and that's why we had put those capacities. Going forward, we would have about 80% to 85% capacity utilization is how we have built the capacity. The capacity plan is then keeping in mind 80% to 85% utilization and rest is the headroom for peak seasons.

Moderator: That was the last question for today. I now hand the conference over to Ms. Neetu Kashiramka from VIP Industries Limited for closing comments.

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Neetu Kashiramka: Thanks, everyone for joining this call. And in case you have any other questions, you can connect. Thank you so much.

Moderator: Thank you. On behalf of VIP Industries, this concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Aug 2023

VIP Industries Limited
Q1 FY24 Earnings Conference Call
August 03 , 2023

MANAGEMENT

MR. ANINDYA DUTTA – MANAGING DIRECTOR – VIP INDUSTRIES LIMITED

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Moderator: Good evening and welcome to the Q1 FY24 Earnings Conference Call of VIP Industries Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on the touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Snighter Albuquerque from Adfactors PR Investor Relations team. Thank you and over to you, Sir.

Snighter Albuquerque : Thank you. A very good evening to everyone, and welcome to the Q1 FY24 earnings call of VIP Industries Limited .

From the senior management , we have with us Mr. Anindya Dutta – Managing Director and Ms. Neetu Kashiramka – Executive Director and Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services . Further, I would like to mention that some of the statements made in today's conference call may involve certain risks and uncertainties. Please take note of that.

Thank you and over to you, Mr. Dutta.

Anindya Dutta : Thank you, Snighter . Good evening, everyone, and thank you for taking out time and joining this conference call. I hope you have all received a copy of the results published yesterday and the presentation uploaded today. As you would have seen, we had a very challenging quarter one. The revenue growth for the business overall was 8% for the quarter . We experienced a significant slowdown of demand growth compared to the fast-paced growth that we experienced in the last financial year. While travel, especially air travel, continued its growth momentum from the data that we got. The differential demand growth in quarter one comes from the wedding season which apparently was significantly subdued, both on account of the number of dates and possibly spends. The demand core could be muted because of the replacement cycle of the category with significant upsurge in luggage buying in the previous year when travel had opened up fully post pandemic.

In addition to the external environment, we had a very challenging situation at our Bangladesh facility post the loss of one of our large factories due to fire. Our alternate arrangements to rectify the supply chain could only partially fructify towards the end of the quarter and unfortunately, we continue to have headwinds and streamlining our supply situation from Bangladesh. The disruption at Bangladesh not only resulted in short supply of some of our key ranges in soft luggage, which impacted the VIP and Sky bag revenues for the quarter, but also the lower production had unfavorably impacted our gross margin and this is due to the under absorption of the manufacturing overheads at Bangladesh .

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While coming back to the revenue growth , while it was at 8%, I would like you to note a point that the growth in our trade channels, what we call as trade channels in offline channel general trade and modern trade and online in the e-commerce portals together was at about 16%

. These channels contribute to approximately 70%

of the business , the balance 30% is CSD institution and a small part as export business.

I would like to mention especially the institutional sale in the last year was exceptionally high owing to a one-time order of Hajj pilgrimage that we had got. If we were to net out this , then like to like the growth would be 12%. Also, I would like to mention the CSD channel, which contributes 15 odd percentage to the business in this quarter over the previous quarter, owing to significantly lower orders from CSD. CSD has initiated a very large -scale refreshment exercise for the category where we are now replacing 50% of all the approved ranges with new ranges from our existing portfolio. While this has impacted the business in the short term , I believe this will give a positive fillip to the category in CSD and will be an advantage for us in the future . While there were headwinds in terms of overall demand slowdown and as I mentioned, the unfavorable impact of CSD on the channel , the underlying growth for us could have been better given better supplies.

Now coming to the gross margin, the gross margin for the quarter is 49.5 % . This is 0.4% lower than last year same quarter . It actually lower ed by about 3 % to 4% from our targeted gross margin which this is largely due

to the lower production in Bangladesh and therefore the unfavorable impact of under absorption of the overheads and the lower gross margin is also due to the unfavorable mix and when I talk about unfavorable mix, this is both in terms of brand and channels. Our value brand , Aristocrat had a very good growth at 26% in this quarter over the same quarter last year ; however, the growth in VIP and Skybags was muted and this possibly is largely due to the short supply in some of the key ranges as I mentioned from Bangladesh . In terms of channel, I mentioned CSD and CSD has a higher margin impact and with the lower salience of CSD, it also had an impact on the gross margin.

In terms of our fixed overheads, we continue to invest behind our brands and channel development. You would have possibly seen the high visible campaign on Skybags , the “Keep Trending ” campaign which was across social media , across press and outdoor, and also our campaigns on VIP and Aristocrat . This significantly higher investment in our brands and strengthening our channel , when I say strengthening our channel, I actually mean e-commerce both in the front end as well as in the supply side, there was significant investment in this quarter and this effected overall to a lower EBITDA compared to last year and EBITDA was at 13% , and a resultant PBT of 12% . The PBT of 12% which is Rs. 77 crore includes an exceptional income received of the insurance claim of Rs. 26 crore .

To sum it up, I think we had a very challenging quarter. It seems that demand environment might continue to be muted in the immediate future. We have continued challenge in our hands to streamline our supplies. Having said that, I'm quite hopeful about a good festive season coming ahead in Q3 and I feel confident that our focus on building strong fundamentals in our go -to-market, in our brands and in our supply chain will deliver strong and sustained results. Thank you.

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With that, I would open the forum for questions please.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Tejas Shah from Avendus Spark . Please go ahead.

Tejas Shah : Three questions

from my side. First on growth challenges, you also kind of said that the subdued performance had also an embedded reason of supply challenges also. So, as per your assumption, how much incremental growth we would have lost because of Bangladesh fire disruption that we witnessed this quarter ?

Anindya Dutta : I would say it's difficult to put a number to it, but a very rough estimate would be about 3 % to 4%.

Tejas Shah : And sir would you say that demand sentiment also kind of disappointed you or was it largely our internal challenges supply side which kind of made us come out with underwhelming number?

Anindya Dutta : So, definitely the demand environment did give us a surprise. We were expecting a better demand environment

and as I said, I think it is more the wedding demand cohort, which significantly was muted compared to what it usually would be, and I noticed that across other companies who are largely dependent on wedding -based revenues , and this also corroborates that we saw lower growth in the Heartland where in the summer season we get a huge, we get usually get an upsurge of demand because of weddings. So, that part was a surprise where we thought the demand was significantly lower than what it could have been or should have been.

Tejas Shah : Sure. So, my second question pertains to our gross margin. So, if I see it and not only for this quarter, but if I compare our share of in -house manufacturing versus pre COVID, which has improved from 40% to 70%, but our gross margin continues to be lower than our pre COVID period. So, ideally it should actually trend higher than the pre COVID number, so just wanted to understand why is it still low and where do you see it settling down once we have full control on in-house manufacturing?

Anindya Dutta : So, one, the full benefit of in -house manufacturing is yet to come onto the business. The larger point here is that benefit that we have got because of in-house manufacturing is in a way plowed back to make ourselves more competitive in the value end of the segment, and that's how you see our trade and possibly our ability to take share in that is increased. If you see the Aristocrat share from pre COVID 25% , now has gone to almost 42% and the gross margin is at the same level as what it was before. I think the part that we have got till now in terms of the benefit has been plowed back to in competitiveness.

Tejas Shah : Third and last one, was there any one-off in other expenditure this time and after this quarter 's performance, how would you revisit your guidance on both growth and margins for FY24?

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Neetu Kashiramka : So, there is no one -off. However, we have spent more in advertising which you see in the other expenses and

there is the legal and professional fees and there is some warehousing cost because of higher revenue projections , we have taken additional warehouses.

Anindya Dutta: There are some one -offs, very minor ones , not, but because we as part of strengthening our supply chain and

fulfilment for e -commerce, we are reorganizing our warehouses to make it more in tune with what the channel

or the business needs and that could have been the slight one-off that has happened in this quarter, which will not be consistent in every quarter going ahead.

Tejas Shah: And would you revisit your guidance on margins and growth for the year?

Anindya Dutta: It's very difficult to right now pinpoint this and we will be on the lookout in the coming months to see how it pans out but I think I am still hopeful that we should be able to get a 12% to 15% revenue growth for the year

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but while I say it, a lot depends on how the demand environment really unfolds going ahead, especially in the festive season.

Tejas Shah: So, any range for margin similarly?

Anindya Dutta: Well, on margins, I think we stand committed to a 50% to 53% gross margin and I think that is something that we should be able to get it back. There were several things right now happening, which more was of quarter one things. As I said, the under absorption of manufacturing overheads because of the Bangladesh thing, once it's streamlined and we are in the work in progress to make it happen, it should come back to that.

Tejas Shah: EBITDA margin, if you can help.

Anindya Dutta: EBITDA margin, we should be looking at 16% to 17%.

Moderator: Thank you. Our next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited, please go ahead.

Jinesh Joshi: And if I look at this quarter, our volume growth is about 10.5%, whereas the value growth is about 8%. So, does that mean we have taken any price cut in this quarter? And also any specific reason as to why we were not able to get the institutional order this time around, which has suppressed the topline growth a bit?

Anindya Dutta: So, let me answer your first question, there is a mixed deterioration as I said with the differential of Aristocrat versus VIP

Skybag and VIP Skybag had a, I would believe a temporary issue in quarter one because of supplies, so that's one. Also, the market has with

demand slowdown has become competitive and there is more pricing and discounts interventions that are happening and we are matching

it as and when it is coming up. So, on that account, I think the value difference is coming from there. On the institutional order, as I said, the

last year based at an institutional order of a very one-time nature, which was for the Hajj pilgrimage that was happening. It was a very large

order that was executed within quarter one of last year. So, it was an exceptional order that came in last year.

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Jinesh Joshi: And in response to the previous participant question, we mentioned that this time around, we spent more on A&P. So, can you share the number, what it was in this quarter versus the base quarter?

Neetu Kashiramka: Rs. 51 crore versus Rs. 32 crore in last year.

Jinesh Joshi: So, I was just trying to link the A&P growth and the topline growth which we have reported, so the A&P spends are quite high in nature, yet the revenue growth is in single digits. So, any particular reason as to why the topline growth has failed to catch up despite such sharp rise in the spend. And also, if I recollect properly this time around we launched quite a few offers to kind of promote sale and prima facie it appears that it has not played out well, so your thoughts on this?

Anindya Dutta: No, I think you're right. The investment on the brand was high as the numbers are showing, but that's coming from our decision of that will continue to feed the brand especially in the quarter where the demand environment is more contextual to travel, so it's a more salient quarter for us to leverage any brand investment.

And as far as the investments and promotions are concerned, these were completely competitive in nature.

With the slowdown there is, as I said, the intensity is high in terms of what competition is doing and therefore it was important for us to also be there with the right amount of promotions. If the investment not resulting into the revenue, I think is the crux of it, which is where the whole demand situation possibly is the unfavorable

condition

condition which is not resulted in the revenue growth.

Jinesh Joshi: Just one follow up, I'll get out of the queue. If the growth fails to pick up, will the A&P spend come down? And secondly, with the slowdown which we have seen, does that keep capex guidance for Rs. 200 crore remains intact?

Anindya Dutta: So, yes, going forward, we are going to do our tight rope walk because now that we have to experience the right

kind of demand environment to come back with that level of advertising and brand investment. However, any kind of channel investment will continue to need to be there because that's for the year and also for the long term. We will recalibrate our A&P spends looking at the demand that we are expecting and it won't be similar what we had in quarter one. As of right now, our CAPEX spends are linked to what we are looking at demand for this year and next year. We are revisiting it. We may not cancel it, but we will reschedule or postpone the investment for some time and come back to it, so, I can't give you a guidance on the CAPEX that we will do for the year, but at overall overarching level, we are committed to the long term. We'll make sure that our capacity is growing in line with our expected demand in the next 2 years.

Neetu Kashiramka: But it can postpone by 1 or 2 quarters.

Moderator: Thank you. Our next question is from the line of Prathamesh Sawant from Axis Securities Limited. You can go

ahead, sir.

Prathamesh Sawant: So, one quick question from my end. So, can you give a timeline as in what, how long will it take us to normalize

our supply situation so that we can return back to the gross margin target that you have ?

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Anindya Dutta: As of now, I think it's going to take about maybe 2 to 3 months to get the supplies right, but this has also resulted in a n inventory situation which is slightly lopsided or high depending on, you know what kind of demand is there, that optimization on the inventory may take a longer time, but in terms of supplies to cater to the demand and revenues, we should be able to streamline it only by the end of this quarter .

Prathamesh Sawant: So, for Q3 demand we might have, we can see the better margins that of 50% gross margin, is that what you

can interpret?

Anindya Dutta: Yes.

Prathamesh Sawant: And sir, secondly , any idea on any market share gains or idea on any market share update?

Anindya Dutta: No, I don't have that right now.

Moderator: Thank you. Our next question is from the line of Karan Khanna from Ambit Capital. Please go ahead , sir.

Karan Khanna: So, my first question is on, the multiple new launches that you've done over the last few quarters. So, you've done significant branding and also new launches including VIP Skybags. You've done multiple new launches in VIP Skybags, Highlander Collection, Marvel FIFA Collection, etc. So, could you elaborate more about the ROI s on these investments because basis my limited understanding about the industries of the premium segment and the mass premium segment, typically it's a fast fashion category, so if the products become obsolete say more than 6 months , it usually tend to become obsolete and hence not a lot of demand for these products , so if you can update more on the ROI on these investments .

Anindya Dutta: So, I think there are two parts to your question, Karan. One is you know the fast fashion part of it. I think since we are manufacturing now, most of it or even if we were to procure it, we keep the life cycle of the product in mind depending on what we think is going to be the depth of our produ

ct basis the consumer opportunity.

Therefore, obsolescence in terms of inventory is something that we by design try and track it and control it. It is a fast fashion, so therefore you'll have to continuously bring in new products to appease and delight the consumer . I think we've done a good job in bringing out some of these products, right.

Karan Khanna: So, in terms of revenue contribution, if you could quantify what kind of revenue are you typically seeing because

of these new launches over the last 1 or 1.5 years?

Anindya Dutta: About 30 % to 35% of the revenue comes from typically new designs every year.

Karan Khanna: That is helpful. My second question is on market share. So, we've seen that from 1QFY19 to 1QFY23 , our revenues have grown at 3%-3.5% CAGR. So, if you could elaborate more in terms of when you talk about the wedding demand being muted, is it safe to assume that your other listed competitor there and perhaps even Samsonite. Is it safe to assume that for them the revenue split or contribution from the wedding segment will be relatively lesser or am I wrong in my understanding?

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Anindya Dutta: Well, the demand specifically to the wedding season, the demand was lower that is quite evident in our industry

and allied industries or categories to do with the wedding season. So, I think it will be an overall impact of the muted wedding season.

Karan Khanna: And talking about the institutional order that you mentioned in the base quarter, which is referred to as one time, so if you could elaborate more in terms of , am I correct in my understanding that this was a Rs. 22 -23 crore order in the first quarter of last year and was that order taken up by competition this quarter or is that order not rolled out? So, if you can elaborate more on that front?

Anindya Dutta: It's not rolled out.

Moderator: Thank you. Our next question is from the line of Bhargav Buddhadev from Kotak Mutual Funds. Please go ahead.

Bhargav Buddha dev: My first question is on your supply issues, which you highlighted. So, I was under an impression that you had

fast track the new facility at Bangladesh in order to meet the production loss from your factory which got destroyed in the fire. So, was it the case that the new factory did not sort of come up with production as envisaged, or what happened ?

Anindya Dutta: So, Bhargav, multiple things. The fast tracking wasn't fast enough in terms of lot of other, let's say procedural things that was to be taken care in Bangladesh . Also, it was not entirely dependent on that because it was a large factory. We had about 2 -3 different parts to the Plan B that we created , one was Bangladesh, fast tracking the new facility. The other was even in Bangladesh to start a second shift which is quite against the grain of how ready -made garments or sewing based operations happens in Bangladesh and other parts of the world. Third, there were imports from China and fourth, there were also some developments that we did in new vendors in India. I think we tried doing it all four, a part of it worked and the large part of it did not work within the quarter and there are many other factors that came in the heat wave, the other disruptions in Bangladesh

that we have had caused some of the delays in this whole thing.

Bhargav Buddhadev: So, given that we were anticipating production issues, was it rational enough to spend a lot on advertising

because essentially if you advertise and orders get generated, but if you are not able to supply, then how does that advertisement help?

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Anindya Dutta: So, it was not to the magnitude that it was completely out. I mean, we are talking about a slice of the brand or the portfolio which were to come, which did not come on time and we did try to time it to that extent possible.

But advertising goes beyond, I think having some ranges into the market at that point of time because we're not out of the market. Skybag and VIP brands are big and it needs to be invested upon on a continuous basis for the equity to continue to develop. I think that was a call taken at during the quarter.

Bhargav Buddhadev: And lastly, your e-commerce vertical seems to be doing very well, growth of almost 40%. And you had hired a

consultant as well for advising. So, if you can share some thoughts on how is the project with the consultant approaching, what is the expense you are paying etc.? And that would be my last question.

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Anindya Dutta: I can tell you about how the project is progressing, but at a high level, I think it was absolutely the right thing to do and it is starting to show green shoots in terms of results, but we are significantly focused on making the foundation and the fundamental strong, whether it is in the product portfolio, whether it is, how we show upon the portals in terms of our content or whether it is supply chain including from demand forecasting to really making sure how are we designed in to fulfil the orders on time and have a very high fill rate, so it is across. It's a 360 degree and the project is progressing well and I'm quite confident about it being a game changer for us in the long term.

Bhargav Buddhadev: And sir, any quantification on what's the fee structure like?

Anindya Dutta: No, I don't think that is worthy to share on this forum.

Mod erator: Thank you. Our next question is from the line of Perna Jhunjhunwala from Elara Capital. Please go ahead.

Perna Jhunjhunwala : Most of my questions have been answered, but I just wanted to understand your market share in the e-com

channel. The share of revenue is definitely increasing on that front. How do you see this progress in line with your expectations and how is your market share shaping up on this channel ?

Anindya Dutta: So, we are progressing well as I have said on our expectation on strengthening ourselves to have a much stronger play in overall e-commerce and in the future . It is aimed in long term to gain market share. I won't have quantification on market share as we have just about started , but definitely the objective of this whole thing is to really grow scale . The output of this project has to be about growing scale and market share within the channel. And as I said, that possibly as of right now, we can only say that we are definitely seeing early good signs of result also coming in and we are feeling very good about the progress that we have made from within the organization.

Perna Jhunjhunwala : And the second question is on penetration . One slide of your points out the number of towns that you have

penetrated. It's around 1,300 today, so could you just help us understand how this penetration helps in your volume growth and your revenue growth and what is the possible number of towns that you can enter in next 5 years as an opportunity?

Anindya Dutta: So, at the overarching level, the big purpose of this is to be where the future long -term growth will be, right?

India is growing in smaller towns and down pop strata and it's very important to take a direct distribution to all these towns. We took an aim of looking at every town which is above 30,000 population, right? I can't tell you

for 5 years, but by 2025 we wanted to reach to about 80% of this population of all these towns, which is above 30K population and that's the objective on which we are on. We have added about 70 odd towns in this quarter alone. The target is to reach up to about 250 additional towns, which should take us to about 1500 plus or there abouts by the end of this year .

Perna Jhunjhunwala : Will this help revenue growth, I mean the presence will be EBO driven and MBO driven.

Anindya Dutta: These are largely MBO driven , right . This is increasing direct reach to outlets which are selling bags and a large

part of this is also backpack. It will definitely help in revenue growth and capture the demand, but it will be a

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slightly more long -term investment that we are doing. As we see , the next 2 to 3 years where in India, the growth at the bottom end will happen definitely in smaller towns. So, that's where this is going to result into.

Participant: I just wanted to understand because the number of cities are so large, do you see any concern on receivable days or inventory getting older in the towns because we are spread so large now like 1300 cities is one of the best penetrations across many retail ?

Anindya Dutta: We are also changing our route to market model for this and it is a distributor led TM that we have created and therefore we had distributors for very large geographies , so maybe a distributor for a whole state . We are kind of going into to get this kind of extensiveness in our distribution , we are getting into slightly smaller geography

for a distributor and therefore the deeper penetration. Our receivables and all that we dependent on distributors and therefore the kind of distributors we appoint will make sure that the money is safe and they are the one s who are going to go into the towns and create the distribution so, we will not have a receivable issue.

Participant: There is no direct?

Anindya Dutta: There is no direct distribution into outlets directly by us in the smaller terms.

Moderator: Thank you. Our next question is from the line of Nihal Mahesh Jham from Nuvama . Please go ahead.

Nihal Mahesh Jham: So, my first question was you did highlight about the wedding season being muted. Would it be possible just

for our understanding to get a ballpark sense of what would be the approximate revenues for routine, the normal and the wedding for this specific quarter?

Anindya Dutta: No, I'm sorry, that's something very difficult to put a number to it and split it. I won't be able to give you that guidance.

Nihal Mahesh Jham: The only reason you know just coming to that is because we saw this similar wedding phenomenon happening

in Q3 of last quarter in October, November where you had such an impact , but that time we did end up reporting quite a strong growth. So, hence we're just trying to understand the aberration versus then and now that if there is anything you want to highlight to that?

Neetu Kashiramka: Last year quarter three was very good.

Anindya Dutta: Yeah, but the wedding season was also fine.

Neetu Kashiramka: So, this quarter there were anyways 10 days less , number of days were also less by 10. But we won't be able to put a number.

Anindya Dutta: No, I think the question is more about the contrast between quarter three and quarter one and quarter three was a good quarter and the wedding season was also good in that quarter so, I don't see a conflict in the correlation there.

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Nihal Mahesh Jham: Maybe you know the data that I had , there was a low number of wedding dates then also, but I'll take this

offline to discuss further. That is fine.

Anindya Dutta: Fair enough.

Nihal Mahesh Jham: The second question is just to understand and clarify of the soft luggage that gets produced in Bangladesh, do

any of the brands have a much higher share or it's equally spread across the three?

Anindya Dutta: If your question is coming from the quarter one and the point that I made , so the plant that we lost had a higher

index on VIP and Sky bag production, this is the plant which was our oldest plant in that and this was the first one and therefore this is where we were making largely the premium ranges and high design intense ranges were done in this particular plant and therefore the challenge that we are having to get it streamline from alternate sources.

Nihal Mahesh Jham: And last point was that on the gross margin side, you did mention about the value segment also in a way compensating for some of the benefits . Is from a channel perspective , e-com also somewhere a drive on the GM or that is not something that is overall relevant from a GM perspective ?

Anindya Dutta: No, it's not a drain on the gross margin, but I'm trying to tell you something different from your question, but it is also an opportunity there to make more premium sale happen and that's something that we are pursuing simultaneously.

Moderator: Thank you. The next question is from the line of Akhil Parekh from Centrum Broking. Please go ahead, sir.

Akhil Parekh: My first question is on the premium range, specifically Sky bag. If I look at it, the contribution of Sky bag used to be 40% prior to pandemic and has now come down significantly down from that percentage. So, any specific challenges, is it to do only with the demand situation, where the demand for the mass range continues to be very strong or is it to do with the higher competition from likes of American tourists or Samsonite, that's my first question.

Anindya Dutta: It is a combination of 2-3 factors. One, the demand at the bottom of the pyramid , value range has been higher

in the past, and that's how Aristocrat and the value range swelled up. Second factor, which is more playing in this quarter is a next part of Skybag and VIP, which was the supply issue that we spoke about so these are the two larger issues in what I think is the overall Skybag performance for this quarter alone. I don't think it is much of a competitive issue because I think the brand Skybag is quite strong and is doing very well. So, it's the relative growth between mid-premium and us, they are higher in terms of rate or the value brand is higher and recent issue on supplies, which has caused the Skybag on this quarter to be muted.

Akhil Parekh: Next one on the EBITDA margin guidance , we have about 16 %-17% is what we are targeting for this year. But if I look at it historically for many years, the first quarter has been the best quarter for us in terms of sales margins. Look at the contribution of sales has also been in a range of 30 % to 32% and PBT contribution has been 35 %-40% for the first quarter. So, if I just do rough math , if we were to achieve 16% of EBITDA margins

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on blended level for FY24, we will have to do almost aro

und 17% of EBITDA margin for subsequent three quarters . Do you think this is feasible?

Anindya Dutta: Yes, I think it is feasible because it's going to flow in from the margins , so the gross margin is important. If we were to get at about 50 % to 53% gross margin in the coming time, we should be able to, given on the fixed cost of the things that we can do there differently from how it was in quarter one, I think it's quite feasible there.

Neetu Kashiramka: Also, if you see from last year, this queue of quarter one only is also changing.

Akhil Parekh: Yeah, but I think FY23 was the only exceptional year like if I look a long term ?

Neetu Kashiramka: Yeah. So, I'm saying post COVID , things have changed, so we foresee that may not be quarter two , quarter three

also are equally going to be reasonably bigger and quarter three especially definitely will be bigger or at least equal to quarter one.

Akhil Parekh: And last question is on the gross margin front for this quarter. How much is because of the inferior product mix and how much is it because of the higher discounting that we have given during the quarter. That is all from my side.

Neetu Kashiramka: So, mainly mix impact is 2% and discount or realization 1.6%.

Moderator: Thank you. Our next question is from the line of Nitin Gosar from Bank of India Mutual Funds. Please go ahead.

Nitin Gosar: Well, team, I do appreciate the quarterly challenges that the company is going through, but I fail to understand over last 6 years while the absolute revenue growth has been only Rs. 700 crore for companies like us. And for us, peers had within this industry was far smaller, has also done a superior revenue growth, which is more than Rs. 700 crore over last 6 years during similar time period . What's been the prognosis over there? Where are we in terms of scaling up their revenue, what are the shortcomings? How are you trying to address that? While, quarterly challenges do exist , that's well understood.

Anindya Dutta: Right. It is a very interesting question. I don't see it the last 6 years in one this thing only because I think in between COVID and the pandemic and what impact it had on within the industry and for different companies within the industry has been very different . I think for VIP, the way I see it, is that how the next 3 years is going to pan out and what are the growth levers that we are working on and our confidence on the long -term prospects basis the fundamentals that we are making strong in the company, so very different things have happened post COVID now. Basis our manufacturing strength , we are gaining traction in the value segment and which was not the case before, and that I think the needle has moved significantly there, I think the other part is going to be to look at the mass premium and thereafter mostly the premium segment where we need to make a big dent into it, though it's a smaller part. We are poised well in the longer run to really tap the big opportunity in both backpack as well as the ladies handbag. There are other growth avenues which have been worked upon right now to see how we are going to scale up in the future going ahead. I think that are the ones which are the pivots on which it is going to grow in the future. The explanation on the last 7 years, I think VIP Industries Ltd

3rd August, 2023

because of the pandemic disruption, the companies that you're talking about within the competitive set had a very different opportunity and their ability to tap into that opportunity.

Nitin Gosar: I appreciate that , but sir, we also have to acknowledge the fact that as a resource, our size of organization has

more resource , we have 4 brands versus peers had only one brand. And this industry provides you opportunity in bouts because it's a consumer discretionary space. So, opportunities will also come in bouts. And if you fail to conquer those opportunity in bouts, then we'll have to again wait for the cycle on discretionary space .

Anindya Dutta: You're absolutely right. And I don't think there is a question of failure going ahead in the long term to tap these opportunities that we just spoke about. You are absolutely right, having a house of brands and the other assets that we have are going to be significantly instrumental in making us to tap that opportunity better than others.

Nitin Gosar: Sure and sir last observation, I think I also concur with the fact that one of the participants earlier had questioned advertisement spend ahead of supply chain rejig . I think we need to also revisit that inclination to spend heavily on the advertisement because in the last 5-6 years that advertisement spend has been continuously high. But I think having a four brand portfolio will always, will keep pushing the company to spend more, but ROI needs to be questioned on those investment.

Anindya Dutta: Sure. I mean, I'm taking that as a comment and yes, that's something that we continuously keep a watch on and it's not a one quarter decision. I think overall we will invest in one quarter and we will not invest in another quarter. These are strategic investments and not tactical for the quarter . I think it does pay off in the longer run.

Moderator: Thank you. Our next question is from the line of Hasmukh Visaria from SUD Life. Please go ahead.

Hasmukh Visaria: So, my question is on Caprese . So, we have been very aggressive on that part from past couple of quarters, but

this time around I haven't seen any slide on Caprese launches or anything else as well. So, any comment on that?

Anindya Dutta: The only comment is the slide and we would send you separately on that , I think we continue to be aggressive.

You're not seeing us spending a lot of money in advertising, but once again, I think more the work that is

happening is making sure we get our product right, we get our organization right and go-to-market right and it's on a very good wicket right now. We really haven't started investing behind that to grow revenue at a fast pace because the foundation to be created was very important, and if you would research or look at the range that we have launched in the Spring-Summer Collection 23, I think it's got excellent feedback. In fact, we noticed in the online portals and otherwise also, our full price sell through on Caprese range has been far better than the industry standards. Though it's still at a very small scale right now but we'll scale it up in the next financial year in a big way.

Moderator: Thank you. That was the last question for today. I now hand the conference over to Ms. Neetu Kashiramka of VIP Industries Limited for closing comments.

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Neetu Kashiramka: Thank you everyone for taking our time and joining the call. In case you have any other questions, you can call

me anytime. Thank you.

Moderator: Thank you. That concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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Call: Nov 2023

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Code – VIPIND

Subject: Transcript of Earnings Conference Call on Un-a udited Financial Results
(Standalone and Consolidated) for the quarter ended 30th September, 2023

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call ("Earning Call") held on 31st October, 2023, on the Un-audited Financial Results (Standalone and Consolidated) for the quarter ended 30th September, 2023. The same is also available on the Company's website <https://vipindustries.co.in.investor-con-call-transcripts/31October2023EarningsCallTranscrip.pdf>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Anand Daga
Company Secretary & Head – Legal

Encl: As above

VIP Industries Limited
Q2 & H1 FY24 Earnings Conference Call
October 31, 2023

MANAGEMENT

MS. RADHIKA PIRAMAL – EXECUTIVE VICE CHAIRPERSON – VIP INDUSTRIES LIMITED
MS. NEETU KASHIRAMKA – MANAGING DIRECTOR DESIGNATE & CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

VIP Industries Ltd – 31st October, 2023

Moderator: Good evening and welcome to the Q2 and H1FY24 earnings Conference Call of VIP Industries Limited.

As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes should you need any assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference has been recorded.

I now hand over the conference over to Mr. Snighter Albuquerque from Adfactors PR - Investor Relations team. Thank you and over to you, Sir.

Snighter Albuquerque: Thanks you. Very good evening to everyone. We have with us the senior management, Ms. Radhika Piramal, Executive Vice Chairperson and Ms. Neetu Kashiramka – Managing Director designate and Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties. Thank you and over to you Radhika.

Radhika Piramal : Thank you everybody for attending the call and making the time . I believe most of you all of you received the performance highlights that's been shared.

I would like to begin by saying it's not our best performance . Our MD & CFO Ms. Neetu Kashiramka will walk you through the financials shortly. I wanted to take the opportunity to just mention some highlights, which is primarily the gross margin, definitely the sales growth and the absolute profits were not in line with our own expectations, but the gross margins have been good and that gives us confidence because achieving gross margins to a good level takes longer structurally than addressing fixed costs which can be addressed over a period of time. Neetu will talk in much more detail about all of these.

I just wanted to take this opportunity to also talk about the change in senior leadership that we've had here in VIP. We had a quite a sudden resignation of Mr. Anindya Dutta post, which the board met and actually very quickly took a unanimous decision to promote Ms. Neetu Kashiramka from CFO to MD and since that decision, it's been about 60 days and we feel very confident in that decision.

So looking at what the sort of the way Neetu looks at the company, the future of the market, vendors, customers, etc. I feel as well as she's not an industry outsider , she's been in our company for many years and she's seen it through all the challenges we've had in the last two or three years have been taken so taking all that experience plus her natural energy and ambition, I personally am very excited about the future. So with that Neetu over to you .

Neetu Kashiramka : Good evening everyone and thanks for joining the call. We just announced our results and the presentation is already with you. I know the growths have not been great, but yes, this is what it is so quarter two revenue growth of 6%. However, volume growth is 10%, which is good . If I have to speak on the channel wise performance, our trade channel VIP Industries Ltd – 31st October, 2023

which comprises of GT, MT, Online has shown 13% growth so what does drag there's actually CSD, CPC and in the quarter one we spoke about the refreshment of portfolio for CSD's in future it will be good, but it's just taking some time for this refresh to convert into revenue . International also suffered mainly because

cause of the demand slowdown across in the international markets which we have been hearing .

The supply chain in China has improved quite a lot and that's also impacting our international business. However, are concentrated efforts with BCG and along with the organization, the E-com channel is beginning to show some results.

This quarter we grew 50% on E-commerce, also the channel salience in E-commerce is 30%, which is close to the industry, so in the BBD season, the industry revenue for this category is around 35 and we are coming close there .

And our distribution expansion journey is on we added 57 towns in this quarter, we have opened 37 EBOs all through FR route . You all will soon see us in key airports as we have already signed up for six airports for exclusive Carlton stores. Aristocrat brand did better than all the other brands again . Skybag however is following up and its growth was 12% after a long time which is good growth which also shows that our new launches are picking up. Caprese also picked up in this quarter due to new launches and lot of activations which happened. Salience on premium brands for this quarter was better by

2% point as compared to Q1.

Soft luggage growth also picked up in quarter two mainly because of Bangladesh debacle in quarter one got sorted. Radhika also already mentioned about gross margins, but yes, we are happy that we have reached our target GC of 55% which we have been talking for last 2 quarters which gives us a leeway, now this 55% of gross margins, will help us to look at growing revenue so I can then have more money to spend and grow business. That's something which we'll be doing going forward.

EBITDA improvement did not happen in this quarter mainly because of I would say three reasons one, we spent more on the e-commerce channel, the second there was an outflow of around Rs. 6 crore on the BCG and also there was increase in overall freight as well as there's some detention mainly because we are carrying high inventories. We had anticipated a very high growth in quarter one and quarter two for this year, which did not happen with that. We have high inventories and therefore to store that inventory, we have taken more warehouses.

So I think in one quarter or so, this unusual freight and warehousing cost should stabilize. Fundamental demand indicators like passenger traffic, hotel occupancy are all positive. In quarter three, there is a large wedding cohort and industries experts are talking about a great third quarter. I'm looking forward for that and hopefully I can have my fair share in the growth is what I'm looking forward. With that, I conclude and open for Q&A.

Moderator: Thank you very much. We will now begin the question and answer. The first question is from the line of Jinesh Joshi from Prabhudas Liladhar Private Limited. Please go ahead.

Jinesh Joshi: I have a question on our growth prospect vs competition. So if I look at Samsonite India, they have set a pretty decent growth guidance for about 40% in CY23 and about 30 to 35% in CY24, while our other listed peer also did pretty well in the last quarter by reporting about 45% growth in top line. But if I look at our performance, I mean in 1Q we were at about 7% growth and in 2Q we are at about 6% odd, so there has been a VIP Industries Ltd – 31st October, 2023 considerable underperformance on the top line side. So can you just highlight what has been the problem area for us? I mean, is it product, is it channel or pricing and how do we plan to address this concern basically?

Neetu Kashiramka : So you are absolutely right that we have not been able to capture the market growth. I would attribute this to our own internal problems and nothing else. However, I'm al

so confident that we should be able to get to the market growth immediately, but in one or two quarters. We need to do some work on the product, so I would say that yes, we did not do too much work on our products also some of the things which are for example international didn't do well because of the China coming back which is an external factor, but still 80% of the problems are internal and I'm looking forward to solve it, in next 3 to 4 months, we are having 26 new launches lined up. I'm also looking at premiumisation as a theme because India is growing towards premiumisation.

So with all this I am definitely confident the other piece which we have been talking a lot about our fill rates and supply chain overall, I think that is something which we are on the track to solve, basically once our fill rate improves I think we should be there. We're also looking at upping our hard luggage capacities because hard luggage demand is higher than what we can service at this point of time, and that's also converting into lots of revenue and which we are addressing immediately.

Jinesh Joshi: Sure. Just one follow up. You mentioned about upping your hard luggage capacity. I think in the past we had mentioned that we'll spend about Rs. 200 crore to expand our capacity. So where are we on that currently?

Neetu Kashiramka : So those that Rs. 200 crore capacity which we have talked about was actually soft luggage, one additional soft luggage plant in India and then Bangladesh. However, we are changing that and now all the additional capacity will be only on hard luggage and for that we need Rs. 50 crore. So soft luggage we don't need to increase at this point on time.

Jinesh Joshi: We got that one last question from my side. So if I look at in this quarter, it was at about Rs. 184 crore and in the previous quarter, which typically is a very strong quarter for us,

we were at about Rs. 167 crore . Now I understand that in this quarter we had this Rs. 6 crore one of relating to payment to BCG and certain marketplace activations which we have done on the E-com channel. But beyond that, is there any one of which you would want to call out and also within this Rs. 184 crore if you can explicitly share what is the A&P spend which we have done in this quarter.

Neetu Kashiramka : So overall, A&P spend is around Rs. 56 crore , vis a vis Rs. 30 crore in the previous year so that's the incremental Rs. 26 crore . There is a Rs. 6 crore payment to BCG. There is an incremental Rs. 5 crore on warehousing . So overall Rs. 15 crore additional on freight and handling charges.

Jinesh Joshi: So Rs. 6 crore to BCG and Rs. 15 crore is something which is over and above that.

Neetu Kashiramka : Yeah, Rs. 15 crore actually additional freight and handling charges.

Moderator: The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

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Tejas Shah: Neetu you spoke about margins, gross margin revival and that seems to be very healthy in this quarter. Was just curious to know which all factors would have contributed to the same ?

Neetu Kashiramka : There was a better mix , 2% premium mix secondly the crude reduction what happened 6 months ago the full impact is visible in this quarter.

Tejas Shah: We see the tradeoff between gross margin and EBITDA it has not played out obviously you called out the one of which are there, but you also mentioned some E-commerce spends . So what will be that amount which will be part of other expense?

Neetu Kashiramka So that is an additional incremental Rs. 23 crore .

Tejas Shah: This is in addition to the ad spend that we would have done, is it?

Neetu Kashiramka : This is basically

the performance marketing for E-commerce and our salience of E-commerce revenue in this quarter was 31%.

Tejas Shah: And performance, marketing is not part of COGS. We actually put it as other expenses.

Neetu Kashiramka : Not part of COGS . And I understand some companies are doing that so maybe we'll look at something around that in the next quarter, but I was also just inquiring what the other companies do because they are spending 25% versus we are spending 18%.

Tejas Shah: And now, looking at this margins that we have achieved at gross level, can you give near to medium term guidance on EBITDA for the rest of the year and FY25 if you can give some visibility?

Neetu Kashiramka : So I can say that in the second -half EBITDA improvement should be around 5%.

Tejas Shah: 500 basis points versus first half.

Neetu Kashiramka : Yes.

Tejas Shah: OK. And last question, so looking at our inventory and then this is slightly for immediate the current quarter also if I have to kind of be for last 3 -4 years also we have been and this is based on the commentaries that you have shared on the call we are either undershooting or overshooting our demand estimates and that's visible in volatility that we are seeing in inventory. Just wanted to know what are the steps that we are taking so that we are not that kind of missing the targets on either side and secondly . Looking at the inventory that we're entering with as on quarter end and then for the second -half, should we expect that there will be much more aggressive discounting and hence this gross margin might not be sustainable because inventory looks at least on balance sheet looks very high for the balance of the year.

Neetu Kashiramka : Yes, you're right. There are few steps which we have taken , in the past the forecasting

was in the hands of the sales people , we have now changed it s lightly by moderating at the HO ,now the forecasting has to be somebody in HO the marketi ng and sales together have to o wn it u p so that's one change.

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The second change is w hatever inventories are there, we are definitely looking at redu cing it, but not at deep discounts. The way we are looking at is the backpack season is approaching and a large part of our inventory is backpack and I may dela y my new launches on backpack i nstead of doing a deep discount so that's what we are going to do .

And hard luggage I have no problems in the inventory, so the large inventory which we have is on the backpack and soft luggage upright in which there are no new fashionable designs. Well that's anyw ay simple so we can live with what we have. We are not producing to a larg e extent more on soft luggage a t this point of time.

Moderator: The next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: So my first question , some of us have heard while managin g director and your predecessor and the one prior to that as well. But clear ly we haven't seen the number reflecting the sort of optimism in the commentary, so i f you could help us understand last 2-2 and half months since you've taken over as the Managing Director designate, what initiatives have you taken internally which should give us confidence that the narrative around market share impro vement and margin improvement in the next one to two years, that's q uestion #1.

Radhika Piramal : I think Neetu already in this call lai d out her immediate focus areas. I think we have been saying the same things over many quarters now is the time for actions more than words. So I don't think there's anything I could say m ore on this topic that would show that confidence. I t hink the thing that will give the confidence is performance over the coming

quarters, so we look forward to that and all I can say is that many of you are investment professionals. Some of you have know n Neetu for many years. So everybody can make their own view as to the likelihood of her success p ersonally, I remain extremely confident.

Karan Khanna: This is follow up , Neetu you talk about the gross margin. So like you mentioned that just to understand despite higher salience of the value portfolio, the gross margins were at 55% and now which focus on the premium segment and improving the product portfolio especially on the p remium side? How should one think about the gross margins going forward? Is this further room for improvement or you think that 55% is the number you're comfortable?

Neetu Kashiramka : I think 55% number I'm comfortable with and if there's any additional thing then I may look at using that money to revive growth.

Karan Khanna: Sure. And lastly just to understand more on the CapEx plan, you did indicate in the first quarter earnings call that you have delayed your two billion CapEx plan. So any update on that what would be the CapEx numbers for FY24 and FY25?

Neetu Kashiramka : Going forward, we have p lans to spend Rs. 50 crore mainly on the hard luggage capacity expansion.

Karan Khanna: This is for FY 24.

Neetu Kashiramka : I think Rs. 25- Rs. 30 crore we have already spent. For the year it will be around Rs. 80 – Rs. 85 crore .

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Moderator: The next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh: My question is mainly on gross margi n front. So if we adjust the Rs. 23 crore spend on performance marketing net I think the gross margin would be 51%, right? So again, if your account for the lower cost inventory or I like you said, the crude price c orrection reflecting this time. I just want ed to understand if this is the crude has been only rising after that

what we saw two quarters back right? So do you expect 51% to continue or do you expect this to correct to 49 % - 50% on a sustainable basis after accounting for the performance marketing cost.

Neetu Kashiramka : I think it should be in the range of 53% - 55% also this performance marketing e-commerce quarter is heavy in Q2. It's not every quarter our salience for e-commerce is going to be 30 plus so from that point of view, 53 % to 55% is the range in which our gross margin will play out.

Lokesh: OK. So basically net of it, you are expecting 200 basis points of an improvement in subsequent quarters, right?

Neetu Kashiramka : Yes. They're also rising a s more premiums going forward.

Lokesh: Just one more question on that. When you look at your gross margins channel wise, is there any difference in e-commerce and traditional channels?

Neetu Kashiramka : Our gross margins are highest in the retail channel followed by GT. MT and E-commerce is similar which is on the lower end.

Moderator: The next question is from the line of Jigar Jani from B& K Securities. Please go ahead.

Jigar Jani: So firstly, when you say Rs. 56 crore of A & C spends, this performance marketing is over and above that right?

Neetu Kashiramka : Part of this amount

Jigar Jani: Okay, and these Rs. 200 crore CapEx, which was expected on soft luggage that is now put on hold ?

Neetu Kashiramka : It's put on hold.

Jigar Jani: OK. And lastly, there have been news reports of the company being on the block for sale. Could you comment on that, whether there is actually some plan going on that front?

Radhika Piramal : Yeah, Radhika here, let me answer that question. My father has, over the years, decades even received many different offers from different PE funds. It's a continuous process, it keeps

happening. I understand that this rumour is particularly strong at this time, and it is possible that ultimately the sale might happen in the future. But I can tell you it's not happening today not happening tomorrow and Neetu is fully focused on improving the performance of this company for short term, medium term and long term. She has a long term plan, we have a long term vision so there's no question of Neetu and myself being distracted by any such rumours.

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Jigar Jani: Just last one on the other expenses side. Would it be fair to assume that this performance marketing would be a one of and obviously some moderation in the warehousing and freight cost could also happen? So probably Rs. 160 odd crore would be the numbers we'll be looking at over the next couple of quarters.

Neetu Kashiramka : Yeah. So as a percentage of revenue, I would say it should keep coming down.

Moderator: The next question is from the line of Shobhit Singal from Anand Rathi. Please go ahead.

Shobhit Singal: Thank you. So how much growth are we expecting in second -half? And how many stores we have opened in first half and in second -half, how many we are expecting to open?

Radhika Piramal : Let me just answer on the growth question. I think it is too early to give guidance at this time. Neetu has just taken charge in a new role very recently. So at this time she will not be able to share any specific numbers after one or two quarters, she might be able to give guidance for the following fiscal year.

Neetu Kashiramka : 63 stores in first half and we intend to open a round more 40 stores so maybe additional stores this year is going to be 100.

Shobhit Singal: And these are all from franchise, right?

Neetu Kashiramka : They're all, maybe 5-6 will be our own .

Moderator: The next question is from the line of Akhil Parikh from Centrum Broking. Please go ahead.

Akhil Parikh: My first question is on the. Have we taken any price cut in Skybag with our channel , on the E-commerce side were indicating that the pricing of Skybag were trending in Line with Safari and Kamiliant , which is a value brand for Samsonite and has that led to good growth in E-commerce.

Neetu Kashiramka : I don't think we have reduced our prices in Skybag . However, there are one or two SMUs which are products specifically made for e-commerce which is not same as Safari, but however as in Safari the highest end product can match with Sky bag lower end product.

Akhil Parikh: So it's only specific to SKUs

Neetu Kashiramka : Yes specific SKU which is not there in other than e-commerce .

Akhil Parikh: And the second question is on the inorganic growth front. Are we exploring any of the D2C brands to grow at a faster pace in the premium space?

Neetu Kashiramka : I cannot talk on this question, at this point of time.

Akhil Parikh: But are we open for acquiring outside brand or we still want to focus more on the organic growth .

Neetu Kashiramka : We keep evaluating both.

Akhil Parikh: In the third and last question, I mean if maybe some highlighting, are there a specific reason for constant change in the top level management? I think now this is second instance in the last 4-5 years we have seen an exit. So if you can throw some light .
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Radhika Piramal : No, I don't think there's any big reason , definitely luggage industry for us as being volatile because COVID happened, that was a big shock and there can be many high performing individuals don't want to go through this down and up of it was a big setback right i

n
2020.

Sudeep Ghosh has been with our company in 2013 and in 2020, due to no fault of his, the revenue was back to pretty much when he joined the company so that can be tough. In terms of frequent change I think talking about the past doesn't help.

Let's talk about the future . In terms of the future I think Neetu has got a good grasp of the company, she has seen it at its worst. She joined our company in Feb 2020, so she went through the whole pandemic and then with her business oriented approach as a CFO, she understands everything and I think has had a view on what immediate actions to take.

And I think you should see a better picture of play out in the next couple of quarters. But as I said before, we fully aware that we have said this before. So let's first see the performance.

Moderator: The next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal: One question from my side , Neetu ma'am mentioned about the gross margin profile for the e-commerce channel. Now if you look at the amount you spent on performance marketing to get a certain level of scales, which is impressive, how does the EBITDA or the contribution margin of this channel compare versus the other channels.

Neetu Kashiramka : So there is a performance marketing spend which happens in E-commerce. There are 2000 people in modern trade channel for us. So if I have to compare that margin for both the channel, it will be different by 2-3 % only. Not much gap, as I said, in modern trade I have 2000 people, so the margin of modern trade is equal to E-commerce .

Nihal: So you are saying the contribution margin for modern trade is same as E-commerce.

Neetu Kashiramka : Yes.

Nihal: And even in terms of the inventory or any of the working capital, is it similar versus the other channel? But I'm just trying to understand is that say as you try targeting scaling this channel up further? How different will say our performance look in the future? Maybe our margins would go down slightly, so because it's slightly lower margin business, how will the working capital move in that situation ?

Neetu Kashiramka : Working capital has no major impact because in fact modern trade pays later than E-commerce. We can't compare it with general trade and retail trade. It has to be compared with modern trade. The modern trade versus e-commerce working capitals are similar.

Nihal: For that and if you had to just compare, say the margins of EBOs and GT versus e-commerce how different would that be?

Neetu Kashiramka : It will be around 10% different.

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Nihal: Understood that. So from our side this is a channel that we still believe in as it scales up, it will incrementally be positive .

Neetu Kashiramka : Yes, definitely. Today also it is positive only.

Moderator: The next question is from the line of Sayan Das Sharma from Bajaj Asset Management Limited. Please go ahead.

Sayan Das: Couple of questions from first the 6% top line growth, right? Can you give us some background of how the industry has done this Q2?

Neetu Kashiramka : Industry has still grown around 20 % to 25 %.

Sayan Das: OK. And my second question is on the product mix. So basically, if I look at the last few quarters, the value end of the market was doing better. We have also seen Aristocrat and Alfa do better than your VIP and Carlton, but this quarter like you highlighted, your premium products have grown gained fairly by 2%. So is there a trend reversal that premium is now coming back and the value growth that we saw a lot of shift from unorganized that kind stopped.

Neetu Kashiramka : We do what we want to do, so basically my focus going forward will be to capitalize on our brand equity

on our great brands like VIP and Sky bag, and Carlton . India is moving towards premiumisation is another theory. As we move in the second -half I'm actually targeting a much better premium mix , I have the six luggage launches lined up between February and March, which are lightweight, I have products which are getting launched in luxury, I have products which are getting launched in innovation and all this will be in Skype Bag, VIP and Carlton .

Sayan Das: That's interesting actually, because if I'm not wrong, the perception was that this industry has a large unorganized still presence and there's a shift steadily towards branded. And that first comes to the value space where we were traditionally a little weaker. That strategy is not no longer there, right? Because I think one of the tenants that BCG was also helping us explore was that value segment and ecommerce all that right, so slightly surprising to.

Neetu Kashiramka : So that keeps continuing. I would say that instead of focusing only on Aristocrat, we need to focus on everything and that's going to be the strategy. Today India is moving towards premiumisation and therefore VIP needs to capture that and this organization has always been strong in premium and therefore we know this better than anybody else.

Moderator: Thank you. The next question is from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh: My first question is slightly broader question. If you look at last I would say 3 -4 years, the onset of pandemic and till date like our growth rate has been slower as compared to our

peers. And if you look at VI P, it's a Pan India brand. We have brands across price points and we have , good recall value. If I look at it s till, our growth has not been satisfactory. I'm not just talking about the last two quarters, but overall last 3 -4 ye ars and I'm sure a lot of brainstorming would have happened internally in the team. So what would the key challenges basically right? I mean, is it at channel front, is it at the product front or is it at the sales team level w here we are not able to captu re the growth which has come especially after the pandemic .

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Radhika Piramal : There's two really broad reasons. The first one is that we made the decision during COVID to use that opportunity very low sales to change our whole supply chain and the back en d process. We moved out of China and relied totally on Bangladesh which we maintain an excellent longer term strategy medium term str ategy, but in terms of delivery, Bangladesh's delivery to VIP across all brands , when the pandemic ended and we reopened t here was delay. Bangladesh's ability to make the premium products or not what we expected and that has led to adverse brand mix that is not helping VIP given its overhead structure. It's important that we sell a certain number of premium or mi d premium br ands. So that is one whole chunk.

The second piece of course is the management issues. We all know that a frequent change of managing director does not lead to like longer term strategy, execution, morale etc. We all understand that and we have lived thr ough the past and we are looking forward to a much steadier and stable l eadership going forward.

Akhil Parekh: So I mean, growth in the mass segment is not much to do with the macro situation, but you are saying V IP didn't have required infrastructure to manufacture the premium product especially during last two years and that's why we have not grown in the premium segment. Is that correct?

Radhika Piramal : It's to do with Bangladeshi's ability to match up to Chinese manufacturing excellence and China has been doing this now for 30 years. We tried to do it in one year.

Akhil Parekh: And se

cond last quest ion on the unorganized segment which we have seen in la st three years has taken a big dent . Have we seen any changes like are the Chinese products special on the soft luggage products coming back into India or on the situation remains strong for organized?

Radhika Piramal : It is stable . They are not bec oming stronger. It remains so m aybe the shift which we have seen in last three years about unorganiz ed to organize d may not h appen so steep now but it's not deteriorating.

Moderator: Thank you. The next question is from the line of Pranay Shah from Anand Rathi. Please go ahead.

Pranay Shah: I just have one question on the capacity. So what is our current count on the capacity front and after we invest on our capacity front, what would be the end number looking like?

Neetu Kashiramka : Capacity is around 17 lac pieces. Immediate ly we are taking it to 20 lac .

Moderator: Thank you. The next question is from the line of Jigar Jani from B &K Securities. Please go ahead.

Jigar Jani: So just wanted to check what was the performance marketing spend in the Q1 .

Neetu Kashiramka : Just give me a moment. I'll give you . For first quarter its Rs. 12 crore .

Jigar Jani: Rs. 12 crore OK. And the guidance of 53% to 55% gross margins, this is excluding the performance marketing spend .

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Neetu Kashiramka : This is as its stands .

Moderator: The next question is from the line of Devesh from Magenta. Please go ahead.

Devesh: My question is more around Caprese . We recently read in the news that Lavie has raised some private equity capital and they have high sales purely in women's category whereas Caprese as a brand has been around Rs. 80 crore or so for the last four or five years, there's not been any significant growth in that category either. So what is the overall brand strategy to grow Caprese and capture more market share in this vertical?

Neetu Kashiramka : We have done a lot of work on the product at this point of time, we are also looking at increasing up presence and visibility on Caprese through two ways. One, all our VIP stores will be having Caprese the second, all are exclusive Carlton stores are having one side wall on Caprese and the third one is exclusive kiosk for Caprese . So this year we'll be having around 50 Caprese kiosk 10 are already up and running. So we definitely look forward for a high growth in Caprese starting from next year onwards a lot of base work has already happened.

Moderator: We have no further questions, I now hand over the conference over to M s. Neetu Kashiramka from VIP Industries Limited for the closing comments. Please go ahead ma'am.

Neetu Kashiramka: OK. Thanks for joining the call. I know we have been showing subdued results for some time I will not give you big promises, however I can only say that I work hard and let's see the results together and thank you.

Moderator: Thank you very much. On behalf of VIP Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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VIP Industries Limited
Q3 & 9M FY '24 Earnings Conference Call
January 31, 2024

MANAGEMENT

MS. RADHIKA PIRAMAL – EXECUTIVE DIRECTOR & VICE CHAIRPERSON – VIP INDUSTRIES LIMITED

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR & CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to the Q3 & 9MFY '24 Earnings Conference Call of VIP Industries Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Snighter Albuquerque from Adfactors PR- Investor Relations team. Thank you and over to you.

Snighter Albuquerque: Thanks, Yashashree. A very good morning to everyone and welcome to the Q3 & 9MFY '24 Earnings Call of VIP Industries Limited.

From the senior management, we have with us Ms. Radhika Piramal, Executive Director and Vice Chairperson, Ms. Neetu Kashiramka – Managing Director and Chief Financial Officer. Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to the future financials and operating performances, benefits and synergies of the Company's strategy, future opportunities and growth of the market of the Company services. Further, I would like to mention that some of the statements made in today's conference may involve risks and uncertainties. Thank you and over to you, Ms. Radhika Piramal.

Radhika Piramal: Thank you so much. Good morning everybody and thanks for making time for our call. I hope you will have had a chance to see the Investor Presentation that we have shared. I will not run through the numbers in that again. Neetu will do that in a minute.

I thought I would share some more general remarks about the company. I would like to firstly address the issues head on. It has been a poor quarter for us. We recognize our underperformance, and we are not meeting our own standards.

Having said that, I would like to reassure all our investors that in the quarter gone by, there have been many changes and many inputs. A lot of good work has happened in many different departments and in the company overall and the output of that in the form of higher sales and better margins is not yet showing but it will start to show in the current quarter that is Q4 and then further in Q1, there will be a sequential improvement as our MD gets more time to make decisions and then implement those decisions. She is taking these decisions at a good pace. Here, I would like to add that Neetu and I personally are an excellent team. I believe that we have a very complementary skill set. I also want to reassure the investor community that both
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of us are extremely committed to our shared common goal that we share with you all, which is shareholder value creation.

So, the fact that the quarter's performance did not meet our own standard and that our share price has not grown the way we would like since COVID is a matter of grave concern to everybody at VIP and the main sort of way we are using to tackle this is a combined teamwork between Neetu and myself to make good, fast decisions on a number of different focus areas, which I will outline and I am extremely confident that there will be much better performance in the calendar year 2024.

There are four focus areas. The process of product range, Neetu is going to talk about it in much more detail and it should be visible improvement in the stores across the country, sort of more or less from this month onwards a little bit and then more and more from March and April onwards. So, the products are much better.

The second focus area for us is premiumization. We all know that currently Aristocrat is th

e

largest brand in our company but certainly, the company's goal is that Skybags of VIP should be the largest brand. We are not meant to be a value Company. We are a mid-premium company, and we need to get back to those winning race.

The third area in which there has been a lot of work has been on the leadership team. Neetu will talk about this in more detail, there were some intimations made to the stock exchange towards the end of December. We are happy to address that.

The fourth and final piece that we are working on with a lot of focus is improving our availability and fill rates as well as the costs of our supply chain.

There is good work happening on all four areas. I will repeat the four areas the first is the product, the second is premiumization, the third is the leadership team and the fourth are fill rates and costs of supply chain.

I would like to conclude my general remarks and hand over to Neetu, but I would like to reiterate at this time that the top management of VIP as well as the promoters are totally committed to shareholder value creation. In fact, we stand to gain the most as this happens and we are confident of the same in 2024. Thank you, Neetu, and over to you.

Neetu Kashiramka: Thanks, Radhika. Good morning, everyone. Thank you for joining the call. We announced our third quarter results yesterday. Before we talk about the results, let me just highlight as to what structural areas, some of the things, Radhika already spoke so I will skip that. But what I started with, so it's four months now. I visited 20 markets in the last four months to understand from my own eyes as to where we are and where is the competition. Two good things which I observed is our presence is across the length and breadth of the country.

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However, I think competition is slightly ahead on product from our standpoint, but other thing which I realized is that the brand recall for all our brands is quite good, especially VIP and Skybags, they are well known in the market and therefore, if we do our product right, I think we can win this game quite fast.

I am very happy to say that we are launching 37 new ranges between December to March, five to six are already done and lot is going to happen between Feb and March. Definitely, if you go and see our stores after around March, you will see a startling difference. Even if you go today to what it was four months back, you will see that difference.

The other thing, lot of time I have spent in last four months on having the right team to take this organization to the next level. 60% of my team is either new or handling a new portfolio. You must have seen that in the presentation which has been shared there are lot of fundamental changes. I think I spent a lot of time on all these things in the last four months and these changes now will start to follow into the performance.

You have already got the presentation so let me just give a few highlights. I am not going to talk very detailed on the numbers because everything is available with you. I will give more time for you to ask me questions and I can answer it in as much detail as you need.

Quarter three reported a revenue growth of 4%. However, domestic grew 6% which means international had an impact this was mainly because of China coming back and also slowdown in some of the Middle East areas.

However, there is one good thing which has happened because our entire focus was on clearing the pipeline inventory. Our secondary sales for quarter three is a growth of 24%. E-commerce has seen quite a heartening growth, 65%, I think our decision to accelerate E-commerce growth has helped.

We have opened 25 new EBOs during the quarter, mainly through FR route. Last time we had spoken about few airport stores coming up, I am happy to inform that two stores

at the

Mumbai airport are operational and four additional in different cities are coming up before

March and 10 more in the FY '25.

One more good thing happened in quarter three, for the first time after the long time, VIP has seen a double-digit growth and this was because of our premium launches. There were two new launches which happened in VIP during this quarter, which was a lightweight category. I think that's got a great response. I am quite hopeful now that our VIP and Skybags brand growths will start to come in. Aristocrat also grew which is now on a sustainable growth journey. The entire focus of my team going forward will be on the premiumization.

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You will also witness lot of launches and because of these premium launches, I think the growth will also start to see, January is also showing some green shoots. We are growing double digit now in January and for the quarter, it should be upward of 15%.

ASP has started to grow, our realization per piece we saw in quarter three has started growing and we should further see acceleration in quarter four. Basically premiumization will be two ways, upgrading the existing customer and also adding new customers to our portfolio who were either buying a competition product or buying something from outside the country. Our product portfolio is going to compete with everybody in the market today.

On profitability, one good thing which we have seen last two quarters, gross margins have reached where it should be, we are in the range of 55%-56% already and the gross margin is actually more difficult than anything else. Once we get the gross margin right, I think balance should follow and also with premiumization and ASP improvement we should further strengthen our position on getting into margin improvement.

EBITDA definitely has seen quite a sharp reduction this is mainly because of increased freight, accelerated investments in e-commerce channel, marketplace activation and professional fees for accelerating E-com growth.

If I have to talk about the market indicators, everything looks positive. The air traffic, passenger traffic, and hotel occupancy remains positive and therefore, I am quite confident that starting from quarter four, our sales number should start to increase, first you will see growth in sales followed by profitability and me and my team can assure you that we are working tirelessly to make this happen. All of us have this ESAR program. If we do it right, the VIP share price improves and therefore, we also gain.

One more thing is that we have extended this program now to second level also, basically 50 people are part of this program earlier there were only 11 people for this program. Today, there are 50 people and therefore, I am quite confident that together VIP team will take this company into a next level. Just give us some time and I think your patience will help.

In this quarter, quarter four, I am assuring that we will definitely have a double-digit revenue growth and much better starting from quarter one of FY '25. All the efforts which we have taken, I think the results are not visible but visibility will start soon.

With that, I think I will open the floor for questions and Yash.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

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Jinesh Joshi: I have a question on our inventory. I mean, if I look at 1H, if I remember right, we were at about Rs. 763 crore and I believe in this quarter, we have piled up another Rs. 122 crore. So, any reason for not consuming the existing stock but building more onto it? And also, how should

d

we see the warehousing cost move in the near term because of rising inventory?

Neetu Kashiramka: You are right. The inventories have gone up. Mainly, there is one fundamental change which we are seeing. We have also alluded that into our presentation that certainly we are seeing a soft luggage slowdown into the overall market and that is the reason why you see this inventory.

However, we already have some plans around how do we take care of production in this inventory. Warehousing costs currently, whatever it is, I think in next two quarters it should come down because we have plans to reduce our inventory levels from where it is today. It should be in the range of Rs. 600 crore.

Jinesh Joshi: The second question is with respect to our revenue. I mean, in this quarter, is it grossed up for the performance marketing fee towards E-com? And if yes, can you share the quantum?

Neetu Kashiramka: There is no change in the accounting because in the middle of the year, we didn't want to do that and even auditors did not agree but going forward we will see if we have to do that but that has not been done. This is as compared to last quarter.

Jinesh Joshi: For that quarter. One last question from my side, I think in the PPT, we have mentioned that the other expense was high due to higher freight. So, if you can explain the reason behind that?

And also our tax rate was at about 46% in this quarter. So, any specific reason for it?

Neetu Kashiramka: The freight is high because of multiple movements of goods, because we want to liquidate the soft-luggage inventory. It had multiple movements, and the tax rate is higher mainly because

of the deferred tax assets which got created because our profits are low, we created a deferred tax asset. However, for the year, it will be around 27%.

Moderator: Thank you. We have our next question from the line of Lokesh Maru from Nippon Mutual Fund. Please go ahead.

Lokesh Maru: Two questions. One is we also selling Uppercase in our retail outlets at this point? And why would that be?

Radhika Piramal: We are not selling Uppercase in our retail stores. We consider Uppercase a new competitor on the market.

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Lokesh Maru: Another point is on profitability. It's quite visible that our profitability margin structure has changed now, given the freight cost and performance marketing spend, E-commerce expenses, etc. So, that margin has come down to 1.2%, could be, if you adjust for tax, would be higher than that obviously. But any guidance on, you know, earlier if our band was 18%-20%, now it's certainly lower, but how do we perceive that going forward?

Neetu Kashiramka: We still maintain our guidance of 18%-20% over next 12 to 18 months. Whatever you are seeing currently is also because the sales growth is lower and therefore overhead absorption is not happening at the pace at which it should have happened, you will start seeing improvement starting quarter one and in 12 to 18 months, we will get back to whatever promises we have done. So, 18% is something which definitely you will see in next 18 months.

Lokesh Maru: As the sales grow, would this commission that you have to pay to the E-com channel, the website, would that be proportionate to sales or is it fixed in amount?

Neetu Kashiramka: It is as a percentage to revenue. However, last year, it was like first year of our acceleration therefore, the percentage was high. It will come down as the growth happens.

Moderator: Thank you. We have our next question from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: Neetu, first question is on relation to the resignations that have happened in the management level, especially the middle level management, especially post Anindya's exit. So, one, could you sa

y, talk more about your strategy to sort of stem this attrition? And have you already found replacement?

Radhika Piramal: Let me take that on. I think Neetu has gone about things in a very organized manner. The change of leadership at the MD level happened in August. Neetu has taken time to assess the market, do market visits to assess the team and then in a very calculated and planned manner, there were some resignations in December and I think all the positions are full at the moment. We are expecting a CFO to join shortly.

Neetu Kashiramka: These resignations were planned. Yeah, it's not that it happened.

Radhika Piramal: So, mutual convenience of all involved.

Jaiveer Shekhawat: And secondly, when I see your growth, now if I compare it versus the pre-COVID level, whether you take FY '19 or '20, I think growth has only been around 20% -25% and a large chunk of that has come via higher realizations. So, you are still growing your volumes in low single digits. So, what really explains that and what you are starting to sort of grow your volumes from here on?

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Neetu Kashiramka: Volumes did grow, basically what had happened, value growth is low mainly because of the mixed change and Aristocrat grew faster than the other brands and Aristocrat price realization is almost 60% of what VIP or Skybags realizes so volume growth is there.

Going forward, I already alluded that we have a strategy for premiumization and volume growth will happen because this year we are not taking any price increases because we are at a good gross margins, so whatever growth you will see will be in volume terms only.

Jaiveer Shekhawat: And last quarter, I think you had also alluded about the margin improvement and we understand it is largely because of the higher inventory that you are carrying that you are incurring that additional freight warehousing cost. So, one, you did mention about the remark that your soft luggage sales are not taking place and you already hold a lot of inventory. So, what's your strategy, exact strategy to sort of liquidate that part?

Neetu Kashiramka: I cannot talk about strategy on the call. However, we can meet maybe one-on-one or have a call, I can tell you. There is a plan that 50% of my slow moving inventory, I should reduce by March.

Jaiveer Shekhawat: And lastly, if you could talk about the range of competitive intensity that you are seeing and whether your competitors are sort of resorting to aggressive discounting to push their sales?

Is that what you're seeing in the market?

Neetu Kashiramka: Not so much now.

Radhika Piramal: I will say a good healthy competition in the market with two, three larger players and then a number of new entrants and it makes it exciting to compete in this market that has a lot of potential for growth. I am not surprised there are lot of new entrants.

Jaiveer Shekhawat: And because in the past, what we have seen is we have in some quarters held on to our margins and compromised on the growth. So, there has always been a growth margin trade-off. So, what the strategy going forward is they had resort to accounting?

Neetu Kashiramka: With my premiumization strategy, I think the way I look at it is I should have a profitable growth and with premium strategy, it will automatically happen, so I will go after profitable growth.

Radhika Piramal: Our brand VIP and Skybags are very strong. We have experienced it in the past. If they are not showing their strength in the market right now, they will soon, on the basis of stronger product lines, better fill rates and a more focused within the company on our mid-premium brands rather than our value brands.

Neetu Kashiramka: Over the next 12 months, you will definitely see some products which are first in India, then first in the overall luggage industry and then s

omething out of the box. I think just wait and watch.

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Moderator: Thank you. We have our next question from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: So, I just had two questions. One is, you spoke about product quality probably not meeting to expectation. Just trying to understand

Radhika Piramal: Let me clarify. Not quality. Attractiveness of the ranges that is product design is not product quality.

Manish Poddar: So, can you probably double click and help us understand what are you doing to probably, you know, in terms of interventions, not really getting to the broader strategy, but if you can probably help understand two, three areas where you have taken course correction?

Neetu Kashiramka: One, we are investing in the right team. I think design and development innovation is a key focus. Manish, you can come to office. I can show you the entire range which is coming up in Feb and March. You yourself will see the difference.

Manish Poddar: And would it be right to say, let's say, when you, you know, first you course correct and this inventory amount which you want to get it down in the next quarter, would it be right, let's say, when you look at FY '25, that is the year when you look at probably build-up sales again, get the right products at place and probably margin is not one should focus in FY '25? Is that how one should think about that year?

Neetu Kashiramka: As I said earlier also that I will be focusing on a profitable growth. I am not saying I will reach 18% EBITDA starting quarter one, you will see a journey sequentially, the margin improvement should be visible but I will focus on volume, and revenue, you will start seeing better revenue growth starting from quarter four.

Manish Poddar: Just, I don't want to put in a number, but what I'm trying to understand is, let's say, would internally, you are already happy with, let's say, 15% growth, and let's say 16% to 18% margin, or would you want 20% growth and 15% margin is what I am trying to understand?

Neetu Kashiramka: Manish, I think I need one or two more quarters to tell this, because a lot of things are like moving parts which I am working on today. I don't want to put any numbers at this point.

Manish Poddar: I understand. Fair enough.

Moderator: Thank you. We have our next question from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: My first question is related to your Skybag and VIP. So, ma'am, we have been seeing that our focus is to increase the share of premium and mass product, but the combined share of both the products has been declining continuously. Can you please list down some of the corrective

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measures that we are taking over here, apart from the new launches that we are supposed to make in the next couple of quarters?

Neetu Kashiramka: As I mentioned that we are looking at re-aligning our portfolio, basis of competition, something which is better than competition, something which is not seen in the travel industry and something out of the box, with that premiumization strategy, which is definitely on VIP and Skybags, you will start seeing.

If you see in this quarter, quarter three, VIP has grown higher double digits, 20% after a long, long time. We launched just two or three ranges in this quarter and that to mid-November means 45 days of new product has given us that kind of result. I am very sure that, you know, our new product portfolio.

We are focusing on VIP because earlier, I think I want to change the perception that VIP is an old brand. I think that's something which I want to change. If you go to our store today, also you will see a produc

t which is Airtron and Air. I think you can feel the difference. You can go

to any VIP store lounge today. You will see these new products which are doing fantastic.

Bhavin Rupani: And is it possible to quantify what incremental growth in VIP is from the new product in this

quarter?

Neetu Kashiramka: Entire growth is from new products in VIP for this quarter.

Radhika Piramal: At any given month, typically, new products can be 20% to 30% of our sales because that's the nature of our industry. It's possible that in the last, let's say 18 months, the frequency of our new product launches was not good enough. Our products are getting dated that is one basic thing we are getting back to. In any consumer brand, I think the strength of the product assortment really drives growth. It's what attracts a customer and that is why we are focusing on products. Once again, it's the heart of the business.

Neetu Kashiramka: Just to add, travel is also becoming part of something which you are carrying and it is becoming more fashion which was earlier looked upon as convenience and that's why also design, color, innovation makes lot of difference.

Radhika Piramal: We acknowledge that our product range was getting a bit faded and dated. We did not do enough, good enough product development in the first 18 months after COVID but Neetu has been working extremely hard on this for the last 4-5 months.

Bhavin Rupani: And on Caprese, revenue more or less has been stable over here. What could be the reason over here and what are the steps that we are taking here as well? So,

Neetu Kashiramka: One, lots to do for me on luggage which is 95% of the business and therefore maybe this got slightly ignored. It will take two, three more quarters for you to see better growth increase.

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Bhavin Rupani: And I understand your other expenses have increased by almost 7.5% of sales as compared to last year. Is it purely on account of freight cost?

Neetu Kashiramka: One is freight and the second we are doing this accelerated E-com project with BCG so that cost is also part of this other expenses which should get over in March.

Bhavin Rupani: And if I can squeeze in one more? On incremental capital allocation, what is our current capacity, if you can separate it between hard luggage and soft luggage? And what is the incremental capacity we are adding? And by when it will commercialize?

Neetu Kashiramka: In hard luggage, we have 94% capacity utilization and in soft luggage, it is around 70%. In hard luggage, we are looking at few models whereby we will be doing a distributed manufacturing and it does not require too much of a CAPEX at this point of time.

Radhika Piramal: And also some incremental supply from China.

Neetu Kashiramka: Yeah, and also as a strategy, all my new design, which are different, are coming from China.

Bhavin Rupani: So, what would be the capacity as of now? And any plans to increase over here?

Neetu Kashiramka: I don't want to put that number but it is 20% increased from last year on hard luggage. Soft luggage, we have not increased. In fact, we are converting our upright capacity into duffels and backpacks which are large categories and we have good plans for these two categories to grow.

Moderator: Thank you. Our next question from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: First question is based on your extensive market visits that you have done. How would you articulate the core problem statement for constructing the revival plan?

Neetu Kashiramka: It's all about product, product, product. Nothing else. And premiumization and fill rates.

Radhika Piramal: Yeah, and fill rates.

Neetu Kashiramka: Right product at the right time to the right consumer, I think that's how I define it, therefore, my first few months, I

have spent more on the products.

Tejas Shah: And not only on Carlton, because of the consumer, we have always...

Neetu Kashiramka: Maybe next quarter, yearend, I will do a physical analyst meet. We will show you what we have done, show my product range, so that everybody can see what has happened in the last 6-7 months.

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Tejas Shah: And ma'am, secondly, your guidance on 18% margin, considering the challenges that you are handling today, would you say that 18% will be an exit month or exit quarter guidance for next year, or do you think that...

Neetu Kashiramka: Yes, not next year. I said 12 to 18 months.

Tejas Shah: 18 months.

Neetu Kashiramka: Yes, which means, exit of that quarter at the end will be that 18%.

Tejas Shah: And ma'am, looking at the current debt situation and inventory situation, I was just curious what prompted the decision to declare interim dividend? Because we have cash requirement in the business to fight or make all these changes.

Radhika Piramal: Understood. I think we took a middle path, which is that we did not increase borrowing limits in order to fund this dividend and at the same time, it also reflects our confidence in the future that we did not think this was such a big financial burden or impact on the company. We want to show some confidence, at the same time, take it in a measured way. We will decide about final dividends basis the final result only, we will see whether there should be a final dividend or not.

Tejas Shah: And then last, if I may. You were informing your new team what talent and cultural gap are you

actively addressing through your hiring?

Radhika Piramal: Speed of decision making is the number one priority, granular details and understanding of our business, industry, and company.

Neetu Kashiramka: With no baggage.

Tejas Shah: So, no baggage means are you going outside your industry to hire talent or?

Radhika Piramal: Always have to do that.

Radhika Piramal: Yes, but that is common, because in our industry, it's a fairly small industry. We all know each other, our competitors fairly well. We often go outside the industry as well as our competitors.

It's not unusual.

Moderator: Thank you. We have our next question from the line of Shobit Singhal from Anand Rathi. Please go ahead.

Shobit Singhal: Ma'am, can you please share the volume growth for this quarter and for nine months?

Neetu Kashiramka: I think volume growth for the quarter was negative 4% and 6% growth for nine months.

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Shobit Singhal: And what is the current store count we have? And what is the target for this year end and next year?

Neetu Kashiramka: We have added 25 stores in the current year, which is taking the overall number to 541.

Shobit Singhal: And what is the target for the next year?

Neetu Kashiramka: We are looking at around 600.

Shobit Singhal: So, this year we will end by, okay, understood.

Neetu Kashiramka: This year we should end by 550.

Shobit Singhal: Understood.

Neetu Kashiramka: We have more stores are coming up.

Shobit Singhal: And next year, so you are saying we will be adding only 40 stores?

Neetu Kashiramka: We will be adding 50 stores, so 550 and then 600, so 50 stores.

Shobit Singhal: Understood. And all will be on the franchisee, right?

Neetu Kashiramka: 80% franchisee because certain places, large malls, they don't give it to the other than the manufacturer or the brand company.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Good morning, Radhika and Neetu. Thanks for the opportunity. I have one fundamental question. Over four months, you have walked the

journey and there is a lot of scope and there

is work which is done which Radhika alluded in the beginning. So, task force members have become from 11 to 50. I was more curious in your weekly, monthly, quarterly review, what are the things that are discussed and what are the top three priorities the management is concerned about? I mean, though, Neetu, you said that the product is one of the things which you are focusing. But I was more curious, what are the things, what are the parameters we are measuring the performance of the team?

Neetu Kashiramka: We mentioned couple of times, one big thing is premiumization, which means NPD, which is New Product Development calendar if a particular product was supposed to be launched in February, is it getting launched at the same time or not, is one of the parameters which I see.

The other focus area is fill rates, we keep track of what is the fill rate because lot of times we

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are losing business because we are not able to fulfill the product on time. I think that supply chain is something which is the overall rehaul is happening as we speak.

Neetu Kashiramka: These are the two important things.

Radhika Piramal: Of course, the internal is the leadership and management and mid-management changes to support this, once you have a good product, once you have better fill rate.

Neetu Kashiramka: I keep doing stand-up meetings, if you are saying what the kind of review are, I started some stand-up meetings, especially on the inventory something which is one of my other key focus areas, I do a weekly stand-up meeting. However, the team who is responsible, so we have created a cross-functional team, this is how we started working.

Neetu Kashiramka: I have a PMO. There is the MD office.

Radhika Piramal: Neetu was very fast. That is the main thing and she understands a lot of details very quickly, and she is a quick decision maker.

Shirish Pardeshi: My second question is that when you and Radhika have stitched the new strategy for revival four months before and there is a change in the manpower, middle management and in terms of supply chain in the organization, in that whole journey, at this point of time, where we are in terms of our ambition? Is it 50%, 40%?

Radhika Piramal: I would say 30% and you can say that less. Neetu says no, she is frowning as I say it and I am saying it 30% and to me that's not negative. It's positive which was how much more potential we have to go because you know, I feel I need to have the capability to look at what I would call immediate performance improvements which is for the current fiscal and the next fiscal as

well as second horizons which would be 25, 26, etc., in that way I am saying 30% if Neetu wants to say 50%, I am fine with that.

Shirish Pardeshi: So, let me turn this in a follow-up question. If 30% is you are giving a confidence that we...

Radhika Piramal: No, I am 100% confident. Please, you said, where are you on a journey of transformation?

Shirish Pardeshi: No, no, Radhika, what I am asking, in the 30% if you are getting this confidence, if you have been able to successfully drive that 100% strategy what you have in mind, the performance will be beyond your expectation. That's what you are trying to communicate at this time.

Neetu Kashiramka: As an organization, I tell you what is 100%, so today, we are known as a luggage company. I want this company to be known as a travel solution Company. I think that's my long-term ambition and that's what 100% is and today on that journey, we are at 30%.

Radhika Piramal: 100% for me includes success in handbags and success internationally.

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Neetu Kashiramka: Plus

as I just said, it's not only luggage Company, it's a travel solution company, anything or everything about travel means VIP.

Shirish Pardeshi: My second last question. When you see 9 months contribution from premium and mass premium is about 56%, is this a factual market share? How this number stacks in premium and mass premium segment?

Neetu Kashiramka: It is very difficult to get this data because this industry is not tracked by AC Nielsen as it is done in the FMCG. What we do is we track an overall market share basis, three large, organized players because their data is available and there, today, our market share is 37%.

Shirish Pardeshi: 37%.

Neetu Kashiramka: Yeah.

Shirish Pardeshi: And a similar question on the follow-up. When you have GT, modern trade and E-commerce is roughly about two-thirds of our business. So, would you have been tracking some channel-wise market share in these three channels?

Radhika Piramal: We track it, but we cannot share that data at this time.

Shirish Pardeshi: No, the question is that, where it is deviating from the peak over last 3 to 4 years, if I may ask?

Neetu Kashiramka: I think E-commerce data is available which we are tracking. We will become number one soon in some of the channels, like Flipkart and Amazon. We are targeting to become number one. It is one or two quarters away.

Shirish Pardeshi: And the last question on the margin story. We are at close to about 10%, 11% and we are targeting to go to 18% over the next 15, 18 months' time. What are the levers and what are the short-term gains and what are the long-term, medium-term gains which you think?

Obviously, supply chain is one of the things which will give you the operating leverage, I can understand. But what are the things because of the revival in management you can fast-track that.

Neetu Kashiramka: One, 10% and 11% is not a normal margin. It is an abnormal thing this is mainly because of low revenue growth. Once we do normal revenue growth, which is upward of 15%, this automatically will become 13% to 14%, which is our normal margins and from there, I have to grow and those are few things. Premiumization story, which will add little bit to my bottom line. And the second one is rationalization. I want to reduce my inventory, as I said, from Rs. 829 crore to Rs. 600 crore once that happens, my warehousing costs will come down. I think these two things plus rationalization on trade, looking at our overall warehousing structure, those are few things which I will work on.

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Radhika Piramal: Yeah, I want to actually reinforce one point. We will certainly not be reducing our product specifications in any way and quality will only improve from here, that is a very firm directive from my side.

Moderator: Thank you. We will take our next question from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: My first question was that if you look at the growth of Aristocrat over the last three years and also say the growth of one of your competitors, is there a case that the market has shifted more towards the value segment and in that context maybe wanting to premiumize? Just your thoughts on that.

Neetu Kashiramka: One what has happened post-COVID that the unorganized sector has moved to organized, where you see Aristocrat and our competition doing better in the lower end also, the supply chain of China was disrupted and therefore, the organized players took that opportunity and once a customer is clued on to a branded range, I think the preference is more towards organized rather than unorganized.

The other thing is in the hard luggage, the polypropylene strategy also helped gain market share from unorganized because we were able to provide a product at Rs. 2,000. Branded luggage like Aristocrat and others we

re available close to Rs. 2,000, even lower, Rs. 1,899 and

Rs. 1,999 types. India story is premium story. We are talking about every day there is one or the other article in the newspapers. India is moving towards premiumization and therefore, I am also working.

Today my highest selling product in any of my lounge if you go, it's Rs. 10,000, I am upping that to Rs.18,000 so, by March, April, you will have few products where consumer price will be Rs. 18,000, that's the journey which I am starting and not that Aristocrat will not be focused, it will also be focused, and it will play its own game in the place or the market where it exists.

Nihal Mahesh Jham: So, just to be understanding better that I would assume that majority of the product range and launches that you are targeting would be more in VIP and Skybags incrementally going forward versus an Aristocrat.

Neetu Kashiramka: Nothing like that. We will have to have relevant across, right, because Aristocrat is Rs. 1,000 crore brand now so I will have to play my game there also if I have to be relevant.

Nihal Mahesh Jham: The second question was that when you are focusing on creating such an extensive range, will it lead to an increase in inventory, or would there be more of batch manufacturing? How to look at the range versus say the inventory next year?

Neetu Kashiramka: It will not increase the range as we move along.

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Radhika Piramal: We are not increasing our range. We are improving our product attractiveness and design. When we launch new products, then we discontinue the old aged products.

Nihal Mahesh Jham: Number of ranges or SKUs would more or less remain the same or would it just be more refreshes that will be happening, right?

Neetu Kashiramka: Yes, plus I am also working on a reduction in the ranges because rationalization of products itself is also one of the works which I am doing now.

Radhika Piramal: Fewer ranges that are much more practical.

Neetu Kashiramka: Fewer and better, yeah.

Radhika Piramal: That is the goal.

Moderator: Thank you. We have our next question from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: So, can you give me what is the performance marketing spend in the quarter and the total A&P spend?

Neetu Kashiramka: It's there in the presentation, Jigar.

Jigar Jani: And any one-time payment to BCG done?

Neetu Kashiramka: Yes, there is a fee paid to them in this quarter as well, and by saying one time we mean it's a 12-month contract.

Jigar Jani: So, these Rs. 6 crore will continue basically till the time which we had paid last quarter.

Neetu Kashiramka: Till March.

Jigar Jani: Till March. And we had announced an incremental CAPEX of almost Rs. 50 crore. I think last quarter you had mentioned, out of which Rs. 30 crore was already done. So, is that CAPEX now over, considering we are not adding any new stuff?

Neetu Kashiramka: All CAPEX plans are on hold. For new designs we will continue. However, there is no big CAPEX in the next one or two quarters.

Jigar Jani: And so, on freight, when do we actually start seeing normalization in these expenses? Would it be like the second half of next year where we could see some normalization in this freight and handling expenses of warehousing expenses overall?

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Neetu Kashiramka: Yeah, because for this the inventory has to come down, so it will take one or two quarters.

Moderator: Thank you. We have our next question from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: My question was in terms of I can understand where your journey is going in premiumization, and India is

going that way. How do you think the consumer perceives VIP or Skybags so that it makes the journey from where you are to where you think the consumer should see where it is? It's not just a product and the price, right? So, I just wanted you to share your thoughts on that.

Neetu Kashiramka: One thing I would say that what I have realized after seeing these 20 markets in my first 45 days is that customer has a short memory. When they visit the store, they find something which is very attractive, and they know the brand they will pick it up. Skybag is known for a youth it's for the Gen Z so, you will find more colorful and so there is already a target audience defined for Skybag.

VIP is something which we are working on. I agree it's not easy because people consider that it's some old brand, but to change the perception you will see lot of new ranges which are something different will all be in VIP. It's a journey, but yes, that's a journey which I have started already with two, three new launches and lightweight happened in quarter three and a lot happening in next one or two quarters. It's a journey, we'll have to talk about it. We will have

to showcase but brand recall is high. The ToM score of VIP is the highest in the industry and which is actually almost more than 2.5x of any of our competitions and I have to capitalize on it.

Vivek Ramakrishnan: Thank you. We will take our next question from the line of Harsh Shah from Bandhan AMC. Please go ahead.

Harsh Shah: Hi, Neetu and hi, Radhika. Neetu, when you spoke about product in terms of design, does it also mean that we are moving towards more frequent launches of new products compared to what the previous norm was?

Neetu Kashiramka: Pre-COVID, we were good. Post-COVID, new launches and the kind of product profile had deteriorated. I am going to take it to what it used to be pre-COVID, refresh ranges multiple times and give something attractive to the consumer for them to get excited about.

Radhika Piramal: I wanted to add one thing here that maybe will convince you all. Neetu has been saying also 2022-2023 where our product needed improvement at that time, she was the CFO so, she could not directly influence the new product ranges but now she can, she will she already has.

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Harsh Shah: No, my question was more in terms of frequency of new launches. Will that improve as well, increase as well?

Neetu Kashiramka: I said that it will go back to pre-COVID where we were good, it will go back to that kind of frequency.

Radhika Piramal: Both the frequency of launches as well as the percentage of new products that are launched that succeed, all of that will improve.

Harsh Shah: And secondly, since the focus is now on product, more design and frequency and also improving the fill rates, so when do we see our market share, which is now at 37% go back to the level they were before?

Neetu Kashiramka: It should take at least 12-18 months.

Radhika Piramal: Yeah. Previously, in the 1980s, we were 80%.

Harsh Shah: I mean, 45%-50%.

Neetu Kashiramka: 45%-50% cannot happen in 12 to 18 months. It will take 3 years.

Moderator: Thank you. We will take our next question from the line of Manas from Kotak Securities. Please go ahead.

Manas: See, E-com is picking up overall everywhere. My question is what percentage of overall sales you see from E-com going forward?

Neetu Kashiramka: Currently it is around 21%. I think it will stabilize around 25%.

Radhika Piramal: Maybe higher, I think.

Radhika Piramal: For western models, maybe it will higher.

Neetu Kashiramka: Yeah. 25% to 30%. Yeah.

Manas: And within this E-com, how many would be through your own web channel and how many would be through Amazon, Flipkart? What would be the share?

Neetu Kashiramka: At this point of time, 95% is through

portals. Ours is very small. However, in FY '25, we will be focusing on our D2C. First we wanted to put the act together and right and then work on D2C which will be a focus area for FY '25. Our intent is like 20% should come from D2C.

Manas: And do you have an active CRM program?

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Neetu Kashiramka: Yes, we do.

Manas: Or do you intend to have one?

Neetu Kashiramka: We have at this point of time, but we will definitely have a lot of improvement plans around it. We are also looking at doing a loyalty program kind of a thing but those are my second level priorities.

Manas: And one final question. Like I saw GC trends going up, right? Or stabilizing up. GC, I believe, gets count, right? What is the GC trend you mentioned in the presentation?

Neetu Kashiramka: So, I said it's going up. It used to be 49% -50% for last almost one year. We are now inching towards 55%- 56%.

Radhika Piramal: The gross contribution.

Manas: Gross contribution. What about the walk-ins that you see in your outlet? Have they improved as such? Is there a way to measure them?

Radhika Piramal: I don't think I have that data. We don't measure walk-ins. What we see is a robust demand based on all our key indicators like secondary sales, like passenger traffic, like hotel occupancy.

We don't specifically measure walk-ins only because we have a very distributed distribution system with multiple channels. Our retail stores are only a small percentage of the total company sales. We have many different ways to track the secondary sales other than walk-ins.

Neetu Kashiramka: Yeah. Because there are 12,000 touch points and our own stores count is only 150.

Radhika Piramal: There is robust demand. We feel there is robust demand. Is that your question?

Manas: Yeah, that was my question.

Moderator: Thank you. We have our next question from the line of Richard D'souza from SBI Mutual Fund. Please go ahead.

Richard D'Souza: Just one question from my side is that on the inventory front, what would be your strategy to handle it? And by when do you think we will have a decent kind of inventory on the books?

Neetu Kashiramka: Yeah, it will take 12 months for us to have a reasonable inventory. A lot of work has started, but it is something which is time consuming.

Radhika Piramal: We also don't want to sell too much at a discount. Yeah, so that actually adds time to it, but I feel it is a worthwhile time

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Neetu Kashiramka: Also soft luggage per se does not have shelf life problem because you remember in the past, we used to use luggage for 7, 10 years. So, there is nothing like and most of these inventories what I have is 9 to 12 months old. Nothing is one year and above.

Radhika Piramal: In the previous year, we obviously forecasted a much higher sales growth than what we achieved, in the previous three quarters and secondly, we forecasted a lot of soft luggage, where the market moved to hard luggage so that is why the inventory is so high. However, going forward with a systematic plan, it will come down and then gradually we will remove the supplies of our luggage so that we can also cater to the market demand.

Neetu Kashiramka: We are looking at different GTM strategies for doing that like I am going to the cities where I am not there, some such things which I can't talk in detail in this call.

Richard D'Souza: Just two questions here based on this thing. On the soft luggage thing, while you said that life is not a problem for soft luggage, but is it a matter of concern that maybe the soft luggage which we have is not what is in demand by customers?

Neetu Kashiramka: No, because in soft luggage, there is not mu

ch color, design issues like hard luggage. Hard

luggage, you need freshness every time. Soft luggage is standard with few pockets, more or less some product will have three pockets, and some will have four pockets.

Radhika Piramal: The underlying ranges and inventory is good quality. It's not perishable. If we feel it is slow moving, we can use a range of discounts to make it fast moving but having said all of that, the key issue, I believe, is the speed to market of forecasting which needs to improve. If you have a given set of inventory and its subcategories, its ranges, its brands, like does that mean to the market and if the market shifts, how quickly can we shift? That will determine the success. That's why I'm not so, I mean, the inventory is a concern. Don't get me wrong. The inventory and the cash management are concerned and the borrowings are also not desirable. But I do believe that Neetu combination of CFO and MD will definitely address it.

Richard D'Souza: The second question is on the forecasting front. I mean, we got the soft luggage thing wrong. We got the quantities which could be sold wrong. How have we corrected this thing going at? Now that we are looking at premiumization, do you think that's the way to go? I mean, is there any hardcore data which is telling you that premiumization is the need of the hour? Or is it something which you feel that given your cost structure, you can't go below mid-premium segment?

Radhika Piramal: I think it's about responding to the market. I believe there is sufficient premium, mid-premium and value demand. We are lucky in India to have so much demand across so many segments. It's about the company's ability to respond to the market demand with good products quickly.

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What do I mean by quickly? I mean 3 to 6 months instead of 9 to 12 months. With the changes in leadership that we have had with those changes in leaders, and I mean that starting with Neetu, I believe the pace of decision-making is faster, the frequency of forecast revisions is faster, and the underlying processes underneath these forecasting will improve.

Neetu Kashiramka: We are also going with a software which will do a data-based forecasting and then there will be a moderation which will happen. We will use AI also.

Radhika Piramal: Neetu's management style is detail oriented and granular and you need that for to re-make an excellent supply chain department.

Moderator: Thank you. Due to the paucity of time, we will now hand over the call to Ms. Neetu Kashiramka from VIP Industries Limited for closing comments. Over to you, ma'am.

Neetu Kashiramka: Thanks for joining this call. I can only reiterate that have some confidence, a little patience. You will start to see green shoots soon. And yes, I welcome all of you to come and see the new ranges if you want to have more confidence. Be assured, I think the organization is in the right hands we are doing everything which is good for long term, there is no shortcut to success that's the mantra which I am following and definitely, you will start seeing results soon. Thank you.

Moderator: Thank you, ma'am. On behalf of VIP Industries, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2024

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Subject: Transcript of Earnings Conference Call on Audited Financial Results
(Standalone and Consolidated) for the quarter and year ended
31st March, 2024

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call held on 10th May, 2024 on the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended 31st March, 2024. The same is also available on the Company's website https://vipindustries.co.in/investor/investor_con_call_transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Anand Daga
Company Secretary & Head – Legal

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VIP Industries Limited
Q4 & FY24 Earnings Conference Call
May 10, 2024

MANAGEMENT

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR - VIP INDUSTRIES LIMITED

MR. MANISH DESAI - CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

VIP Industries Ltd – 10th May, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY 24 Earnings Conference Call of VIP Industries Limited. As a reminder, all participant lines will be in the listen-only mode, there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Patil from Adfactors PR Investor Relations team. Thank you and over to you sir.

Pratik Patil: Thank you, Rovin. A very good evening to everyone and welcome to the Q4 & FY24 Earnings Call of VIP Industries Limited. From the senior management, we have with us Ms. Neetu Kashiramka, Managing Director and Mr. Manish Desai, Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties. Thank you and over to you, Ms. Neetu Kashiramka.

Neetu Kashiramka: Good evening everyone. Thank you for joining the call. As you all know, we have announced our quarter four results today. I am very happy to say that after a long time, we have grown by 15% revenue, so whatever I promised that we will be doing a double digit growth we have done and volume growth here is 14%. Secondary sales is also healthy, same as primary. If I would talk about channels, e-commerce channel continued in the growth trajectory it actually grew more than nine months, so we grew 14.3% in the quarter four for e-commerce. Even offline challenges like general trade started growth. International Business also made growth in this quarter. We opened 14 EB Os during the quarter, the total count now stands at 507 and few loss-making outlets were closed during the year.

Overall penetration, today we have 1300 towns overall. Our distribution strategy as mentioned earlier, we will be focusing on the existing stores and leveraging the existing distribution instead of expanding further because there is a lot of room to expand the throughput in the existing stores. We have also done some connects with the consumers by doing a successful dealer distributor meets. We also did backpack roadshow during this period. Overall if I had to summarize for the year, we grew by 8%, volume growth was 11%. International business, which for nine months was lagging behind also started uptick in quarter four.

Value segments, so Aristocrat actually touched a Rs. 1000 crore club in this year. On Premiumization side, Carlton did very well it grew however VIP and Skybags some more work to do. New launches which we did in April, quarter one should see some results on VIP and VIP Industries Ltd – 10th May, 2024

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Skybags and Aristocrat as we said will definitely serve at the lower end of the pyramid. Caprese also grew this quarter very well it crossed Rs. 100 crore mark for the year. Base for FY 25 has set well, we are looking at growing FY25 better than the market. For Caprese we have also signed up Kiara Advani. We are also looking at extending our GTM for backpacks. Backpacks and duffel are the two categories which I mentioned earlier also that we are looking to expand to utilize our Bangladesh better.

Gross margin for this quarter was 50%, I know it's not encouraging, but there is no discounting in this. What has happened

actually is the share of business from Bangladesh has reduced and 5% of the impact on gross margin is mainly because of that. EBITDA 2.3% there are some one offs. Close to Rs. 15 crore is mainly because of one offs which will not be there as we move going forward. Fundamental demand indicators, air passenger traffic, hotel occupancy seems to be positive. FY25 will be the year of transformation for this company. As I promised that first revenue will start and then profitability, I still stand on that statement and H2 onwards you will start to see meaningful profitability improvement.

And yes, internally we all know that some changes have happened in the team and we are all geared up now to make VIP as a transformed organization. Yes, with that I open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rajan Shah from First Water Capital. Please go ahead.

Rajan Shah: I have a couple of questions. The first question is, with a 50% gross margin how do you plan to achieve your EBITDA margin guidance to reach 18% to 20% over the next 12 to 18 months. And my second question is around your inventory level which is in excess of Rs. 900 crore as of FY 24.

What are the plans that you have in place to reduce these inventory levels?

Neetu Kashiramka: On the first question with 50% gross margin, gross margin is down mainly because of underutilization of Bangladesh. In H2, the utilization will start improving and my guidance for the current year is 15% for EBITDA and for next year it is around 18%. I will still go with our guidance of 15%. H2 will see a substantial upliftment on the profits. Out of the Rs. 900 crore of inventory close to Rs. 300 odd crore is mainly soft luggage and we have stopped producing soft luggage upright and every month we are selling around Rs. 50 crore worth of soft luggage inventory, it is a six month of inventory. I'm not in a hurry because this is not an old inventory and we will not be doing too much of discounting to sell this and by end of the year we are looking at reducing our inventory close to Rs. 200 crore

Rajan Shah: Okay. And I believe that you are also outlined in one of your analysts meet a strategy change to focus more on the premium segment, the premium segment of Carlton, VIP and Skybags on a price point of more than Rs.6000 - Rs.7000 for a cabin bag. It's a very small market, so do you
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have estimates on how large the market is and what percentage of the market share do you want to capture?

Neetu Kashiramka: Today 55% of our business is coming from other than Aristocrat which is mid premium and premium. Overall market in India is close to Rs.1000 crore, maybe 20% market is premium. My idea is that if overall today we are at 55% how can we make this 60% that will definitely give us an uptick on the improvement in margins. Today we are very small like my Carlton share of business is just 6% in the overall portfolio that can definitely become 10%. We have done quite a few launches during this period like in April we have done launches in lightweight, we have done launches in sustainability, we have done launches in premium hard luggages.

Moderator: Thank you. The next question comes from line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: So elaborating on this gross margin impact So, basically the Bangladesh capacity utilization was low which has impacted gross margin is what you are saying. Is that understanding correct?

Neetu Kashiramka: Correct

Jigar Jani: And what would be your guidance for gross margin then for FY 25 overall?

Neetu Kashiramka: FY25 should be 52% to 53%.

Jigar Jani: Okay. And ma'am this employee expenses would include a one off sorry, I miss

the one off

number that you had mentioned in your opening comments. Can you just repeat?

Neetu Kashiramka: The overall one off number is Rs. 15 crore and Rs. 5 crore out of that is the employee cost.

Jigar Jani: And what would be the rest ma'am?

Neetu Kashiramka: Rest is in the other expenses, basically legal and professional fees.

Jigar Jani: Okay. And the one off that we had to take that Rs. 5 crore is related to the employees that we let go under Bangladesh?

Neetu Kashiramka: Yes.

Jigar Jani: So that is fully taken in this quarter?

Neetu Kashiramka: Correct.

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Jigar Jani: Right. And ma'am just looking at VIP this quarter, there is a sharp de-growth even on a year-on-year as well as a quarter-on-quarter basis, any specific reason why VIP has kind of shown a sharp de-growth?

Neetu Kashiramka: VIP brand?

Jigar Jani: Yes.

Neetu Kashiramka: There is no sharp de-growth, for the quarter there is a 7% growth and for the year it's a 1% growth so there is no de-growth at all.

Jigar Jani: Okay, then might be some number issues. And just lastly on expansion strategy, how many EBOs are we planning to add next year in FY25?

Neetu Kashiramka: So, in FY 25 we are not going to add too many EBOs we are looking at only close to .

Manish Desai: 35 to 40 EBOs, but more strategy will be to leverage on the existing strength what we have and to optimize the throughput so that we can convert or we can premiumize our brands or the throughput from that.

Jigar Jani: Okay, thank you sir. And just last data keeping question, tax rate what would be the steady state tax rate that we would see for FY25?

Manish Desai: Generally we go, what you are seeing the ETR on a consolidated results on a higher side because of the unabsorbed loss of the subsidiary. However, on a standalone basis it will be driven by the normal tax rate what we have which is 25%.

Jigar Jani: So, standalone basis it will be 25%?

Manish Desai: Yes.

Jigar Jani: And any update on the insurance refund for the fire in the Bangladesh facility?

Manish Desai: The efforts are on and we are very hopeful that it should result into it. There are specific

permissions required being the unit in the EPZ unit or, which is export oriented one so that's getting more time but all focus is there to get this refund to the earliest.

Neetu Kashiramka: We should see something around quarter two.

Moderator: Thank you. The next question is from the line of Shobit from Anand Rathi. Please go ahead.

Shobit Singhal: Ma'am two questions from my side. So, first quarter is running below expectation for the industry due to less wedding dates. So, what made us very confident of achieving double digit growth?

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growth in FY 25 and second question is, so how are we replacing this underutilization from the Bangladesh unit. Thank you.

Neetu Kashiramka: So one, at this point of time Bangladesh will be underutilized for some time because soft luggage upright we have enough stocks. We are looking at expanding the business for backpack and duffel but that will take some time. A large part of utilization of Bangladesh improvement you will start to see from quarter three. Confidence on doing the double digit growth for the year is behind to two, three things one, we feel that by doing right we will start to gain market share and if the industry is growing, and most of the people are saying that the industry will grow 12% and that is the confidence I am getting, I should do 1% or 2% better than industry and that's how I'm saying that we should do a double digit growth. Travel is doing well, travel if you look at airline data, if you look at hotel industry, travel at this point of

time it is giving positive signals.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Jinesh Joshi: Madam, I have a question on our pricing strategy with respect to Skybags. I just observed on one e-commerce channel that entry level three-piece hard luggage of Skybags is priced similarly to one of our peers which basically caters to the mass market. So, I just wanted to understand our pricing strategy on Skybags. Given the fact that the brand positioning is more on the economy side, so when we were playing this discounting game, why did we not choose Aristocrat and why did we go ahead with the Skybags?

Neetu Kashiramka: Skybags strategy is definitely more with mid premium and not opening price point. This particular range what you are seeing, I know why and that was mainly because the channel partner sold at lower than what price we sold them so that was their investment and not ours, and we have actually asked them to increase the price because that's also hurting my brand and secondly, it's also hurting my other channel.

Jinesh Joshi: So, the course correction has happened right?

Neetu Kashiramka: It has happened if you go today, you will not find it.

Jinesh Joshi: Sure. And madam my second question is on gross margin, I know quite a bit of discussion has happened surrounding it, we are seeing that the gross margin has declined due to reduced share of the Bangladesh operations. But I believe we typically manufacture soft luggage in Bangladesh and any which way the share of soft luggage sales has been declining because currently the trend is more towards hard luggage. So in that case, how come a swing in Bangladesh can essentially impact our gross margins by 500 basis points?

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Neetu Kashiramka: Actually your question has the answer. If you see overall Bangladesh used to add let's assume last year same quarter Bangladesh added Rs. 72 crore and for this it is less than Rs. 30 crore so, that gap is what is changing the gross margin. Overall share of business of Bangladesh has come down, Bangladesh standalone P&L. If I have to tell you the quarter, the revenue is Rs. 89 crore versus Rs. 175 crore and the corresponding gross margin.

Jinesh Joshi: Got that. One last question from my side, the borrowings on our balance sheet have increased to about Rs. 530 odd crore then I think that would predominantly be due to high working capital given the fact that we have Rs. 900 crore of inventory on balance sheet. You have mentioned that we are aiming for a Rs. 200 crore reduction by FY25. So, correspondingly should we expect the debt levels to also go down or how should we look at it?

Neetu Kashiramka: Yes, definitely, we are looking at debt to be around Rs. 250 crore.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: In the recent past, we have seen how industry like ours which rely heavily on wedding, travel, where there is no syndicated reliable data to understand demand forecast and it happened actually paid out in last six months and wedding demand itself for many industries which are associated with wedding related demand. We have seen in our company also episodes of demand forecasting going wrong. And in past we have survived such episodes because of very strong balance sheet and cash on books. But now with very high inventory and the debt point which was raised in the earlier question. Do you still, first what are the measures that we have taken so that this 12% demand that you spoke about, we are very sure of that coming through because, I'm assuming that your inventory ordering also will be based on that kind of forecast.

And second, what are the cushions let's say for what

ever reason, if the demand doesn't come

through, how are we trying to protect inventory, balance sheet, P&L, in case if macros are not in our favor in FY 25?

Neetu Kashiramka: At this point of time, we are very, very cautious on ordering RM for soft luggage especially. In hard luggage actually we are not having much inventory it's generally 15 days or even 15 days of inventory is not there today, as we speak and soft luggage now, any RM ordering actually requires a signature from CFO or MD otherwise it's a clear, clear zero ordering. Unless this inventory of soft luggage comes down to the level of two lakh to three lakh pieces, we are very cautious, and we understand we have a high inventory and high debt both go hand in hand and all our efforts are on to reduce this so, reduce both borrowings as well as reduce inventory.

Tejas Shah: But ma'am at the same time you have also identified the problem statement is the freshness of the brand and inventory. So, how would you manage this conflicting objective where we have to add freshness to the inventory also, and at the same time you have to reduce inventory also?

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Manish Desai: Reduction in the inventory will be on a soft luggage, because that's the bottleneck what we have. Whereas if you look into the hard luggage what MD rightly said we are hand to mouth kind of situations and indent being there in such a way that we can go to the market and fill the requirement. More importantly, our objective is to go more localization and that's why it becomes more, supply chain also become more robust in order to fulfill those kind of requirements. The challenge in terms of the new product launches and everything is still around. I'm sure we will overcome as we move forward in this direction.

Neetu Kashiramka: Most of the new launches are in hard luggage now because that's the market need or demand.

Tejas Shah: Perfect. And ma'am second and last question on Bangladesh being the cause for not achieving our goal on gross margin front. What will lead to this under recovery in second half as you called out, what are we seeing that will change from today, which will lead to this under recovery on Bangladesh utilization?

Neetu Kashiramka: We are forcing our soft luggage inventory to deplete in next six months, by September, and therefore Bangladesh will start producing soft luggage. Earlier, we had a capacity of 2.2 lakh of soft luggage upright at Bangladesh we have reduced it to 75,000 and today we don't produce at all so once this inventory is over, there is a natural demand at least of 75,000 to 80,000. We have already cut costs of 4000 people to take care of only the relevant demand, but I don't want to reduce further because then I will not get the skilled labor which I need to manufacture this 75,000 pieces.

Tejas Shah: Perfect. So ma'am this 15% margin, will it be much more back ended in the sense should we expect that second half will be way above 15% so that weighted average will be 15%?

Neetu Kashiramka: Correct. This is what I said in my statement also that H2 will see much higher profit as compared to the first half.

Moderator: Thank you. The next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: I had one question related to raw materials ma'am. As per my understanding one of the major proportion of cost in manufacturing hard luggage is your aluminium handles. Just correct me if I am wrong. However aluminum cost have increased by almost 10%, 15% in the recent past. Do you think this will have a bearing on margins going ahead?

Neetu Kashiramka: Not really. 50% of our trolleys actually have already become MS steel. It's become fungible now, and overall trolley cost as a percentage of the luggage is not substantial to make a dent

into the profitability.

Bhavin Rupani: Okay, clear ma'am. And my second question is related to channel economics. Can you please provide the breakup of margins across different channels?

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Neetu Kashiramka: I cannot give you the margins, what I can give you is range so retail trade is the best margin contributor followed by GT, modern trade and e-commerce are the lowest, CSD is also close to retail. MT and e-commerce go hand in hand with lower margins.

Bhavin Rupani: Okay, ma'am. Is it possible for you to give some sense on how much higher and lower the margins are considering maybe EBO as the base?

Neetu Kashiramka: I don't think that much detail we can give.

Manish Desai: It's a bit confidential because that's what we would like to keep the interest of our channel partners also been intact with us and associated with us, that's the prime reason nothing else.

Bhavin Rupani: Okay. And when you say retail is the best it includes EBOs and MBOs right, so, both of them are equal?

Neetu Kashiramka: No, so this includes only our own EBOs, MBOs is part of general trade.

Bhavin Rupani: Okay, got it ma'am. And ma'am as far as capacities is concerned last time you mentioned the

10 lakh pieces is our hard luggage capacity , 7 lakh is around soft luggage and you had mentioned that we will take directly it to 20 lakhs . So how should one understand that , what should be the breakup right now ?

Neetu Kashiramka: 10 and 7 for soft luggage , 2 to 3 lakh we are going to increase in hard luggage at this point of time.

Bhavin Rupani: 13 lakh will be the hard luggage capacity and 7 lakh will be the soft luggage capacity?

Neetu Kashiramka: Yes, by end of the year.

Moderator: Thank you. The next question is from the line of Deepak Saha from DR Choksi Finser v Private Limited . Please go ahead.

Deepak Saha: Just one question, the first question is , if the industry is growing at 10%, 12% and when we are targeting say 15% and plus , so it means we are definitely targeting the higher market share gain. So correct me if I'm wrong, then my understanding is probably we are targeting as you highlighted earlier also the premium segment. So , is it the right understanding that you are trying to gain more market share on the premium side ?

Neetu Kashiramka: I think it will be all , because I don't want to leave even the lower end and the good part is that , VIP as an organization has brand across categories. Our focus will be on all . However, if you see last three, four years we have not grown in our premium and mid premium so that is where we want to grow and not only in Aristocrat .

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Manish Desai: We need to deliberate a strategy to the considering the market in front. So, you can't behave differently than what market is asking for.

Deepak Saha: Yes, exactly. So on that front again, now if you see on the premium side typically the perception that is built around VIP on the brand side. So what kind of improvements we are doing to align that perception regarding VIP towards the premium side, because we need to do certain work there to get the alignment on the premium side as far as our brands are concerned, especially on the VIP side.

Neetu Kashiramka: Mainly we will be focusing on coming up with better products. There is a three prong strategy here , one is a lightweight product , the second is using technology, which is tech enabled luggages and the third will be on luxury , under all these three strategies, we have launched something or the other in the month of April, I will request if you can go to our store now you will find all of them. In fact, in the presentation also we have mentioned what are the new launches

in all the three themes.

Deepak Saha: Okay, that's helpful. And then one last thing, in one of your earlier concalls you mentioned that you want to become a travel solution company. So by that , if you can kind of share some texture on is some additional products or something that we are coming up with, or something is on the plan, what exactly you are directing towards ?

Neetu Kashiramka: In next five year's time , in FY 25 and 26 more focus will be on, getting back to our profitability, and then look at additional growth. One or two things, I can give you the example , we are looking to launch accessories in the second half of this year, in a meaningful way, and some such things so basically, when a customer needs anything and everything for a travel, he should be able to get into my store, but that's a long term plan. My first focus is to get to 15 % to 18% of EBITDA margin, post that we will focus on the second piece.

Deepak Saha: Okay. And just before I wrap up, just one last thing. What's your borrowing number , you said I kind of missed it, what would be the borrowing number for the year ahead?

Neetu Kashiramka: My net borrowing today is Rs. 485 crore , which we are looking to make it half of what it is, around Rs.250 crore .

Moderator: Thank you. The next question is from the line of the Dishant Rakesh Jain from Kausar Capital. Please go ahead.

Dishant Rakesh Jain: So, I just wanted to ask one of your repeat question. So how much inventory we will be able to sell by the end of, or maybe reduce by the end of FY25, you said Rs. 200 crore right?

Neetu Kashiramka: Yes.

Dishant Rakesh Jain: And it does not include the soft luggage inventory, so like 300 plus 200 that is Rs. 500 crore? VIP Industries Ltd – 10th May, 2024

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Neetu Kashiramka: No. So today, we have Rs. 900 crore of inventory, which includes around Rs. 300 crore soft luggage inventory out of this Rs. 300 crore we are saying Rs. 200 crore will go down .

Dishant Rakesh Jain: So by end of FY25, 200 will go down?

Neetu Kashiramka: Yes.

Moderator: Thank you. The next question is from the line of Subrata Sarkar from Mount Intra Finance . Please go ahead.

Subrata Sarkar: So, just two clarification I want to understand on the margin what you are guiding . So when you are talking about 15% kind of EBITDA margin is it exit EBITDA margin for Q4 FY25 you are talking or you are talking about the full year EBITDA margin this is number one . And number two like , on the same clarification like when you are guiding for only 2% improvement in gross

margin, like what is the mathematics behind like reaching to 15% EBITDA from 2%?

Neetu Kashiramka: There are lot of high cost sitting below EBITDA, one warehousing cost since today my inventory is at all-time high we are incurring huge on the warehousing cost, my freight is high because I'm incurring detention charges, some of my warehouses and there is no space, the truck comes and stands for five to six days so all these costs which are sitting in the other expenses will come down. If you look at FY 23 to 24 numbers, you will be able to get that there's a huge gap. In fact, I can tell you, my other expenses in last full year was Rs. 500 crore versus Rs. 700 crore now, there is a Rs. 200 crore delta sitting there, I can definitely get Rs. 100 crore delta out from there immediately. Immediately when I say H2, I have to do lot of work around it, but that's something which is sitting there so, that's the plan.

Subrata Sarkar: Okay. And when you are guiding like 15% of EBITDA margin, is it Q4 exit EBITDA or for the entire FY25?

Neetu Kashiramka: Q4 exit EBITDA should be like 18% and not 15%.

Subrata Sarkar: Okay. So in this case like each one also there should be mark improvement on this to 2%, 3% at least?

Neetu Kashiramka: Yes, 2% - 3% improvement you will

ill see

Subrata Sarkar: What I am saying madam, if you are guiding for, let's say 15% end Q4. I'm just asking for a clarification actually. When you are guiding for like 15% overall EBITDA for the year and 18% exit EBITDA for Q4 then your EBITDA should be at the range of at least 10% in H1 also. So is it right understanding that we are in a position to do that?

Neetu Kashiramka: Yes, we are.

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Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Thanks for the follow up. I just wanted to understand this Bangladesh gross margins a little bit in detail. So ideally, your capacity utilization shouldn't really impact your gross margin it would be below bottom line in terms of expenses. So, just to understand this is because your soft luggage production has dropped in Bangladesh and you are manufacturing more duffels and backpacks there where the overall gross margins are lower, is the understanding correct?

Neetu Kashiramka: What happens is, Bangladesh used to add, I explained also, let's assume Rs. 75 crore last year was added by Bangladesh gross margin, which has almost become half in this quarter, line-to-line and that is the reason for reduction in the gross margin.

Jigar Jani: Yes, but per unit gross margins in percentage terms wouldn't change right?

Neetu Kashiramka: We are here using the IND AS or the accounting standards are not per unit. I have to add to P&L when I add in Bangladesh, if you look at my standalone results the gross margin is flat.

Jigar Jani: Yes, so that's what I am saying that suppose you were making standalone margins of 50%, and Bangladesh was making say 40% just giving numbers. That 40% will only change when your mix changes.

Neetu Kashiramka: I don't think I can explain this like so easy, it's in the Excel I can.

Jigar Jani: I will take it offline.

Neetu Kashiramka: Yes, just connect with Manish and understand from him.

Moderator: Thank you. The next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: So ma'am we have been refurbishing certain EBO stores in India. What changes have you seen post the refurbishment can you please share your insights and observations on that?

Neetu Kashiramka: It's too soon for that because it takes three to four months for refurbishment. I can say the store which we refurbished six months ago definitely has seen a much throughput but we can't say that it is because of refurbishment it can also be because I have put better portfolio, better products. It's too soon like some of the refurbishment has just happened.

Bhavin Rupani: And what would be the expenses that we incur to refurbish a store?

Neetu Kashiramka: Not all stores have been refurbished already. We have a budget of around Rs. 10 - Rs. 12 crore for the year to do that.

Bhavin Rupani: Rs.10- 12 crore includes how many stores?

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Manish Desai: It all depends upon what kind of refurbishment you have to carry out, so if I take even the average 30 to 40 lakhs to go into it that's where the lot of stores will get into a refurbishment.

Bhavin Rupani: Okay. And the second question is related to e-commerce. What is our target proportion in e-commerce that we have increased significantly over the last year but what would be target?

Neetu Kashiramka: Today it is 22%, industry is at 25%, we will be with the industry.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. I now hand the conference over to Ms. Neetu Kashiramka from VIP Industries Limited for closing comments.

Over to you, ma'am.

Neetu Kashiramka: Thank you everybody for

r joining the call. As said earlier also, me and my team are all geared up to make VIP successful. Please bear with us for one or two more quarters, starting H2 you will definitely start feeling happy, along with revenue we will also get meaningful bottom line. If you have any other questions you can connect with Manish especially on this gross margin thing. Thanks again.

Manish Desai: Thanks to all of you.

Moderator: Thank you. On behalf of VIP Industries Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2024

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Code – VIPIND

Subject: Transcript of Earnings Conference Call on Un-audited Financial Results
(Standalone and Consolidated) for the quarter ended 30th June, 2024

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call held on 7th August, 2024 on the Un-audited Financial Results (Standalone and Consolidated) for the quarter ended 30th June, 2024. The same is also available on the Company's website
https://vipindustries.co.in/investor/investor_con_call_transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Ashitosh Sheth
Company Secretary & Head – Legal

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VIP Industries Limited
Q1FY25 Earnings Conference Call
7th August, 2024

MANAGEMENT

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR - VIP INDUSTRIES LIMITED

MR. MANISH DESAI - CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

VIP Industries Limited – 7th August, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of VIP Industries Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Patil from Adfactors PR Investor Relations team.

Thank you and over to you sir.

Pratik Patil: Thank you, Steve. Good morning everyone, and welcome to the Q1 FY25 Earnings Call of VIP Industries Limited. From the senior management, we have with us Ms. Neetu Kashiramka, Managing Director and Mr. Manish Desai, Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties.

Thank you and over to you, Ms. Neetu Kashiramka.

Neetu Kashiramka: Good morning, everyone. Thanks for joining the call. We announced our first quarter results yesterday.

Before , I get into revenue and profitability, I would like to highlight two positives for the quarter :

1. We gained 2% market share last quarter, and we also expect to have 2% gain in this quarter, and therefore by the December end our market share of 36 % now will look like 40% .
2. We have made progress in inventory reduction , during Quarter 1 , we have been able to reduce our inventory by Rs. 120 crore in pieces it is 13 lakhs.

Moving to Quarter 1 P&L:

The revenue growth value wise was almost flat, but volume was 11% . Overall revenue growth for the quarter was actually low mainly because of April performance which was hit mainly by less wedding dates, heat waves and some part of availability. However, May and June we had a healthy growth of 14 % and 18% in value terms and in volume terms it was 31 % and 36 % respectively. Channel wise, again this quarter e -commerce continued its growth trajectory and VIP Industries Limited – 7th August, 2024

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we grew by 66% . Offline channels as I said, got impacted because of lower footfalls due to heat wave, Lok Sabha elections and lower wedding dates . Institutional sales again did better because of focused approach. International business got impacted due to countries like Asia and GCC.

Our premium share of business continued to hold at 56% of revenue . Value segment again showed growth. Carlton was actually successful in the premiumization agenda, and our average selling price increased by 16% . VIP continued to grow on the back of successful new launches, mainly in lightweight and tech enabled luggages . Skybag volumes were impressive during the quarter driven by backpack and pick up in e-commerce. In case of Caprese , Kiara collection was very successful and we are seeing better response in July . Soft luggage year -on-year dropped, and the share of business was actually in -line with the overall shift . Hard luggage now continues to be the fastest growing category, and as on date 56% of the overall revenue of the organization now is through hard luggage .

Moving to Profitability:

Gross margins declined by 510 bps, mainly on account of soft luggage liquidation, channel mix and under absorption of overheads due to lower production at

Bangladesh . EBITDA, year -on-

year movement was again on account of lower GC and increase other expenses on account of FOREX and marketplace expenses. I also mentioned in my previous quarter that the organization is onto a transformation journey this year . As a part of this journey, sustainable profitability is a key milestone and to help us on this journey , we have engaged Boston Consulting Group for EBITDA improvement. I have also mentioned earlier that meaningful improvement in profitability will start showing from Quarter 3 onwards , I still maintain this .

If I have to talk about the demand indicators , barring Quarter 1 , we still feel that festive season , and if you see the travel portal results, everything is pointing towards better demand indicators. However, we will have to wait and watch , Quarter 1 for this sector, especially for

luggage has been subdu ed. We are definitely moving ahead in our transformation journey. Lot of work has happened , the result of the same will be visible, as I mentioned in the Quarter 3 . Lastly, there is a lot of news which is floating around Bangladesh, the situation looks alarming. However, VIP factories are in EPZ zone, which have not got impacted. In fact, in last 40 days of unrest, only three days our factory was shut. Even as we speak, all our factories are up and running. All the employees are present, production is happening as desired and Material movement is also happening . Further , if there are some production losses, we still have 6 lakh pieces of soft luggage inventory which can be used . We are however, closely monitoring the situation as it progresses, and we will take corrective action as and when needed. One good part is that , all our Indian expats who were working in our factory, we moved them into India a day before the episode.

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At the end, I would like to conclude by saying that , it's one more quarter of pain before we start to see good profitability. Let me open the forum for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited . Please go ahead.

Jinesh Joshi: Madam , in the open remarks you mentioned that the inventory reduction in 1Q was about Rs. 120 crore . So, can you highlight how much of it was soft luggage and I believe in the last quarter, our slow moving soft luggage inventory was about Rs. 300 odd crore . So, when do you think the full liquidation will happen especially given your comment back from 3Q, you may see margin improve but, given the liquidation which we have to do in 1Q our margins were under considerable pressure ?

Neetu Kashiramka: The soft luggage inventory has reduced by Rs. 80 crore . So today as we speak number of pieces it is around 6 lakhs, and we are selling 1.5 lakh pieces approximately a month. So, that's where most of this old inventories will get cleared by September.

Jinesh Joshi: Sure. And madam , my second question pertains to our other expenses, which is at about Rs. 175 crore in this quarter. Now given Rs. 120 crore of inventory reduction has happened, perhaps our warehousing and freight cost should have fallen , fall in other expenses, and also from this quarter you have mentioned in your PPT that payout relating to e-com is getting netted off from the revenue rather than getting clubbed in the other expenses. So, despite these levers, our other expenses up by 4% so any specific reason which you would want to highlight here ?

Neetu Kashiramka: One, there is a FOREX loss of around Rs. 5 crore which got impacted and other one is warehouses cost reduction takes time like once it's a cycle, if we have to give notice also there is a three month lock in. Most of these

reductions in the warehousing cost will actually start to come in Quarter 2 , and large part in Quarter 3 .

Jinesh Joshi: Got that one.

Neetu Kashiramka: The other one is on the e-commerce costs. There are two kind of costs which are paid to the e-commerce , one is discount, and the second one is performance marketing, which is basically the marketing expense. Marketing expense is part of the other expenses, whereas the amount given for discounts is netted off from revenue.

Jinesh Joshi: Sure, understood . Madam, one last question from my side. You also mentioned that we have engaged BCG for EBITDA improvement . So, can you highlight some details surrounding this , what is the term , what will be the outgo for it ?

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Neetu Kashiramka: I don't think I can give you more details, the costs are not going to be bulging out as it happened in the e-commerce because it is all dependent on reduction in costs. Reduction in cost will be much higher than what we are paying to them.

Manish Desai: In short, it is linked to the outcome .

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking . Please go ahead.

Shirish Pardeshi: I think things are happening, but just more curious, I have three questions. So, first question is that, you did mention that the inventory is cut by 16 lakh pieces . But if you can help us to understand this 11% growth, how the growth has happened in terms of volume for the premium and mass and versus the other segment and if you can give me the volume number ?

Neetu Kashiramka: Yes, I will give you. Premium is 10 % , and value is 18 %.

Shirish Pardeshi: Okay. So, what is the total number of pieces which would have sold in Quarter 1 ?

Neetu Kashiramka: Around 50 lakhs .

Shirish Pardeshi: So, that's broadly remain. The second question which I wanted to check that , when we look at the slide says that premium and mass premium segment has remained 56% brand saliency. But within that, if I look at the hard luggage, which is to be about 48% a year before which has now moved to 56 % and so it has come down from 25 % to 19%. So, what explains this 515, 510 basis point decline in gross margin , is it largely the discounting has gone up in the system, or

something else ?

Neetu Kashiramka: One is soft luggage is sold at a discount the second is the channels which are growing are actually the lower end of the pyramid so, for example , now on e-commerce we don't sell high premium it is mass and slightly premium, so VIP and Skybag which is in the opening price point range only will sell on e-commerce.

Shirish Pardeshi: So, you mean to say that the contribution of e-commerce is rising because we are giving discounting, and that's why, which is we are getting the volume?

Neetu Kashiramka: I won't say that, so we were under indexed on e-commerce, we are catching up the game so, e-commerce, travel industry, revenue from e-commerce is around 30% . We were at 20 %, we are catching up and therefore the growth is high but on e-commerce we don't sell too much of Carlton and VIP premium , it will be opening price point which gets sold, so my average realization of e-commerce is actually lower than the other channels.

Manish Desai: And furthermore just want to add what MD said , you have to appreciate that unlike the other industry still in the luggage, the value contributes more compared to the premiumization or a
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higher premium, and that's why you find that your volume growth is much higher compared to the value one and we are not seeing any major change in the shift in the demand in the next one or two quarters, given that it is more led to

the festival and e-commerce .

Shirish Pardeshi: Manish that's helpful, but I have a broader question. Now, we are getting the volume at a price discount. Now, historically, we have under indexed on the channel. So , I am only saying that if the margin expansion story has to be built over next two , three quarters, and the e-commerce channel will go back to 30% what the industry is doing. So, where is the margin lever and what is the confidence which we are talking about?

Manish Desai: There are many levers on which the cost optimization drive needs to work to improve the overall margin and when I say about it, in terms of , the growth is coming at a cost I would not like to agree on it, because we have to align with the market demands. If market is asking for a value product, I cannot do tom-tom on the premiumization and that's the alignment what we did, and that's why I am repeatedly saying that our volume growth was on a higher side compared to the value one . The cost optimization drive on which we are working towards it including the calibrating the price at which we are seeing, the option to go up will certainly contribute in the overall gross margin. I repeatedly said again, or reiterate that MD said it can be seen only from the Quarter 2 , Quarter 3 , and that's what our objective is.

Neetu Kashiramka: It will be in all segments, Shirish . For example, there will be some kind of price increases in some of the ranges. There will be some direct costs so basically, on the product side we will be doing some work, and then on the overhead as well so, gross margin is definitely going to be around 50 %.

Shirish Pardeshi: Just one question here. Do you think the input prices will remain stable from here to next two, three quarters ?

Manish Desai: Input prices, we have to see over there looking into the geopolitical situations , but if I see the last 10 days trend, it is showing on a downward side. Furthermore, on a continuous we are also working on a value engineering drive what a few minutes back, MD explained so, altogether, we like to contain our input cost from where we are currently, and rather improving upon it looking into the various options we have to go on a cost optimization.

Shirish Pardeshi: Just last question, I will just put the question you can answer later. The question is on the employee cost, because we have already taken a lot of action, and we have moved the manufacturing from Bangladesh to India . So, Rs.59 crore what we have charged in this quarter , is there any further room for further reduction in employee cost or it will be stable at 59 crore going onward. That's it for me and thank you.

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Neetu Kashiramka: Actually, in Rs.59 crore , there is a reversal of performance incentive payout of Rs.7 crore so, Rs.65 to Rs. 66 crore is what the employee cost will be at this point of time. Reduction on employee cost is planned in the last phase , that will happen only in quarter four onwards.

Moderator: Thank you. The next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: My first question is related to netting up of e-commerce thing, is it possible to quantify the amount of net off from revenue related to e-commerce?

Manish Desai: It's around Rs. 15 crore .

Bhavin Rupani: And do you think this will continue going ahead or it will decline?

Manish Desai: As we all know Q2 is largely e-commerce led so, probably it will see some kind of incremental trend and we are growing as well , so obviously an e-commerce channel so the amount will keep be on an increasing trend.

Neetu Kashiramka: As a percentage of revenue it might remain the same.

Manish Desai: Absolute amount may undergo a change but percentage to revenue expected to remain same.

Bhavin Rupani: Alrigh

t. Second question, our channel check suggests that there were certain schemes during Q1 wherein we were offering soft luggage at a discounted rate, if a customer purchases above certain value. Hence, do you think that could be one of the reason for decline in gross margins during the quarter, as our selling price of soft luggage in the promotional scheme was way lower than what our actual prices were?

Neetu Kashiramka: That's what I mentioned also in my opening comments.

Manish Desai: Liquidation drive, see there are two ways in which you can do it either I can do flat, a discount, or I could do a bundling of the product giving, I would say more offering to the end consumers, and that's what we plan for, and that's one of the reason attributing to the loads.

Bhavin Rupani: Okay. My second question is related to Bangladesh. In your earlier concall, you had mentioned about converting soft luggage upright capacity to duffel and backpack. Is it possible for you to quantify how much capacity of soft luggage will be converted to duffel and backpack?

Neetu Kashiramka: Earlier, we had a 2.5 lakh pieces of capacity of soft luggage upright, which we are reducing to 1 lakh.

Manish Desai: Less than 1 lakh.

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Neetu Kashiramka: Yes, close to 90,000 actually, to be more precise and backpack and duffel will be closer to 2.5 lakhs.

Manish Desai: See what happens generally it's kind of fungible, because what we are doing is, we are recalibrating our manpower. However, the machines are going to be still there so, the strategies to have a completely going on a fungible so, whenever we require, we can adjust our capacities to the market demand.

Bhavin Rupani: Okay. And if I am not wrong, there is a FTA between India and Bangladesh to export goods duty free. Do you think if this is removed, we will lose the duty arbitrage that we hold right now?

Manish Desai: I won't see impact on this, because both country needs for their economy support, but we have to see, because situations are getting evolved, I don't think so FTA will come as a first stage of negotiation between two countries, keeping in mind the safety, security, the economic growth which both countries are looking for and more importantly, from Bangladesh perspective. Given that their GDP is largely contributed by textiles and garment industry.

Bhavin Rupani: All right. And one last question on guidance, you indicated double digit revenue growth and 15% EBITDA margins for FY25. Do you still maintain the guidance for the year?

Neetu Kashiramka: If you can read my transcript of last quarter also, I have always maintained that H2 will see profitability and exit quarter at 15% is what I have guided for which I still maintain.

Moderator: Thank you. The next question is from the line of Surya Narayan from Sunidhi Securities. Please go ahead.

Surya Narayan: So, just wanted to know that you said the liquidation of the soft luggage will continue till another two quarters. So, we have reached nearly 44% GP this quarter and this is nearly 12 quarters low it is there. So, shall we mean that now in going forward for next two quarters also we will be seeing similar kind of GP?

Neetu Kashiramka: One more quarter. And then it should start inching and exit should be 50%.

Surya Narayan: Our exit would be 50% you are saying?

Manish Desai: Yes, exit quarter of the year.

Neetu Kashiramka: Yes.

Surya Narayan: Exit quarter will be 50% but 44% is the lowest, and it can improve, inch up to 50% as we move forward, right?

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Neetu Kashiramka: Yes, one more quarter of pain, like September should be around this, but from December onward

it should start improving.

Surya Narayan: Okay. And secondly, any update on the Bangladesh fire insurance claim?

Neetu Kashiramka: We have received interim Rs. 5 crore in the month of July, and balance, expected in three to four months but now, looking at the current situation, it might get delayed. We will have to wait and watch.

Surya Narayan: Okay. And secondly, what I am seeing that the channel by salience we have put a lot of effort to improve the general trade. But it is showing opposite result because that happens to be the biggest one, so when that can improve?

Neetu Kashiramka: Now, that channel improvement we will see only in the next year, because the biggest salience in that channel is actually Quarter 1, and this time, because of the no wedding dates, the pickup was very, very weak also the secondary's were not there for that channel, and that's why you see this salience has come down. Over a period of time, I think it will stabilize at 25% salience for the channel when more and more people starting to buy from modern trade, from e-commerce. Even smaller towns are now having chains like Vishal and DMart, a lot of people are moving. Reliance Retail is becoming aggressive.

Surya Narayan: Okay. And in the modern trade also it has declined Y-o-Y so, just wanted to say.

Neetu Kashiramka: E-commerce have increased from 13% to 21%.

Surya Narayan: Yes, but more we do the e-com or let suppose e-com then obviously we are also sacrificing the margin and commission under the same. So, wanted to know.

Neetu Kashiramka: That's is the only channel which is giving growth, what is the choice, either leave it or grab it. If I don't take it, somebody else will take it. That's what happened earlier also.

Manish Desai: Just to add to this, probably some of the channels will get recalibrated in a such a way that everyone will have a potential to grow and that's what our objective in a midterm kind of tenure, because the over dependence also on one channel may impact and create a more risk so, this is the going to be a midterm strategy. Although currently, we are increasing our position in the e-com because we are lacking behind compared to the market trend. I am sure that over a period of time, you find that all important channels are getting equalized in terms of the sales mix and contributing handsomely to the overall results.

Surya Narayan: So, we are not doing any kind of downsizing in the general and modern trade?

Manish Desai: No, there is no downsizing it's like if I have a more proportional sales coming from one channel, obviously it impacts the contribution of the other channel.

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Moderator: Thank you. The next question is from the line of Ashok Jindal from Anand Rat hi. Please go ahead.

Ashok Jindal: Sir, I have a question on product mix, so if you can give brand wise gross margins, and also we were saying earlier that we will focus on premium category brands, but we are expanding in lower end of the population that are 30 K to 50 K population where we believe that mass brand would be dominant, it would keep Aristocrat share higher and continue to prove pressure on margins right?

Neetu Kashiramka: Basically, if you see the salience of our VIP, Skybag and Carlton has remained the same, it has not declined, and Aristocrat has moved from 40 % to 41 % so, it's not that, Aristocrat is moving substantially up. We are definitely working on across the brands in fact, Aristocrat used to grow like 3x and 4 x in last three, four quarters this quarter, our volume growth actually is highest in VIP. VIP, volume growth is 7%.

Ashok Jindal: Okay. And earlier we were saying that.

Neetu Kashiramka: Let me just tell you, so VIP is 7%, Skybag is 15% and Aristocrat is 18 % so it's like almost close

and premium agenda is there, the only thing is, if market is not taking that, if you see some of our competitors who are in premium segments are de-growing 10 % to 12% , I didn't want that situation, and therefore we have to supply what the customer is demanding. Our focus on premium will keep continuing, but I don't want to miss the bus also.

Manish Desai: Just to add, what will happen is, even though Skybag and VIP remain our premium portfolio, there is a need to come with the entry level product as well to fill up the price gap and that's why you find some kind of difference between Aristocrat and the price point of the VIP or Skybag it will still fall under the entry product, but it still commands some kind of higher realization for under between these two brands.

Ashok Jindal: Okay. But going forward, we will keep the Aristocrat share to around 25%, which we have said earlier?

Manish Desai: As I said, you cannot be different than what market is asking for otherwise, the other brands who are on a premium segment, showing some kind of de-growth. We cannot be a different alike on this so, we keep our strategies aligning with what market requires, and keep introducing the products to fill up the price points that which the demand is coming from.

Moderator: Thank you. The next question is from the line of Saumil Mehta from Kotak Mutual Funds. Please go ahead.

Saumil Mehta: Just 1% growth in the offline channel, which has been there in the presentation, in your best estimate, how much is got to do with the weak wedding season which went by or it is largely

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got to do with customer ship towards the non-offline, which is also visible from a significant rise in e-com contribution from your end?

Neetu Kashiramka: Very difficult to quantify, but I can say that 50% of it will be because of the less wedding days, and 50% because lot of the consumers who were earlier buying from offline are moving to online.

Saumil Mehta: And my second and last question in terms of the gross margin from 42% to 50 % which was going to be for the exit quarter Q4 which you just alluded, do you believe this 50% will be more sustainable for a year as a whole in FY 26 or maybe it's too early to comment on that. Assuming things as off?

Neetu Kashiramka: Historically we used to be in the range of 50% to 55%. In FY 26 our endeavor is to go back to 55%.

Saumil Mehta: Because then I was coming from.

Manish Desai: After seeing the success.

Saumil Mehta: Got it Manish. Where I was coming from is, unfortunately the industry competitive intensity is

not coming down, or Safari, large capacity is also hitting market. So, I am sure they will be in the urge to gain market share, and overall pricing will continue to remain weak?

Manish Desai: Agree, but you must have seen one remarkable change what is happening is, those brands who have been having presence in the e-coms are now looking for retail trade, for expansion of that business which means what we are seeing in the last 18 to 24 months, probably they will be seeing now for the next two years. Let's see, and then compare, where are we and where are they, but it is very premature to make the statement, but that's what they are coming up. All fund mobilization what they are doing today, it's to expand the retail strategy, and retail comes at a cost, it doesn't come as quickly as or accessible to what we have as e-com.

Saumil Mehta: Sure. And any trend in the raw material prices, PPE or PC, any positive, negative?

Manish Desai: It's stable, showing some movement on upward trajectory on a few commodities of ABS and PC, but our contribution to that is minimal. The worrisome is only the freight rate, which is almost quadrupled compared to what we have seen quarter before.

So, that's only a cost

element to keep in mind when we are looking into a price calibration.

Moderator: Thank you. The next question is from the line of Jigar Jani from B & K Securities. Please go ahead.

Jigar Jani: So, I was asking that on the value volume slide that you have mentioned it is 14% and 18% this is ex of discounting, right, this is gross revenues that you have mentioned de-growth, right?

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Neetu Kashiramka: Yes, this is gross revenues.

Jigar Jani: So, would it be fair to assume that discounting has been the major factor why growth, in has been majorly impacted this quarter?

Manish Desai: We just answered few minutes back about the SL liquidation contributing to a lower growth and coupled with the contribution coming from more of value products so, I would say product mix and the SL liquidation resulting into a lower value growth.

Jigar Jani: Understood. And sir just two bookkeeping questions, what is the debt that we have on the books as of Q1 and what would be the tax rate that we are expecting for the full year?

Manish Desai: The answer to the borrowing, it remain at the level of what were there in the March. However, as we plan to reduce some of the debts during the year, and you can see some result in this regard, by end of Quarter 2, in terms of the tax rate, it is the 25% which will continue, which is there in fact, as under the new tax regime.

Moderator: Thank you. The next question is from the line of Pranay Chatterjee from Burman Capital. Please go ahead.

Pranay Chatterjee: My question is basically with respect to the Y-o-Y volume and value growth that we saw in Q1 which is flat and 11% so, as far as I recall, in Jan 2023 there was a fire related incident. And which sort of impacted, started impacting your sales after a strong run from Q1 FY24 onwards. So, the base was actually weak. So, with this context, how should we read the results and then would you say that the overall market would have actually declined or stayed flat, and the volume growth that we see is not a true representative of the market?

Manish Desai: I would say differently, because fire took place it's right but what is contributing, or what is more noticeable is the overall shift in demand so, it's more from a Bangladesh operation where the fire took place was largely attributed towards the soft luggage, and soft luggage demand seen a dramatic change from the Q1 of the last year. So, I would not agree on the lower kind of, fire resulting into a lower base and other stuff.

Pranay Chatterjee: Got it and the market where, market share movement you said 200 bps was that Y-o-Y or quarter-on-quarter?

Neetu Kashiramka: Quarter-on-quarter.

Moderator: Thank you. The next question is from the line of Niharika Karani from CAP Grow Capital. Please go ahead.

Niharika Karani: Sir you mentioned about 3% gain in market share in this quarter and maybe 3% more in next quarter. So, if you could throw some light whether we have gained it from the major

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competition, or have we gained it from the unorganized sector, and are we taking any threats from the upcoming B2B brands more?

Neetu Kashiramka: Whenever we are talking about market share, we are talking about the three large company's market share, because the data for others is not available in the public domain, so between the three companies, large companies, this is the market share, what we have talked about. By value basis our data will get published, for this Quarter 1 which is based on our internal estimate and some of players are going to have a negative growth and that's why we have gained market share.

Niharika Karani: Okay, understood. And my last question is, will we see any more new designs of the products coming into the market in the next couple of quarters?

Neetu Kashiramka: Every quarter we keep refreshing or adding few products. In fact, if you have gone through our

presentation, we have already shown Quarter 1 launches, and there are few in pipeline. As we speak, we have launched something which is a signature collection, you can go to our store and see it's doing very well in Carlton. We just launched so that we will share in our Quarter 2 presentation. If you go to the store, you can see few more happened already after this Quarter 1 also.

Moderator: Thank you. The next question is from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

Naveen Baid: Can you throw some more color on brand wise gross market margins?

Neetu Kashiramka: Brand wise gross margins we do not share. However, what I can say is that, there is a 10% gap between the premium and the Aristocrat so, basically three brands, which we club as premium and mid premium versus Aristocrat, it's a 10% gap.

Moderator: Thank you. The next question is from the line of Deepak Shah from KR Chokshi Finserve Private Limited. Please go ahead.

Deepak Shah: I have only two questions. So, first question is on the Bangladesh front, if you can quantify the total percentage of supplies that you are receiving from Bangladesh. And second one, in one of the earlier concalls you highlighted, you are targeting to reduce the debt nearly to half, the amount was somewhere around Rs. 250 crore. Are we still sticking to that number?

Neetu Kashiramka: That is at the end of March.

Deepak Shah: Yes, for the entire year, the FY25 target.

Manish Desai: Yes, our target is to reach there and hopefully we should be. In terms of the Bangladesh, it is largely, I would say, the soft luggage or the soft luggage contribution comes from the VIP Industries Limited – 7th August, 2024

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Bangladesh, and it fluctuates between the quarters depending upon the overall it remains at 20%, 25%.

Deepak Shah: Okay. And is there any issue on the labor side?

Manish Desai: Labor side there is no unrest as such currently.

Neetu Kashiramka: Basically, we have reduced it by 50%, so it used to be 8,000 as we speak, it's 3,800. By June, end it was 4,100, today it is 3,800.

Deepak Shah: Okay. Last few weeks how is the situation on the labor front that's what I was trying to understand?

Neetu Kashiramka: At this point of time, I mentioned in my commentary also that the EPZ zones are running fine. In last 40 days, our factory was closed for three days. Since yesterday, it opened normal, and all the workers are coming, even material movements are happening.

Moderator: Thank you. The next question is from the line of Surya Narayan from Sunidhi Securities. Please go ahead.

Surya Narayan: So, ma'am you told as of the labor force at Bangladesh has been reduced from 8,000 to 3,800 right?

Neetu Kashiramka: Yes.

Surya Narayan: So, how much is the contract labor, and what is the on payroll?

Neetu Kashiramka: There is no contract labor in Bangladesh, this was all on payroll. That is planned reduction because of the soft luggage demanded reduction. We used to run our factory in two shifts, and we made it one shift now.

Surya Narayan: Okay. So, irrespective of the production, the wage will be paid?

Neetu Kashiramka: For the balance 50% of the people, yes it has to be paid. But there is no production loss there, only three days were shut.

Surya Narayan: From this level, this will be maintained, or it will be further reduced.

Manish Desai: Depending upon demand shift. As I said, our production facilities will be completely fungible, and that's what we are working towards.

Neetu

Kashiramka: Not as difficult as India for asking workers to go there. It's very flexible, the law is very flexible around it.

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Surya Narayan: Okay. Ma'am compared to the last year, the revenue though remain flat, but the interest component has gone up significantly. So, just wanted to understand, and you will say that the debt level is also remaining same. So, what has led to the rise in the interest rate, whether any working capital let us say have spiked?

Manish Desai: When I said debt remain at the same level, I was comparing with March and not the June over the last year, if I compare with June, the debt has gone up by at least Rs. 280 crore.

Neetu Kashiramka: It was because of inventory levels, by March, we were almost Rs. +900 crore inventory, so the debt had gone up in last year which now will get reduced.

Surya Narayan: So, is our working capital cycle improved in the first quarter?

Manish Desai: Yes, the inventory is getting reduced so, definitely it has a cycle on the working capital days, and that's why we are still sticking to our target to reduce the debt by March 25.

Neetu Kashiramka: By 50%.

Moderator: Thank you. The next question is from the line of Anik Mitra from Finomics . Please go ahead.

Anik Mitra: My question is related to current Bangladesh situation. Ma'am, what is your employee mix in your Bangladesh plant , I am referring Indian employee and Bangladesh employee ?

Neetu Kashiramka: The Indian employees, so we have around 20 people from India all of them are already moved to Calcutta a day before this incident, all the other employees, which is 3 ,800 are all Bangladesh i.

Anik Mitra: Okay. Ma'am considering a strong anti -India campaigning in Bangladesh. So, what impact you are sensing could have in the production, or let's say in the operation, and what would be your strategy as well?

Neetu Kashiramka: It's too early to comment, as I mentioned that currently we are having stock from soft luggage, so I have some time to think we are definitely strategizing it's just three to four days old incident, so we will need some time to re-strategize . At this point of time as I said, the factory is running full -fledged with all the workers. I don't see an immediate issue there but yes, long term we may have to think depending on whatever is being talked about anti-India and all that so but there are so many companies who are there so, even for Bangladesh economy, I don't think they can afford to not have Indian companies there as all Indian companies put together are generating so many employment.

Moderator: Thank you. The next question is from the line of Deepak Shah from KR Chokshi Finserv . Please go ahead.

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Deepak Shah: Hi, just one follow up ma'am, you said 20 people have shifted from Bangladesh to India, Calcutta side. So, this employees where do they come in terms of the structure of employees, they are like manager , supervisors, or just labors who are working?

Neetu Kashiramka: These are all management staff. All our senior top management is from India at Bangladesh. They are now in Calcutta , they are working from Calcutta office.

Deepak Shah: So, do you see this shift will not lead to any kind of disturbance, as far as the operations are concerned in terms of running smoothly ?

Neetu Kashiramka: I don't think so for short term it should not .

Deepak Shah: Okay and just one hypothetical question, you said though it's a long term thing we need to look into how does this Bangladesh situation evolve but if at all, you have to shift is there any kind of internal risk management measurements you people are working already ?

Neetu Kashiramka: Yes, for short term we are already working on something. For long term, we need to still decide basis the situation. We will have to, we will wait for some time to assess the risk and then look at the mitigation. For short term, we have already decided what we will do. But for long term, we are still waiting to know how it will pan out.

Deepak Shah: The measurements that you are taking for the short -term purpose, you are confident about those measurements would be sufficient enough to adhere to the guidance that you have given on the top line and the bottom line front?

Neetu Kashiramka: Yes.

Moderator: Thank you. The next question is from the line of Drisha Poddar from Carnelian Asset Managers . Please go ahead.

Drisha Poddar: What is the capacity utilization currently at the Bangladesh plant, and where do we see it at the end of FY 25?

Neetu Kashiramka: Currently it is at 54% going ahead, it should increase by 10% to 12% for the next quarter and after that, it will depend on the demand so, we have to assess it.

Drisha Poddar: Okay , understood . And wanted to understand a bit of the strategy on the Carlton side. You did mention that, premium is seeing kind of a muted growth, and we have seen that also in the salience of Carlton coming down to 5%. So, what is our strategy here to increase, the salience of Carlton and where do we see this , what is our kind of aim to take it to by the end of say FY25 and FY26?

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Neetu Kashiramka: By FY26 we definitely have a vision to take it to 10% we are working towards it. In fact, next two quarters, lot of the new launches are planned in Carlton. We are also looking at expanding Carlton exclusive store so, what is stress , is actually mid premium, super premium still doing well. Today we do not have many touch points, so we are basically going to increase our touch points in case of Carlton, and have competitive launches around it .

Drisha Poddar: Right. So, how many outlets are we targeting by FY25 and FY26 for Carlton ?

Neetu Kashiramka: By FY25 end we should have 10 and 20 by FY26.

Drisha Poddar: And this will include the airport outlets as well ?

Neetu Kashiramka: Yes.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Mr. Manish Desai from VIP Industries Limited for his closing comments.

Manish Desai: I hope that we could answer to all of the questions you had, if anything remained unanswered we are just a phone call away . I am sure that the strategy on which we are working upon, you can see major upsides when we go and close the year FY25. Thank you all, and have a good week .

Neetu Kashiramka: Thank you.

Moderator: On behalf of VIP Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2024

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28th October , 202 4

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Code No. 507880 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051.
Code – VIPIND

Subject: Transcript of Earnings Conference Call on Un-audited Financial Results
(Standalone and Consolidated) for the quarter and half year ended
30th September , 202 4

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call held on 24th October ,
2024 on the Un-audited Financial Results (Standalone and Consolidated) for the quarter and half
year ended 30th September , 2024. The same is also available on the Company's website
https://vipindustries.co.in/investor/investor_con_call_transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Ashitosh Sheth
Company Secretary & Head – Legal
ACS 25997

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VIP Industries Limited
Q2 & H1 FY25 Earnings Conference Call
24th October , 2024

MANAGEMENT

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR - VIP INDUSTRIES LIMITED

MR. MANISH DESAI - CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q 2 & H1 FY25 Earnings Conference Call of VIP Industries Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing the “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Patil from Adfactors PR Investor Relations team.

Thank you and over to you sir.

Pratik Patil: Thank you, Steve. A very good afternoon to everyone, and welcome to the Q 2 & H1 FY25 Earnings Call of VIP Industries Limited.

From the Senior Management, we have with us Ms. Neetu Kashiramka – Managing Director and Mr. Manish Desai, Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's Conference Call may involve risks and uncertainties.

Thank you and over to you, Ms. Neetu Kashiramka.

Neetu Kashiramka: Good afternoon, everyone. Thanks for joining the call. We just announced our second quarter results yesterday.

Before we get into the revenue and profitability, I would like to give you two, three highlights which are the positives for the quarter and H1. Basically, in past six months we have been able to reduce our inventory by Rs. 174 crore. Our market share has improved so, two quarters ago, our market share between three organized players had reached 36 %, today it stands at 40 % and for this quarter, we are yet to get the numbers, but I am quite confident that even this quarter, we will gain some market share.

Moving on to Quarter 2 P&L performance:

While revenue value growth remains flat. Volume growth stands at 18% for the quarter, and for H1 it is at 14.4%.

Overall revenue growth for the quarter was muted, mainly due to low uptake from the traditional channels, due to aggressive pricing by e-commerce during Big Billion Day and GOAT VIP Industries Limited – 24th October, 2024

sale. If you have to talk about channel wise performance, e-commerce continued to do a good performance at 54% growth. Offline channel, as I said was under pressure. Institution again, showed a 40% plus growth for Quarter 2 and similar for H1 as well. International business mainly suffered due to underperformance of key countries in Asia and GCC so, our major sale actually in the international market is to these two continents, and therefore their growth is under pressure and so for us.

Value segment continued its growth trajectory, which was driven by e-commerce sales. Lower end continues to grow better. However, 50% of the portfolio still is premium and mid premium. Carlton actually showed good growth so premiumization agenda on the back of Carlton is showing a positive response. VIP also grew, Skybag is a brand which did not show a positive growth, mainly on account of the lower mix of backpack. In case of ladies handbag, Kiara collection did well, and now we are going ahead in ladies handbag with GT expansion. Going forward, this will definitely show good growth. Hard luggage again continued to be the fastest growing category contributing to over 60% of the organization overall revenue.

If you look at gross margin, this is where the major pressure was seen. However,

sequentially

it grew by 80 bps, but if you look at year-on-year, there is a dip of 1000 basis point, mainly on account of brand mix and channel mix, also coupled with soft luggage inventory reduction and lower production at Bangladesh. EBITDA got impacted due to lower GC and other expenses was higher mainly account of warehousing cost because of high inventory. I understand that the transformation journey, as we spoke is showing slow visible improvements, in spite of lot of work happening across each area. I am quite confident that result of these initiatives will start to be visible starting Quarter 3 and more so improving our profitability for H2 as promised earlier as well.

If I have to talk about demand indicators, it looks fine with festival around and also upcoming wedding date which also looks to be very strong in Quarter 3 and a part in Quarter 4. We are set forth in our transformation journey, successful results of which will start showcasing in the upcoming quarters. Bangladesh factory is now running full fledge and from Quarter 3 onward, it will also start showing profits. New launches of backpack for the new upcoming season is also on track, and hopefully this will start giving better results to our revenues. Some of the initiatives to also launch some products in VIP and Skybag will start to increase gross margins.

There are multiple initiatives which are happening across each area specifically to improve our gross margins and it will start to see in Quarter 3 onwards.

With this, I conclude my opening remarks and open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

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Tejas Shah: My first question is, as you called out in your opening remarks also, we have clearly made good progress in gaining market share, but it has come at the cost of profitability, even in this quarter on Y-o-Y basis, is the sizable shrinkage. So, how do you plan to manage this balance between kind of gaining market share versus going back to our gross margin profitability?

Neetu Kashiramka: Two things, one we have taken certain calls for selling at a lower price mainly because we were stuck with new stocks. It's not that we want to do this on an ongoing basis. Second, our thrust on VIP brand will start to increase soon so, that is another initiative which we are doing so that our margins can improve. The gross margin difference between Aristocrat and VIP is more than 800 basis points so, slowly, you will see that our focus is more on VIP versus Aristocrat, especially in offline channel.

Tejas Shah: So, ma'am if I have to narrow down the problem statement, there is a certain proportion of slow moving inventory which we are liquidating at slightly lesser margin, and that inventory is largely pertaining to Aristocrat and Alfa, and once that is done away with margin should revert back, is that the right understanding?

Neetu Kashiramka: Yes, you are perfectly right and as I had promised, our gross margin should definitely be around 50%.

Tejas Shah: Okay. So, there is one visible change in our mix is also channel led margin shrinkage which is definitely online and institutional business that are now having higher saliency. So, do you see that fourth quarter where the economics of these channels will change, or their contribution in overall revenue will change or go down hence margins will go back to normal level?

Neetu Kashiramka: It's a mix of both. Quarter 2 generally is a high e-commerce quarter because all these Big Billion Days and GOAT is scheduled here and Quarter 2 is always high on e-commerce. However, H2 will be as a percentage

share of overall saliency e-commerce share will come down in Quarter 3 and Quarter 4 but we are also having initiatives whereby our e-commerce margin has to improve and that's also some work in progress.

Tejas Shah: Okay. And this pressure on pricing, are we the source or are we responding to competitive pressure, because we had some slow moving inventory hence we are cutting prices, that is dragging down margin for the industry or we are responding to some competitive pressure?

Neetu Kashiramka: We are doing this for our soft luggage liquidation. However, in the other area which is hard luggage also there is a pricing pressure which is we are reacting to multiple things, it's not only one thing, but see there are a lot of D2C players which are coming into the market, and starting to sell, now all these players have enough money to burn, which we don't have, so that's where we are little bit playing on the pricing.

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Manish Desai: Just to add what MD said, where the competition becomes intense, price is the one point which plays a larger role in minds of the consumers, and it impacts the most to the organized and the incumbent players so, this is the outcome of that what we are seeing, but I am sure that over a period of time the industry or the players may see a consolidation and things come to a level playing field among the remaining players in the industry.

Neetu Kashiramka: Also as I told you, we want to focus more on VIP, even if I have to reduce a little bit price on VIP, that is better because my realization will be higher and profitability will be higher.

Tejas Shah: No, ma'am my question was largely around that with +40% market share the pricing discipline should come from us, and the D2C players which you called out, I still think that there will be less than 5% market share overall. So, to respond, and then most of those players are actually very at different price point, perhaps competing with Carlton and likes on the price point. So, I was just wondering that, in fact just to be we also picked up from media news that one of the competitors also kind of indicated that the market leader is kind of very aggressive on pricing, and that is shrinking the profit pool. So, I was just trying to understand that once we are done with this whole pressure on slow moving inventory, should we think that should we build a very normal margin expansion for us in the industry at large?

Neetu Kashiramka: Yes, you are right, that is what we will be doing.

Tejas Shah: Okay. And one last one you also called out inventory holding cost for last four, five quarters act as a drag on overheads. So, we have done a phenomenal job on reducing inventory in last three, four quarters. So, have we reached to a stage of inventory where the holding cost will go back to the normal level, or we are still at a higher end?

Neetu Kashiramka: One more quarter to get to the normal level.

Tejas Shah: Ok. That's all from my side Ma'am. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from P L Capital . Please go ahead.
Jinesh Joshi: Madam, I have a question on our channel mix. So , if I look at E-com with a 45% share, we have done really well in this quarter, but if I look at our share of GT and MT at about 11 % and 18% it is at a five year low, and you mentioned in your opening commentary that aggressive pricing in online is impacting our offline trade. So, just wanted to understand the thought process behind this move, because essentially this has created a channel conflicted team. So, what is the thought process behind such kind of aggressive pricing in the online channel, and how do you plan to resolve this?

Neetu Kashiramka: One, aggressive pricing on the E-commerce channel

is not done by us, it is done by the portal s.

Two, three things we are doing we are going to give additional warranty for offline players .

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Secondly, we are also looking at having a pricing guardrail especially for VIP brands on online portal otherwise we don't sell to the online portals the VIP product. These are two big initiatives which we have taken to reduce this channel conflict . And so the share is actually reduced, because last 15 days, they almost did not buy because of this and then we met everybody, we have sent letters, and we have made these two changes with which they started buying from the first week of October.

Jinesh Joshi: But madam if the portal is governing the price, and if it is discounting heavily, then obviously your brand equity takes a big hit. So, what are our thoughts on that and do we have some plan in place that from 3Q onwards this will not .

Neetu Kashiramka: It will be a pricing guard rail for VIP and Skybag , which is our premium brand. They cannot sell below a particular MOP , a similar thing which had happened some three, four years back in the mobile industry , that's where we are heading towards, and we are already in talks with them to give this to us in writing before they sell going forward.

Manish Desai: And furthermore, to add , Quarter 2 as earlier said, it's an e-com led quarter that's why you are seeing the higher share of business. If I look into the Y TD H1, it is hovering around 30 % to 35 % in line as per the industry present revenue in e-commerce portals . We would like to maintain those kind of revenue share, and our objective is to have all channels working in our favor , not growing at the cost of the others.

Jinesh Joshi: Got that . One last question from my side. So, if I look at our inventory liquidation in this quarter it was at about Rs. 40 crore , and this is lower than what it was in the previous quarter. Now, given the pileup that we have, especially on the soft luggage side can you quantify what is the current slow moving SL inventory on the balance sheet, and by when can we expect full liquidation to happen?

Manish Desai: The entire liquidation as said, we need one more quarter to look into it. In terms of the overall inventory Rs. 50 crore were reduced in this Quarter 2 especially . Largely we have to manufacture some of the items because of the E-com specific SKUs . Otherwise, my liquidation would have been much on a higher side.

Jinesh Joshi: But can you quantify what is the slow moving SL quantum currently that we have ?

Manish Desai: SL quantum in terms of , volume wise we are getting around almost five lakh units of the soft luggage upright, and if I take the backpack and duffle also to some part of it, maybe around put together, all units will come around seven to eight lakh units together.

Jinesh Joshi: Sir, I want the value number, sorry because if I remember right, that quantum was Rs. 300 crore sometime back and in the last quarter we did a liquidation of about Rs. 80 crore . So, what is the current quantum?

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Manish Desai: Current quantum would be somewhere in the range of Rs. 180 odd crore . I will reconfirm to you once we progress in the call, just give me a minute .

Jinesh Joshi: Sure. And in that context, especially our debt levels which is at about Rs. 500 crore , given we have about Rs. 180 crore which is yet to be liquidated and this would mean that the working capital requirements will be high. Will we still be able to reduce the debt by about Rs. 250 crore that we had stated in our earlier call ?

Manish Desai: If you recall earlier conversation we plan for a Rs. 100 odd crore of reduction , and out of

that we already done Rs. 35 crore so we are on the track, and hopefully we will meet our targets , we hopefully to go exceed about the Rs. 100 crore, but 100 crore is given what we are targeting right now, and we will adhere it to .

Jinesh Joshi: Okay. So, should we be at about Rs. 400 crore in terms of debt by end of FY25?

Manish Desai: Yes, if I net-off the investments what you see in the balance sheet, it will again further give me enough cushion for me to play around on this , I will come back to you on the numbers in two minutes .

Jinesh Joshi: Yes, that Rs. 180 crore , if you can clarify whenever. Thank you.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Just two questions, in the beginning you mentioned that 18% volume growth in Q2, can you quantify the number of pieces we have sold. And specific question here is that, if I look at the contribution from the e-commerce is 45% at this time. So, what is the volume contribution from e-commerce and modern trade?

Neetu Kashiramka: Overall sale volume is 44 lakhs.

Manish Desai: It's a 4.4 million units on the overall volume for the Quarter 2, registering a growth of around 18% and if I want to go on, because average selling price between MT and e-com largely remains the same so, it goes as per the revenue growth, or the revenue mix we have in terms of the volume as well.

Shirish Pardeshi: So, you are saying similar numbers for volume also?

Manish Desai: Slightly, I said because my MT didn't do so well, it has slightly a de-growth, whereas e-com has given a growth of 45%.

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Shirish Pardeshi: Okay. The second question on the overall momentum, as Neetu you mentioned that second half the saliency for e-commerce will be lower, but then in that respect, how the second half volume growth and revenue growth looks like for you?

Neetu Kashiramka: Basically today if you see our volume growth is 18% versus a value growth of zero. In case of second half, I am confident that our volume growth and value growth difference should not be 18% but it should be between 8% to 10%.

Shirish Pardeshi: And if that is true or if it happens, what kind of gross margin you already mentioned that you will maintain it?

Neetu Kashiramka: I mentioned that Quarter 4 gross margin should be 50%.

Shirish Pardeshi: No, I am coming on the operating margin, because right now when we look at the margins are collapsed, I am sorry using this word, but then you know what are the things at the back end you are doing. So, at least, if you believe that 50% mark you have achieved in terms of revolutionizing the entire the front end and the back end, what kind of operating margin we should build in in second half?

Manish Desai: So, are you talking about the gross margin or EBITDA margin?

Shirish Pardeshi: No, gross margin Neetu already clarified 50%, but I am talking about EBITDA margin.

Manish Desai: Right.

Neetu Kashiramka: EBITDA margin of 12% for the Quarter 4.

Shirish Pardeshi: Second half, I said Neetu.

Manish Desai: As we speak it's a journey in progress so probably from the 0% of EBITDA margin we will move around 3%, to 4% near Quarter 3, and you find a significant jump getting into the Quarter 4, because by then my most of the initiatives will start giving the results out of it.

Shirish Pardeshi: So, therefore the follow up here is that, what are the drivers, what are the top two, three things which will help you to achieve this number?

Neetu Kashiramka: One improvement in realization, which will in turn also add to the gross margin so, gross margin improvement of 5% which we spoke about. Then every line item in the cost we have already worked upon, and

and everything to come into the P & L takes three to four months so, that is where it is. So, warehousing, people, then what is the other big one, rentals.

Manish Desai: Fixed overheads and the other direct cost.

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Neetu Kashiramka: Each and every line actually.

Shirish Pardeshi: Okay. The last question from my side on the depreciation and interest cost. What number we should be factoring because even this quarter we have seen a depreciation has increased almost 24% and a similar number double digit growth in the interest cost. So, you know the numbers well, you are saying that Rs. 100 crore reduction which will happen in debt. But what is the interest cost we should build in for the full year and depreciation cost?

Manish Desai: Interest cost comprises of two factors. One thing is my fund based borrowing which I am doing from bank and other thing includes, some of my structured way of financing I am doing on vendors, as well as from the customer side. On a bank borrowing side, definitely you will find a good amount of reduction happening and in terms of the structured finance, it almost remains the same. We can assume the same level of interest going as in Quarter 3, in Quarter 4, you may find a reduction of almost 10% to 12% than what you are seeing today in the overall value.

Shirish Pardeshi: And in terms of depreciation?

Manish Desai: Depreciation should remain as because we are expanding on our stores, but I am sure we are taking certain calls based on the same sales store growth of the existing CRM so, you should find same number, hardly living aside Rs. 5 to 6 crore, maybe exit March for that matter, the exit Quarter 4 on a higher side.

Shirish Pardeshi: So, just to confirm what you have said, that if that is the number which you are building, so we will be able to maintain the profitability what we delivered in FY24 or we will still book some loss at the quarter?

Manish Desai: FY24 when I was saying EBITDA improvement of 12% on turnover. I should be able to deliver net result also on a positive one. Since you asked for the growth, sorry I missed out on that question, I wrongly interpreted so, on a volume side, the MT actually has seen a de-growth of 8% on volume and e-commerce on a volume front has shown a growth of 73% for the Quarter 2.

Shirish Pardeshi: Okay. Thank you.

Manish Desai: And Jinesh, on the inventory side, the question which you asked to me. We have moved around what we had in terms of soft upright inventory of Rs. 130 odd crore and we are at less than Rs. 100 crore in September.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Ma'am, I have a very simple question. You did indicate the concern around competitive intensity and by design we are looking to liquidate the inventory, specifically on the soft luggage side, if
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one had to take a 12-to-18-months tenure, what is the thought process on balancing growth and profitable growth. How do you approach it from an incremental ROCE standpoint, broader thoughts would be greatly appreciated ma'am.

Neetu Kashiramka: See this year, all this cleanup of inventory is a must because I can't hold it because my warehouse cost keep bloating if I keep this inventory, also if I keep this for a long there are chances of having to take some write offs, and therefore this was inevitable for me to take these calls at this point of time. However, for the next year, we don't want to compromise on profitability at the cost of gaining market share that's very clear for us, but yes one or two more quarters where I get to a reasonable

inventory levels. Today also inventory level is Rs. 700

crore, once I reach Rs. 500 crore of inventory, that is where I will start focusing more on profits, then market share gains.

Ritesh Shah: Ma'am just to press a little bit over here, you indicated profitability is something which we would not compromise, but market share could be a challenge because D2C guys they operate in a different way. So, how are we looking to balance the portfolio be it from a channel standpoint, or from a mix standpoint to ensure that we have profitability and the market share actually, we can actually jump on that particular variable as well?

Neetu Kashiramka: When I am talking about market share, there is no body who is tracking the market share for this industry today and the way we look at it is, three company's market share which is a three organized players who are listed, and the data is available in the public domain, so basically market share increase between these three players is what we have been talking about.

Secondly, we definitely are looking at increasing our premium portfolio which is today around 54%, my aim will be to reach 60% over next three to four quarters, and that is where the profits will have a meaningful swing, because it's a 800 to 1,000 basis point gap between a gross margin for Aristocrat versus VIP or Skybag or Carlton, so, that is going to be the strategy going forward. Once I am done away with this heavy inventory, which is may be a quarter or two.

Ritesh Shah: Ma'am you said it will take a quarter or two for this?

Neetu Kashiramka: Yes, maximum two quarters we are trying to do best in the Quarter 3, whatever best we can do in Quarter 3.

Ritesh Shah: Sure. And last question, ma'am if you can just refresh us on how BCG is actually helping us right now, and are all those initiatives already in play or how are you thinking of probably their recommendations or is it like we are on the same track, how should we look at that?

Neetu Kashiramka: BCG project is a 15 months project, it is divided into five waves, three months wave each, two waves are over, we are in the third wave. Whatever work we have done in the first two wave, the result will start from October and then additional third wave, fourth wave, fifth wave.

Over all, it's a Rs. 250 crore benefit to the bottom line project and we are on track, this is the
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projection but as I said, whatever we do in today will take three months to come into the P & L.

Now the wave one and wave two benefits will start to come in October, and then wave three, we will work now which the impact will come in Quarter 4, and whatever we do in Quarter 4, the benefit will come in quarter one. There the project will get over also.

Ritesh Shah: Correct. Ma'am possible to share what were the tangible that one can actually look out in the marketplace as benefits of wave one and two?

Neetu Kashiramka: This project is basically a cost takeout, so, improving the realization, reducing the cost and each and every line item basically warehousing, logistics, improvement in the fill rate, people cost.

We are also mapping the ORG structure because if you look at our employee cost versus the employee cost of any other industry, similar industry we are off so, that's another big thing, and the actions have already happened in September, so the result of that will start to be visible

in December, January because everything has a notice period, and by the time we execute it takes two to three months.

Ritesh Shah: Perfect. Ma'am can I squeeze in one more question?

Neetu Kashiramka: Yes, but Rs. 40 to Rs. 50 crore so I know what you want to know. So, Rs. 40 to Rs. 50 crore of the initiatives will come into P & L this year, and more of it in Quarter 4.

er 4.

Manish Desai: I can talk about two visible things what you asked about it see our sequential gross margin from June '24 to September '24 we differ about 80 basis points, it's a start to have it. Second thing is, our employee cost almost remain at the level of June '24 so that's another visible I would say about it. Third thing, as I said by MD, it will follow the progressive way what will factor into our project execution.

Neetu Kashiramka: So, next quarter onwards you will see in each line item the benefits.

Ritesh Shah: That's useful. And ma'am, just last question anything if you would wish to highlight on the effectiveness of A & P spends, where that number would be for the full year versus last year.

And specifically, anything specific that we are doing to improve the effectiveness of the spends?

Neetu Kashiramka: The large part of these spends is actually going into e-commerce which is not something which is great but yes that's how that is happening across the industry, and we are definitely wanting to improve the effectiveness by spending more on ATL rather than BTL but today, lot is happening on BTL but that we will be able to do only in the next year. There is enough on our plate for this year.

Moderator: Thank you. The next question is from the line of Surya Narayan from Sunidhi Securities. Please go ahead.

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Surya Narayan: So, some of the questions have been answered. So, my question is around the gross margin level. So, we are, let's say last three years average around 51% and you are down at around 45% so here the question is that, you have been time and again you are telling one thing is that you want to play more on the VIP side and less on the Aristocrat side. But the Aristocrat has been a very essential element of VIP. So, how can we sever the growth of Aristocrat, because that is a mass brand. So, if you can give some color as to how the things will be moving more towards the VIP or Carlton premium side, rather than Aristocrat side. So, that realizations will improve, and so is the gross margins.

Neetu Kashiramka: We are not saying that we will restrict the growth of Aristocrat we are saying that we will grow more VIP and Skybag so, that is where it will happen. Aristocrat growth will happen, but today VIP and Skybag is not growing as much as it should grow, that is where we will do more work. I can give you an example, today if VIP so, lot of almost 30% -35% of the sale now is happening in three piece set in Aristocrat and now we are planning that in VIP, I am selling a three piece set at Rs.7000, and VIP today is Rs.12,000. I might look at selling a VIP three-piece set at Rs.10,000. Therefore, I will increase my realization from Rs.7000 to Rs.10,000 and that is what the focus will be, and that's how I can get more margins. I just give you one example. I cannot discuss too much on my strategy here, but similar to these, we are looking at doing certain initiatives whereby I can improve my realization.

Surya Narayan: But still some sort of cannibalization impact would be there on a longer term basis, do you agree?

Neetu Kashiramka: Which is fine and beneficial for the organization so, if I am able to extract Rs. 3000 more from the same customer, why not.

Surya Narayan: Okay. And second thing is that, your payables have reduced so, I am expecting that maybe you could be getting one of the bargains from your supply chains and people so what is the scenario going forward, whether such kind of payables, reduction in the payable will be continuing, so that we will be getting more discounts, and that will be on the raw material side. So, will that be including the gross margins?

Neetu Kashiramka: Basically if you see during March we were very high on debt and inven-

tory, and we did not pay

our creditors on time. However, we have started paying them on time now, so it will be in the same range if you have to calculate by number of days.

Surya Narayan: Okay you earlier said that around Rs. 200 crore, now you are reducing the figures to Rs. 100 crore of reduction in the total debt for this year?

Neetu Kashiramka: Rs. 100 crore for sure, we can do better.

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Manish Desai: Rs. 580 crore we had a debt as on March '24. What we said is Rs. 100 crore given by reduction in by March '25 a minimum reduction what we aim for in the overall debt.

Surya Narayan: And regarding the Bangladesh claim, it has come very little so when can we expect major claims, so are you just if we can indicate which quarter one of the insurance companies have

given an indications.

Neetu Kashiramka: They have not given any indication. We have been following up, and we are getting small, small amount Quarter 3 also we are expecting Rs. 5 crore further. We know the political scenario of Bangladesh, so I don't want to say that give me everything at once. I may not get this also so today.

Surya Narayan: In the Ghaziabad case, we had to suffer a loss of around Rs. 7.5 crore, because of the political uncertainty in the Bangladesh, so are we fearing such kind of losses in a bigger way in case of Bangladesh?

Neetu Kashiramka: I don't foresee, we have been in talks with the insurance company almost every two weeks, somebody from my office is visiting. It's a big focus area for us, and that is why we are getting at least those small, small amounts.

Manish Desai: You have to appreciate that despite this kind of unrest situation, we could give the Rs. 5 crore in another Rs. 5 crore, what we discussed is in the pipeline. And hopefully the entire claim should settle in the next maybe eight to twelve months down the line.

Surya Narayan: And now that you are saying that the Bangladesh operation is fully there. So, whether the manpower growth will be increasing because the reports were saying that wage hike was there.

So, is there any chance of rise in our wage cost?

Neetu Kashiramka: No, so we have reduced our capacities already there. In fact, we want, at this point of time, a little bit reduction only. It won't increase from where it is today.

Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: So, what I was asking was, on the gross margin side, I believe that the gross margin guidance we were giving for FY 26 was 55% so this would be more exit FY 26?

Manish Desai: We said Quarter 4 you will find such kind of improvement.

Neetu Kashiramka: He is talking of FY26.

Manish Desai: FY26, yes full year quite possible.

Jigar Jani: Full year FY26 we should be able to do 55%.

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Manish Desai: Yes.

Jigar Jani: Yes. And sir, if you could just give me some color on this Rs. 190 crore of other expenses, what is the split of this broad numbers of this Rs. 190 crore of other expenses in the quarter and what number will we expect in Q4 because I believe Q3 still, it will remain elevated at similar levels because of the inventory that we are carrying. But Q4 given that we have that initiative with BCG also running in and we will see some benefits floating in. So, what could these numbers.

Neetu Kashiramka: It's given in the Analyst Presentation.

Manish Desai: We did give some kind of breakup in the presentation what we have uploaded, if anything remained unanswered over there we can have a separate call on this matter.

Jigar Jani: Sure. And what would be our guidance for this, how do we see

these numbers panning out in Q3 and Q4?

Manish Desai: As I have said, we have target to reach EBITDA of 12% so every cost structure has to undergo revisiting and optimizing it. We will not give you head by head what we have in mind, but keeping trust on that of 12% EBITDA what we are driving for.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Manish Desai from VIP Industries Limited for their closing comments.

Manish Desai: Thanks everyone for participating in this call. I am sure that some of the answers, or some of the questions would have remained unanswered. We are just a phone call away, leaving aside the next three hours because we have certain work to do it. I am happy to answer each one of your call and I am thankful of your continuous support to the company, and we are hopeful of doing in-line with our projections and expectations, what we have in our mind. Thank you very much and have a great day to all of you.

Moderator: On behalf of VIP Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Feb 2025

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3rd February , 2025

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Code No. 507880 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051.
Code – VIPIND

Dear Sir/Madam,

Subject: Transcript of Earnings Conference Call on Un-audited Financial Results
(Standalone and Consolidated) for the Quarter and Nine Months ended
31st December , 202 4

In terms of Regulation 30 of the SEBI (Listing Obligatio ns and Disclosure Requirements) Regulations, 2015 , please find enclose d herewith transcript of the Earnings Conference Call held on Wednesday, January 29, 2025 on the Un-audited Financial Results (Standalone and Consolidated) for the Quarter and Nine Months ended 31st December , 2024. The same is also ava ilable on the Company's website https://vipindustries.co.in/investor/investor_con_call_transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Ashitosh Sheth
Company Secretary & Head – Legal
ACS 25997

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VIP Industries Limited
Q3 & 9M-FY25 Earnings Conference Call
29th January, 2025

MANAGEMENT

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR - VIP INDUSTRIES LIMITED

MR. MANISH DESAI - CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

VIP Industries Limited – 29th January, 2025

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Moderator: Ladies and gentlemen, good afternoon and welcome to the Q 3 & 9M FY25 Earnings Conference Call of VIP Industries Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing the “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Patil from Adfactors PR Investor Relations team. Thank you and over to you.

Pratik Patil: Thank you Yashashri . A very good afternoon to everyone. From the Senior Management , we have with us Ms. Neetu Kashiramka – Managing Director and Mr. Manish Desai – Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -lookin g in nature, including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's Conference Call may involve risks and uncertainties. Thank you and over to you, Ms. Neetu Kashiramka.

Neetu Kashiramka: Good afternoon, everyone. Thanks for joining the call. We announced o ur 3rd Quarter results for FY 25 yesterday .

Before we move on to the quarter revenue and profitability performance, I would like to give some broad highlights for the period , we have been able to reduce inventory in last nine months by Rs. 224 crore , volume by 64 lakhs reduced to 47 lakhs , debt reduction of Rs. 86 crore . Further, as promised we are at 6% EBITDA versus nil last quarter. Another positive in this quarter was a favorable judgment received from tribunal on CST demand of Rs. 357.56 crore . Bangladesh turned positive for the quarter as promised. We have also finished overall off structure across the organization, the fruits of which will be visible in the coming quarters. New Carlton store with renewed identity opened at Colaba. We have planned to open 25 such stores in next s ix months. Market share gain of 2% in last one year .

Moving on to the revenue performance :

Volume growth of 13% yes, definitely value has regrown largely on account of netting off of e -commerce price support , lower secondary's and reduce ASPs amidst intens e competition and liquidation of SL inventory . If I have to talk on channel wise , e-commerce continued its growth trajectory. However, it was slightly lower pace as compared to H1. Within offline, modern trade was relatively better given the expansion of doors and better product assortment . Institutional sales were better given the festive demand and opening of new B 2B accounts . Institutional
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sales has been growing consistently for us, and the saliency has improved. International Business suffered due to the underperformance of key countries like Asia and GCC.

Talking about brand :

Value segment continues its growth story largely driven by e -commerce . While the lower -end offering growth our premium share of business continued to hold +50% revenue. Focus on Carlton has resulted in increasing its salience in the overall revenue . More in the pipeline given the new launches planned in the near future, along with more store s, exclusive stores coming up. VIP also continued to hold share on back of successful new l aunches and price calibration with online and offline. Kiara collection continued its stellar performance during Q3. Expansion of the category in GT helped us to regi

ster higher single digit growth for quarter three for

Caprese . Hard luggage continue s to be the fastest growing category, having share of 63% in the overall performance .

Moving on profitability :

The gross margin improved by 150 bps, giving confidence on various initiatives which are underway , further cementing on this front . Focus on cost rationalization and better absorption of fixed overhead, coupled with gross margin improvement, resulted in sequential improvement of 600 bps in EBITDA, the complete benefit of all the initiatives will be visible only in subsequent quarters to come. The overall loss has further contained sequentially on reduced

turnover .

Future outlook :

Industry is seeing tailwinds on the back of number of wedding days, religious travel, hotel occupancy month-on-month increase in the passenger travel numbers. We are on track for our transformation journey. The early signals are already visible in quarter three results and more of the same will be visible in quarter four . As promised earlier, for a 12% EBITDA for exit quarter, I am quite confident that we will deliver this promise.

New launches across all product categories are on track and hopeful of some handsome contribution in the overall revenue during the upcoming season. Bangladesh operations are running without any disruption, and capacity utilization is likely to exceed in the coming quarters, and it will start contributing positively to the overall results.

With this , I would like to conclude my opening remarks and open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and “1” on the touchstone telephone. If you wish to withdraw
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yourself from the question queue, you may press “*” and “2”. Participants are requested to use handsets while asking a question . In order to ensure that management is able to answer queries from all participants, kindly restrict to two questions at a time. You may join back the queue for follow up questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take our first question from the line of Ritesh Gandhi from Discovery Capital. Please go ahead.

Ritesh Gandhi: Hello, Could you just talk a little bit about how much of your excess inventory you have been able to liquidate in Q3 and how much is still balance , and overall how much your debt levels are right now ?

Neetu Kashiramka: We have reduced our inventory overall by Rs. 224 crore . If I have to talk about the slow moving, it is in the range of around Rs. 80 to Rs. 100 crore now and hopefully this should be meaningfully reduced in quarter four. Debt we have reduced by Rs. 87 crore .

Ritesh Gandhi: I think initially what you had guided towards in Q2 and at some of the conferences was that , there was going to be a higher amount of liquidation of the slow moving inventory and a higher reduction in your debt levels in Q3. So just wanted to understand the reason we have been slightly slow?

Neetu Kashiramka: We had indicated Rs. 100 crore reduction in debt by March, we are at Rs. 87 crore by quarter three . Liquidation of inventory , yes we had indicated that it will be in the range of Rs. 500 to Rs. 550 crore by end of the quarter , we are still striving to reach there.

Ritesh Gandhi: With regards to your EBITDA margin, do we expect from Q4 onwards, for it to inch towards the double digit EBITDA margin as well?

Neetu Kashiramka: Yes. That was a part of my commentary also, that we had promised 12% and we are there to deliver that for quarter four.

Ritesh Gandhi: Got it, all right thank you. That's all for me for now. Thank you.

Neetu Kashiramka: Okay, thank you.

Moderator: Thank you

u. We will take our next question from the line of Jinesh Joshi from Prabhudas Lilladher . Please go ahead .

Jinesh Joshi: If look at our other expense, it has come off meaningfully to about Rs. 150 crore in this quarter so, Is it primarily due to reduction in the warehousing and freight cost given the progress made on inventory liquidation and the fact that you have mentioned that about Rs. 80 to Rs. 100 crore of slow moving inventory is yet to be liquidated. What should be the new normal as far as your other expense cost is concerned ?

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Manish Desai: Your understanding is right, the larger reduction of the overall part of mine inventory associated cost, including warehouse as well as the secondary freights, what we used to incur between the two storage locations. Going forward , in the quarter four , further inventory liquidation will help us to reduce such kind of cost for you to keep in mind , that we will be preparing ourselves for the quarter one which is Shubh Muhurat in our offline channel. We may have to probably the level of warehouse and the cost may remain same. However, the composition of the inventory, in terms of the slow moving will substantially get reduced and will be having a larger share of the inventory catering to the new product launches for the upcoming season.

Jinesh Joshi: Sure, is it possible to call out what is your excess warehousing cost in order to house the Rs. 80 to Rs. 100 crore of slow moving inventory that you still have with you?

Manish Desai: I would not like to do too much quantification, but if we, give a flavor of it, we could reduce

around a five lakh square feet space in the last four months time frame, and hopeful to go further down, by another one to two lakhs minimum keeping in mind that we may require some of the space for inventory buildup which will take it for the quarter four, for Q1FY26 preparation.

Jinesh Joshi: Sure. My second question is on our Bangladesh operations, apparently after three to four quarters, I think we were profitable in that region. So can you highlight what would the capacity utilization in this quarter. And given the fact that now industry is moving towards a hard luggage, and we predominantly manufacture soft luggage over there, so do you foresee material improvement in the utilization to come through and in that context, if you can also highlight what is your annual fixed cost of running the Bangladesh operation?

Neetu Kashiramka: For the quarter three our utilization was at 60%, it is profitable because we have done quite a lot of work in reducing the overall cost there, including manpower, because manpower is the largest cost. As indicated earlier also, last year same time we had 8,500 people there, today we have 3,500. With more capacity utilization, because till now we haven't started producing upright. However, from January we are starting to produce soft language uprights in Bangladesh. With that, our utilization will be in the range of 85% and therefore it will have a meaningful profit. But way the cost structure is, at 50% utilization we will break even.

Jinesh Joshi: One last bookkeeping question from my side. I think the inventory reduction number is Rs. 224 crore over the nine month period. But if I look at one of your slides on the balance sheet in the PPT, the inventory for December 2023 is at about Rs. 829 crore versus the March number of Rs. 916 crore. So if you can just highlight the difference part over here?

Manish Desai: When we are talking about reduction of Rs. 224 crore, we are talking from the March 2024 level, which is at the peak Rs. 916 crore. Yes, the December inventory was on a lower side. Our
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expectation is to go back to those levels in the near one or two quarters, once we are through with the slow moving SLU upright inventory.

Moderator: Thank you. We will take our next question from the line of Bharghav from Ambit Asset Management. Please go ahead.

Bharghav: Congratulations on the return back to profitability in Q3. So my first question is on gross margin. So if we look at Q1, Q2, Q3, consistently we have seen gross margin improvement, but this is on the back of significant pricing pressure. So how are we sort of managing this, is it that the share of Bangladesh is rising and that is what is helping us to improve gross margin despite such pricing pressure?

Manish Desai: I would say that quarter one, quarter two, we know that Bangladesh was having a negative results, quarter three has just a break even in terms of it, and contribution has come positively from the Bangladesh side, so one aspect on a Bangladesh turnaround and second thing is, as you recollect, we were working on various cost initiatives, as well as benchmarking of our product with the competition, that helped us to calibrate our price in a more meaningful manner, contributing to the overall gross margin increment.

Neetu Kashiramka: There are some more actions which we are doing on the product as well.

Bharghav: When we are guiding for the 12% exit margin in fourth quarter, is it primarily led by gross margin improvement, or you think there is scope for further savings in the OPEX as well?

Neetu Kashiramka: Yes. 3% on account of gross margin balance on account of operating leverage.

Bharghav: If you look at your other expenditure, the run rate has reduced significantly Q-on-Q, Rs. 190 to Rs. 150 odd crore, so on a sustainable basis assuming that we grew at about 15%, 20% maybe next year. What can be the run rate we can look at in other expenses on a quarterly basis?

Neetu Kashiramka: Other than freight everything else is fixed, right Manish?

Manish Desai: Yes. We have to keep in mind that as we move forward, probably expenditure on our brand advertisement will slightly go up from where we are currently. I would say that rather look into the level at which fixed overheads operates, we need to see how quickly or in a meaningful way absorb expenditure in order to contain the overall percentage of overheads to turn.

Bharghav: Is it possible to highlight what has been the operating cash flow and pre cash flow in nine months?

Manish Desai: If I look from the operating cash flow perspective, it is around Rs. 200 odd crore we generated in the period of nine months, and the utilization of that is towards our prepayment of the debt
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to the tune of Rs. 86 to Rs. 87 crore, interest and some moderate CAPEX we incur of Rs. 32 to Rs. 35 crore. Remaining is in the cash to cash equivalent.

Bharghav: Perfect, great. Thank you very much, and all the very best.

Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes, hi ma'am. Thanks for the opportunity. Ma'am first question is, can you quantify what is

the absolute quantum of inventory that we are holding right now , December end?

Neetu Kashiramka: Rs. 692 crore .

Ritesh Shah: Ma'am, what will be our target say by March end and June end?

Manish Desai: Our inventory level is slightly on a higher side given our Q1 season . We are hopeful to remain within another Rs. 700 to Rs. 720 odd crore by 31st March 2025 , but by June 2025 we should go back to a normalcy of Rs. 500 to Rs. 550 crore .

Ritesh Shah: Okay, that's helpful. Sir my second question is, just if you could give us some flavor on we have appointed BCG. Basically, they are working on multiple variables including revenue

optimization, reduction in cost and optimization of supply chains. If you could highlight from a top down standpoint what is it strategically that we are looking to achieve and if there is any possible quantification over there , that would be quite useful ma'am.

Neetu Kashiramka: Basically we are looking across all areas, how can we reduce costs and improve our margins . The project is to add Rs. 250 crore to the bottom line in a nutshell . We are 50% through , and it's working around , so basically, increase gross margin, reduce cost, supply chain, secondary freight across all areas.

Ritesh Shah: Ma'am specific to supply chain are we looking to try a different model, Hub and Spoke outsourcing .

Neetu Kashiramka: Not looking at a different model, but maybe optimize our network where and how we should have and secondly, also working on a fill rate, because that is something which was a problem.

Also, if you see our freight percentage as a revenue was higher than the peers , so these are the three things particularly in supply chain .

Manish Desai: More meaningfully inventory level comes down to normalcy, probably some kind of leverage will certainly start flowing in.

Ritesh Shah: I think you had indicated on revenue optimization as well. Is there any internal benchmark that we are at versus where the competition would be and we look to reach there any, any numbers?

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Neetu Kashiramka: As we said, definitely in last one year we have gained 2% market share, but we are still below the industry growth , that is something where we want to do better than industry, and that is the only part where the market share can go up. Today, we are at 38% market share. The idea is to have stable market share at 40% and then maybe 1% or 2% increase from there.

Ritesh Shah: Any other operational parameters ma'am, be it fill rate or sales velocity or store economics that you would like to highlight or call out for ?

Neetu Kashiramka: Each and everything, is what we are working on currently . For example, in E-commerce we are working on how we can increase our share on marketplace. In case of retail, we are working on how we can increase same store growth , so like that we are working on each channel . We are also working on better assortment , like for example in CSD we are listing other products which are newly launched. Each channel we are having areas of improvement. In case of institution we are adding more customers, so more corporates into the fold.

Ritesh Shah: Sure , that's helpful. I will join back the queue. Thank you so much.

Moderator: Thank you. We will take our next question from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

Naveen Baid: Thank you for the opportunity. So ma'am, I have a question on volume growth and price growth, realization growth for next year. So this year we have seen almost 15 %, 16% volume growth, but almost entire amount has been taken away by either realization change or change in mix. Can you throw some color on what the volume growth could look like for the next year and are we, you know at the bottom end of the pricing decline?

Neetu Kashiramka: I think yes, we are at the bottom end of pricing decline . Next year we believe that whatever is the volume growth will be the value growth, because there are lot of initiatives which we are working on to make sure that our realizations improve . One thing on realizations is also because of the liquidation, which is currently post quarter four, I think that quantum will definitely come down, which will help us to increase our realizations.

Naveen Baid: You have guided for double digit volume growth over the next year. So you know, can you just throw some more color as to you know whether it ?

Neetu Kashiramka:

I would say may be industry growth, and industry is expected to grow 8% to 10% , so that is the kind of growth you can consider at this point of time.

Naveen Baid: Okay, that's helpful. Thank you.

Moderator: Thank you. Next question is from the line of Tejas Shah from Aventus Park Institutional Equities . Please go ahead.

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Tejas Shah: Hi, thanks for the opportunity. First question pertains to ma'am, your guidance or your comments opening remarks that weighted average margins at gross largely dragged down by the SL up rights liquidation. So, I was just looking at saliency of upright is just 13% left now, which was 23% last year so commendable job there. But was just finding that 87%, the balance 87% saliency is it operating at north of 50% and this is like very US is kind of liquidation hence it must be at a very, very low level, or the gross margin delta is not marginally different from what average is today, which is 46.5% and hence the 300 basis point guidance that you have set for the next quarter improvement will be largely driven by this 13% going to zero, and that itself will improve our number?

Neetu Kashiramka: 13% will not go to zero, there is always some natural demand. However, today what we are doing is, let's assume we are maybe operating at a 15% to 20% of gross margin versus a company average of 47%, now that share when the liquidation piece comes down that gets into the delta, the second piece is, as I said, we are working on improving the realizations across the brand, so brand mix also, we want to sell more on the VIP and Skybag last time also I touched upon this, that in the opening price point set pricing today we are focusing more on Aristocrat going forward, we want to focus more on Skybag and VIP which will give us additional revenue, let's assume today, Aristocrat set is sold at a Rs.7,000. Instead, I will sell a set of Rs.10,000 more, which is VIP and Skybag that will help me to improve my margins also increase the realizations.

Tejas Shah: Ma'am your guidance on double digit margin by fourth quarter. So, how should we think about margins now sustainably going ahead in FY 26 and beyond?

Neetu Kashiramka: FY26, I always said that we should be able to do 15%, by spending more on the brand because whatever initiatives we are doing today, if you see brand visibility is low, most of the spend what we are doing today is on the performance marketing in e-commerce. I think next year we want to spend 2%, 3% more on the brand otherwise, we can do 18% but I want to spend more on the brand, therefore 15% is what I want to do for the next year, with more spend on the brand.

Tejas Shah: This 10% to 15% gap will be bridged by gross largely or operating leverage?

Neetu Kashiramka: Today if you see lot of these initiatives, one is gross margin, the second piece is today, whatever initiatives we have done, it's not fully kicked in, for example, I spoke about org restructuring now that benefit will start from January, 2025 and in the next year it will be a full year impact.

Tejas Shah: Okay. And org restructuring.

Neetu Kashiramka: Every line item it is like for example now warehousing cost, so as in the earlier question Manish said that our inventory going forward from June onward it will be in the range of Rs. 550 crore.

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Today we are at Rs. 700 crore, so that Rs. 150 crore reduction in inventory will automatically reduce all my cost associated with, loading, unloading, warehousing, across.

Tejas Shah: We had some credit, credit rating downgrade around December. So had it impacted, has it impacted our cost of borrowing

or and is the Board considering any equity infusion to improve the balance sheet situation inorganically, rather than waiting for demand situation and other things to improve the balance sheet?

Manish Desai: If you look into it our short term borrowing rating remains the same at the highest level. It's the long term which was impacted and today we are having all the working capital loans having the short term in nature, so the interest cost has not been impacted severely on this ground. Furthermore, once we have the debt reduction plan which we have already done it.

Furthermore, with the improved results, I am sure that in the next year, we look forward for the upgradation in our overall rating and a stable rating on the long term perspective.

Tejas Shah: Got it. Thanks a lot and all the best.

Moderator: Thank you. Next question is from the line of Niharika Karnani from Cap Grow Capital. Please go ahead.

Niharika Karnani: We understand that there has been a value degrowth this quarter, compared to volume growth of 13% and market share has been around 38% which was there in last quarter as well, as far as I remember which was around 200 basis points from 40%. So, I mean, I know we are moving towards premiumization, but that has been the talk for last two quarters. When would it start getting reflected in the numbers, is the question that I would go for because, I mean not much needed improvement has been witnessed in last couple of quarters.

Neetu Kashiramka: I would say that you are saying that because today, the numbers are having a liquidation impact. As soon as, I remove the liquidation impact which is maybe from a quarter end and from now, so maybe first quarter of the next year is when you will see a meaningful difference or improvement. When the gross margin goes above 50%.

Niharika Karnani: 50%?

Neetu Kashiramka: Gross margin yes, today it is in 47%, it will become 50% once this liquidation piece gets

reduced, and that is when the impact for premiumization will come. If you go to our store, please visit you will know that lot of premium products have been launched, but that is not visible because of this liquidation which is a continuous hang on us, which should get over in maybe in next three to four months .

Niharika Karnani: Understood . And just one follow up question on this , so I discussed today will be sitting on inventory of around INR Rs. 500 to Rs. 550 crore , even at Q2. So just wanted to speak on VIP Industries Limited – 29th January, 2025

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liquidation so from the current levels of RS. 693 crore of inventory to Rs. 560 crore of inventory in quarter two. Liquidation will continue beyond Q2 as well or do you foresee previously four months?

Neetu Kashiramka: Rs. 500 to Rs. 550 crore is a normal inventory which as an organization if we will always have . What we are talking about liquidation is only extended to mostly quarter four a little bit maybe in the April month. However, for April, May, June, which is our largest quarter, we are getting ready and therefore 31st March, 2025 we are guiding for no reduction in inventory. However, the composition of inventory will be good inventory versus bad inventory.

Manish Desai: I will just add on what MD said , you have to keep in mind that quarter two again we are E-com driven quarter so some level of inventory, Rs. 550 crore when we are talking about is keeping in mind the E-com seasonality, given a choice to us, and as we are planning today, the average inventory level should go down to Rs. 465 to Rs. 480 crore level as we come out from both the season of quarter one and quarter two.

Niharika Karnani: We were speaking about facing intense competition in both e-commerce, modern retail space. So like, apart from new launches, what steps I mean are we taking to c

ounter this competition .

And again, regain market share of 40% which is the ideal market share ?

Neetu Kashiramka: I actually answered this earlier somebody had asked , each channel we are looking at various initiatives for example, in E-commerce, we are looking at, how can we increase our share on marketplace and quick commerce. In case of retail, how can we increase our same store sales growth, plus add more stores like I spoke about Carlton exclusive store, additional 25 to be opened in next six months. In case of general trade, we will be looking at expanding the doo rs. In case of institution, we will be looking at adding more corporates into the fold. Each channel, we have a strategy to expand, and that is where it will help.

Niharika Karnani: Okay . Understood. Thank you.

Moderator: Thank you. Next question is from the line of Jigar Jani from B& K Securities . Please go ahead.

Jigar Jani: Thanks for taking my question, and congratulations on a good set of numbers to both of you.

So on inventory, out of this Rs. 692 crore inventory, I believe last quarter, we had said that Rs.

180 odd crore is soft luggage inventory upright which is slow moving. This should, number should be around Rs. 100 crore now is that a fair assumption ?

Neetu Kashiramka: Rs. 95 to Rs. 100 crore absolutely correct .

Jigar Jani: And this should ideally given you run rate rundown by Q4 and probably some part of Q1?

Neetu Kashiramka: Yes, that's what I said, partly maybe April.

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Jigar Jani: Okay, understood . And, and the remaining is HL right.

Neetu Kashiramka: There is HL, duffel and backpack, which is a normal inventory , so 90 days inventory is something which will always have for our kind of businesses .

Jigar Jani: Understood and ma'am, last time you had mentioned 55% gross margin you are targeting for FY26 would it be fair to say it will be more an exit quarter guidance for Q2?

Neetu Kashiramka: I never guided for 55%, I have guided for always 50 % for exit quarter and then 52 % to 53 % in FY26, 55 % it can never go because our mix has now changed for permanently, like Aristocrat is not going to go away , only 2%, 3% mix can change , so therefore 55 % is a dream. 52 % is something where best case scenario in FY26.

Jigar Jani: And exit quarter ?

Neetu Kashiramka: In exit quarter , I guided for 50% which I am still guiding for.

Jigar Jani: So, FY26 average we should be able to do 50 % for the full year ?

Neetu Kashiramka: Yes correct. Starting with 50 % and going upward, right .

Jigar Jani: Yes, it will gradually move up.

Neetu Kashiramka : Yes.

Jigar Jani: On this E-commerce thing, I think last quarter you had highlighted that you are entering into agreement with the e-commerce portals to not sell VIP and Skybags beyond certain price that is in place now ?

Neetu Kashiramka: That is in place for VIP. So if you see VIP, it is sold at a MOP , which is the minimum price at which they cannot sell below that , so it's an MOP now for any product of VIP across all the channels, there is no discounting .

Jigar Jani: Right. And have peers also kind of adopted this strategy, or they are still opening an E-commerce store?

Neetu Kashiramka: I can't comment on that .

Jigar Jani: Okay, understood. Thank you so much for answering my questions and best of luck.

Moderator: Thank you. We will take our next question from the line of Prerna Junjunwala from Elara Capital. Please go ahead.

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Prerna Junjunwala: Hello , thank you for the opportunity. I just wanted to understand the revenue forecasting methodology that was also a part of

BCG KRA so, wanted to understand how it has , it is improving the inventory position for you and overall sales forecasting, how it has changed as an organization ?

Neetu Kashiramka: It is a continuous process , we have put up some mechanism also use of technology, whereby for A class, we are moving into a replenishment model versus B & C which will get into forecasting because one thing we have realized that , before four months it is very difficult to forecast something which is now more fashionable, rather than convenience. Our industry is becoming more fashionable and priorities are changing, and therefore we are following now A class replenishment, B & C will be forecasting so yes, freeways have improved by 15 % to 20% in last six months. It is further expected to improve as we move along.

Manish Desai: Just to add what MD said, the revenue fixation target was never part of the B CG exercise, more driven by the industry and our own aspiration till now.

Prerna Junjunwala: Just wanted to also understand that you know, eventually can the inventory days that you mentioned right now that you know we should be four months and three months inventory we should keep, can with more India operations and more sales coming from India manufacturing, this number of days can reduce further. Can that happen?

Neetu Kashiramka: We want to reduce it to 75 but first let us reach 90, and then definitely aspiration is to be at 75 days.

Prerna Junjunwala: Okay, understood ma'am . Thank you, and all the best.

Moderator: Thank you. We will take our next question from the line of Karan from Keynote Capital. Please go ahead.

Karan: Thank you for the opportunity. The first question is on, if you can share, are you seeing any meaningful shifts in consumer presence shifting towards offline channels and mid premium segment, if you can give some on ground insights ?

Neetu Kashiramka: Basically online share in our industry is actually increasing. However we have to do something different to bring customers to our store and few of the strategies where we are following this is that some of the products exclusively available only in our store, only in offline online, it is not available and few of such things but there is a set of customer who will always touch and feel before buying. Consumer preference definitely is moving towards online, more people, maybe at sitting at home with their convenience they just want to buy and there is an option to return as well , so, call for three, keep one return to think that's where it's happening, but we have to do meaningful changes to bring customer to our store, which is what we will be doing like exclusive products available only at VIP lounges and so on.

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Karan: Understood. My last question is on the current competition landscape, if you can give in terms of categories like soft luggage and hard luggage , what is the current competitive landscape?

Neetu Kashiramka: Basically, I would say that soft luggage we do not have much competition as such. However, soft luggage demand per se has fallen, but hard luggage definitely there is an intense competition from not only top organized players, but there are new D2C players who have come into the market in hard luggage . In fact, I believe that every six months there is one new player entering into this market, but which also gives us the confidence that the market is doing well, and therefore so many entrants . If we do right things, I think we can definitely do better.

Thank you.

Karan: Thank you , that was helpful.

Moderator: Thank you. Next question is from the line of Varun Singh from AAA PMS . Please go ahead.

Varun Singh: My first question, Neetu ma'am is, you know given that e-commerce and hard luggage , these are the two maybe s

unrise channel and segment, so with regards to the growth driver, because as you rightly pointed out that in e-commerce space, it's all about pop colors design and the price, maybe the customer reviews, et cetera , with customers are browsing at the convenience of their home. So , like as a category leader, you know, what are the incremental hard work that that we are doing to maybe tap on this growth opportunity? Because, you know when I see

over last six months, maybe data, what ever is publicly available on Amazon, Flipkart, et cetera maybe I would have missed figuring out the extra work that we are doing. So if you can highlight some bit on that part ?

Neetu Kashiramka: See your voice was very feeble. But whatever I understood your question is that, what are we doing differently to compete with the players in the online market, right?

Varun Singh: I mean, not just differentiate in terms of, you know what are the growth drivers that we are, you know tapping on these two, on e-commerce platform and the hard luggage segment, what are the incremental ?

Neetu Kashiramka: We are working on a better portfolio, giving a better product to the consumer. Also, VIP is known for its product durability and reliability . Like today, also Aristocrat has a warranty of seven years. The other competition is at three years , we are at seven and five depending on the model. Basically, giving a better looking product with better quality is something which is our forte and we will be communicating this more and more to succeed and if you see our product portfolio, I think we have done good work, and it is actually better than competition today as we speak.

Varun Singh: Yes, that's correct. You know , why I was asking this question is because, on the e-commerce channel or platform itself, it becomes tough for a customer to you know, objectively conclude
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that which products quality is also how much superior other than whatever customer review rating they could just have a look upon. So given that price becomes so much sensitivity variable in customer decision making framework. I mean, don't you think that it is counter intuitive when we say that on VIP, we will not be selling at a maybe offering at selling at a lower price at the same time trying to premiumize the entire portfolio , whereas the customers don't want to premiumize, they want to go down the value chain, looking for the design and price and keep switching the .

Neetu Kashiramka: Yes, its chicken and egg story. We will have to live with it and deal with it as it comes . The good part is that we have four brands to play with, offline is the largest portion of our business today also, unlike some of the people who have only online business, some of the people have +60% business coming from online, and therefore I have to protect my offline. This is the reason why one brand I am keeping away from stiff pricing that helps my offline channel to grow, because offline is 70% of my business, and I can play a similar thing with Skybag, because Skybag is also a premium. Carlton is one which I have , so that is the reason why, from online I am removing, I am not removing VIP , I am only saying VIP will not go below a particular price, that is to safeguard my offline business. A few things which actually I am doing to safeguard my offline business is, , I have started a loyalty program , I have also started a buyback program for offline customer , I have also started extra warranty if they buy offline so in fact, I am doing the other way, I want my offline business to also grow along with online.

Varun Singh: Fantastic. And my second question is on the BCG 15 months project part. So as you know over last call you highlighted that in five wave , I mean there is a five wave project, and from

the

October month itself we should be start seeing the benefits. And maybe by the end of fourth quarter, the result of the third wave will be visible. Maybe that is what you are pointing out with regards to gross margin benefit expansion. But do you think that Rs. 250 crore a bottom line improvement that you said, that is likely to take more time compared to the 15 months project time which the guideline which was given earlier . Anything you want to call out on, on that, on that part ?

Neetu Kashiramka: Because it's a Rs. 250 crore addition to the bottom line when we say , it's a full year impact right . Now each wave will have something which will add to quarter two, then something to quarter three, something to quarter four. This 15 months project is getting over only in the next year, and therefore some benefits will definitely be in the next year, and that is where I said that we have a potential to go up to 18% EBITDA. However, I want to spend 2%, 3% more on the brand, and therefore I am happy to have a 15% EBITDA overall for the organization.

Varun Singh: Sure . And just one last question, if I may, when are these, you know, hyper discount kind of situation is going to normalize, as per your honest assessment in the hard luggage space itself ?

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Neetu Kashiramka: Difficult to comment on that, because we are not seeing competition coming down , making any efforts in that direction. However, if the crude price goes up that is when things will change, but that is also not something which is on the cards or visible immediately.

Varun Singh: Understood.

Manish Desai: What we can foresee, such kind of substantial reduction what we have seen in the last 15 months is not.

Neetu Kashiramka: Yes, yes it bottomed out now.

Manish De sai: Yes.

Varun Singh: Understood , thank you very much madam.

Neetu Kashiramka: Okay , maybe this is a new normal.

Varun Singh: Sure. Thank you very much and wish you all the best.

Neetu Kashiramka: Okay, thank you.

Moderator: Okay, thank you. Next question is from the line of Akhil Gulecha from Hornbill Capital. Please go ahead.

Akhil Gulecha: Yes, hi ma'am. So actually, I am new to the industry, so pardon me if my question is a little generic, but I want ed to understand what i s actually happening in the industry , why are the incumbents struggling with growth as well as margin pressure because travel by all other indicators is doing very well and it is growing. So what is happening , is it that the whole market is struggling , is it that it's a challenge because of the incumbent just, what is happening in this industry?

Neetu Kashiramka: Multiple things. One good part is that demand indicators are good. Travel is happening it's actually the industry which is still doing better than all the other industries. What is happening is, lot of new entrants into the market. Now, why new entrants were not there earlier, and why they are coming now. In the past, lot of these luggage like 50 %, 60% used to be soft luggage, versus today it is becoming hard luggage. Hard luggage is actually easier to produce versus soft luggage. Soft luggage needs lot of craftsmanship, and whereas hard luggage it's a machine driven injection molding machine if somebody has they can definitely look at producing this . Since this market is doing well, lot of the entrance are entering, also lot of these garment industry actually, if you go to the market you will see that everybody is starting with luggage and that is where the competition, that is where the pricing pressure. In soft luggage, our opening price point never fell below Rs. 2,500 whereas in hard luggage now, we also have a product at Rs. 1,399, and Rs. 1,499. Consumer preference , consumer is habituated now to buy

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something at cheaper, more colorful, good looking, and they don't mind buying something and then changing it after a year or two so that is another big change . In the past , the replacement cycle used to be seven to 10 years. I am talking maybe five, seven years ago, then it reduced to three to five years. Today, as we speak, when I talk to consumer they want to change their luggage every one to two years so that's the big change which has happened, and therefore they want to shelve less money, buy cheaper, replace it, maybe almost every year. The other thing is that hard luggage will get scratches, whether it is a Rs.5,000 product or it is a Rs.15,000 product, because the way it is handled at the airport. Now , that also makes the consumer feel that why spend more buy something which is reasonable, and then maybe change. These are various factors which have changed for this industry in last, I would say post COVID.

Akhil Gulecha: So replacement cycle reducing is actually good for us, right because it's a bit positive. So the other part is, you said that the prices have sort of gone down. So do you think this is going to be the standard now that the margins will reduce in this industry, whatever, pre COVID?

Neetu Kashiramka: Yes, it is like a new normal. However, there's a set of customer who is also wanting to premiumize and more, so we will have to do work for those customers alongside . Today, I don't want Aristocrat to further move up from this 42 %, 43% to maybe 50 % that will be our aim, which means I need to grow my other brand by doing different things so launching something which is new for the industry, like I am doing lot of work on Carlton, so that my share of Carlton goes up . Today , the share of Carlton is 6% our intent is that how we can make it 10% that will have a meaningful difference in our profitability as well as the overall stress on that, reduce the stress on the P&L.

Akhil Gulecha: Okay, okay, understood, but the 17 %, 18% EBITDA margins that we used to make pre COVID, that is unlikely unless the premium segment does really, really well ?

Neetu Kashiramka: As I said, I want to spend more on the brand so it can become 18 %, but I want to spend more on the brand, and therefore I am okay to do 15% maybe the new normal , 18% will become 15%.

Akhil Gulecha: Okay, okay, understood. Thank you so much and best of luck.

Moderator: Thank you. We will take our next question from the line of Ritesh Shah from Investec . Please go ahead.

Ritesh Shah: Yes, hi ma'am couple of questions. First, was on the tribunal favorable judgment that you indicated. Can you help us refresh what this was exactly pertaining to , I think it was pertaining to some transfer frames . And when do we see a cash flow impact on pack of this?

Neetu Kashiramka: There won't be any cash flow impact , this was in the contingent liability , hanging on us at any point of time we could have like department would have come and said pay Rs. 400 crore today.

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Now that is behind us and this was basically on stock transfer , so basically it was in a VAT regime

where we have paid tax in the state where we sold. However, the department said that pay on the stock at the time of stock transfer also, but then it would have meant double taxation. Yes there was a demand with penalty of Rs. 400 crore.

Ritesh Shah: Okay, so it basically moves out of contingent liability that's how one should read into the impact?

Manish Desai: Yes, correct.

Ritesh Shah: Okay, fine. Ma'am second is you made a very interesting point on MOP with respect to VIP and to protect the retail channel, any particular reason on why we are doing it now,

and why only

on VIP, and why not some other brand of ours?

Neetu Kashiramka: Basically, between September, October, when all the online platforms reduce the pricing to such an extent that it was unbelievable. Our offline partners got offended, and they actually said that we will stop buying. I can not leave E-commerce because that's a growing channel same time, 70% of our business is coming from offline. I had to devise a strategy to protect both, and that is when we thought that VIP and Skybag is something which is in the premium segment and we can think of doing MOP to protect my offline customer and that is what we did and why only VIP, because I can't do it with all the others because if I do with all then my online will suffer. Online is a growing channel which I have cater to, so this helped me to actually cater to both. This also impacted my revenue in October, November, and after implementing this, I got good numbers in December.

Ritesh Shah: Okay. So ma'am VIP is around 25% of our revenues, what part of VIP will be ex-e-com?

Neetu Kashiramka: E-commerce was a small portion, like overall E-commerce it was 10% and therefore sacrificing that was easy versus sacrificing the offline.

Ritesh Shah: Okay, that's helpful. And ma'am, just for the sake of repetition, I think discounting has been pretty hefty in the marketplace. Would it be possible for you to give some sense on who is driving it and who is following it? So there are several D2C players obviously who are very aggressive in the marketplace. We also want to liquidate our inventory.

Neetu Kashiramka: Yes, we are doing it only in soft luggage okay, we are not doing deep discounting in anything other than soft luggage. However, the online platform like Flipkart and Amazon of the world, they are giving discount, in fact sometimes they are selling below their purchase price so that is the big problem, and they are investing in the brand and not in us. Yes, I think it has come down, because they also have pressure on profitability now.

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Ritesh Shah: You have indicated how the inventory will actually move into March into June. How are we looking at our production scheduling as we go into March into June?

Manish Desai: This will be aligned with the requirement, the seasonal thing which is coming up so our production will be slightly higher in the quarter four both at Bangladesh and our India factory.

Ritesh Shah: Ma'am basically we indicated that we will reduce our inventory as we go into March and into June.

Neetu Kashiramka: We said Rs. 692 crore will become Rs. 720 crore and then in June it will reduce to Rs. 550 crore.

Neetu Kashiramka: I think quarter one is a big quarter, and we are getting ready for it, therefore we increase now. The only difference will be that, the inventory composition will be new inventory and not liquidation inventory.

Ritesh Shah: Sure. And ma'am lastly, any numbers that you would like to qualify on channel expansion, EBO, MBO where we are right now, and where do we intend to be say 12 months, 24 months out?

Neetu Kashiramka: We want to increase by 50 stores in next 12 months, and to start we will be focusing mostly on the top 20 cities.

Ritesh Shah: And ma'am, what's the count right now?

Neetu Kashiramka: 410.

Ritesh Shah: Okay, that's useful. Thank you so much, and all the very best ma'am.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Manish Desai from VIP Industries Limited for closing comments. Over to you, sir.

Manish Desai: Yes. So thanks to all of you for attending the call. Hope we have answered all your questions. If anything, still remains unanswered, we are just a phone call away. Thank you and wish all

of

you a good day, bye.

Moderator: Thank you. On behalf of VIP Industries Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

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Subject: Transcript of Earnings Conference Call on Audited Financial Results (Standalone and Consolidated) for the quarter and year ended March 31, 2025

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call held on May 14, 2025 on the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended March 31, 2025. The same is also available on the Company's website <https://vipindustries.co.in/storage/investor-con-call-transcripts/May2025.pdf>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Ashitosh Sheth
Company Secretary & Head – Legal
ACS 25997

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VIP Industries Limited
Q4 & FY25 Earnings Conference Call
14th May , 2025

MANAGEMENT

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR - VIP INDUSTRIES LIMITED

MR. MANISH DESAI - CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

VIP Industries Limited – 14th May, 2025

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Moderator: Ladies and gentlemen, good afternoon and welcome to the Q4 & FY'25 Earnings Conference Call of VIP Industries Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Devyanshi Dave from Adfactors PR Investor Relations team. Thank you and over to you ma'am .

Devyanshi Dave: Thank you. A very good afternoon to everyone. A warm welcome to the Q4 and FY'25 earnings call of VIP Industries Limited.

From the senior management we have with us , Ms. Neetu Kashiramka – Managing Director and Mr. Manish Desai – Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may include certain forward -looking statements , including those related to the future financials and operating performances, benefits and synergies of the company's strategy, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties.

Thank you and over to you, Ms. Neetu Kashiramka .

Neetu Kashiramka: Good afternoon everyone, thanks for joining the call. Before we move on to P & L performance, I would like to just highlight progress which is made on balance sheet commitment , we had set out for ourselves at the beginning of the year.

During the year, we reduced our inventory by over Rs.200 crore , in volumes approximately 25 lakh pieces. Our cash flows from operating activities improved significantly during the year to Rs.292 crore positive, versus a negative Rs.131, crore last year . The cash generated was utilized to reduce borrowings and also funded some of the businesses, like e-commerce and modern trade where the revenues have increased. It has been invested in the debtors. Our debt during the year was reduced by Rs.118 crore . We also got a favorable judgment in the high value indirect tax litigation. Contingent liability to the tune of Rs.357 crore have been taken away , so contingent liability is no more existing now.

Moving to some macro environment :

Luggage industry, has been one of the most attractive sectors post COVID . High growth rates, positive travel macros, low entry barriers have attracted multiple new entrants. Most of these

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new entrants are in the online space backed by large investor funding. High heat competition has fueled price war in our segment, especially in the mid-price segment. Heavy discounting initiated by online brands and e-commerce platform has also put some pressure on realization, not only for us, but across the industry . Our commitment to reduce slow moving inventory further added pressure on our average selling price so while our value growth has been flat after removing the price support, volume continues to grow in double digit, at 10% for the quarter and 11% for full year.

We are trying to balance our premium portfolio with various new product offerings, we have exciting new launches coming up in our premium and mass premium brands Barring a few, most of these new launches are now made in India, reducing our dependence on China and also resulting better gross margins. Our commitment towards premiumization is also visible in our recent brand investments for our premium and mass premium offerings. I am sure , all of you must have noticed our high decibel campaign

across the country in last four weeks . We have included glimpses of the same in our presentation as well. Initial response to these, brand activations is definitely quite encouraging.

Moving on to the channel specific performance :

E-commerce continued to be the fastest growing space for us at 40% both for the quarter as well as for full year. Focused approach for B2B partnership also resulted in a double digit growth for this channel . The closure of modern trade stores by partners impacted growth for the channel, also our EBOs, we have actually closed non -performing retail stores to the tune of more than 100. Going forward, we will concentrate on penetrating deeper into top 14 markets in the country to ensure better store level profitability. We are also opening Carlton exclusive stores to improve our premium mix . Overall , today we have 404 stores.

Traditional channels had growth challenges during the quarter as we focused on reducing channel inventories. In fact, we closed our traditional trade sales on 20th March for the first time in the quarter 4 of this year. Multiple planned initiatives to improve a premium mix are underway. Our recent backpack collection received positive response in the market. Backpack was the fastest growing category for the quarter. Hard luggage was the fastest growing category both for the quarter as well as for the year. It contributes to 60% of our total portfolio. We have also made headway in travel accessories category during the year. Profitability was definitely a challenge during the year, mainly gross margin which was impacted by downward pressure on selling prices, inventory provisions and netting off of price support for e-commerce channels. Multiple initiatives for improvement in gross margin is underway and will help us improve our gross margins in the coming quarters, starting from the quarter 1 itself. Manpower cost optimization with year-on-year and quarter-on-quarter decrease of 16 % and 20% respectively.

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Our employee benefit expenses as a percentage of revenue now stands at 10% against 12% in the last year. Other expenses has reported a sequential increase, mainly on account of performance marketing spends for e-commerce, professional fees, investment towards dealer conferences and product road shows. Supply Chain improvements have started to showcase some benefits, starting from March '25. With reduced inventories we have surrendered four lakh square feet of space in Quarter 4 and another three lakh square feet of space, we are in the process of surrendering. All this will contribute positively to our margin improvements in the coming quarters.

Future outlook :

Fundamental demand indicators seems to be positive. There are multiple wedding dates in fact, this year the number of weddings is maximum in last 10 years. Even hotels and travel portals are definitely showing better results. We are very confident that the demand indicators will definitely be in favor of the category. We are steadfast in our transformation journey. Successful result of the same will be showcased in the upcoming quarters, starting with the quarter 1. To conclude, I would like to say that, the year 24 -25 was a year of big solves across multiple areas, and the results for the same will be visible from the next quarter as we see FY'26 to be much, much better year for us.

With this, I conclude my opening remarks and open the floor for questions.

Moderator: Thank you, ma'am. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question comes from the line, line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: First of all, Madam, can you let us know what is the quantum of slow moving stock that is now left with us, and also out of

this Rs.700 crore of inventory that we have with us, can you tell us what is the quantum of RM and WIP inventory?

Manish Desai: If you look from the slow moving inventories, we would not like to give any absolute value, but has come down considerably over the last year. The pain has almost reduced to a negligible amount as we stand today. In terms of the WIP what are you talking about the raw material WIP, or the capital work in progress?

Jinesh Joshi: No, the inventory WIP?

Neetu Kashiramka: It's the split of FG and RM.

Manish Desai: RM will be approximately around Rs.215 odd crore

Jinesh Joshi: Understood. And also, on the other expense side while we have given the reasons that it was higher sequentially due to performance marketing and professional fees, also we did some

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dealer conferences but is it possible to kind of share what is the total quantum of these expenses which were there in this quarter?

Manish Desai: These are contributing a substantial amount which we would not like to quantify on this call.

Neetu Kashiramka: It will be available in our annual report though.

Manish Desai: We would not like to quantify currently.

Neetu Kashiramka: And some quantifications we have already given in the presentation.

Jinesh Joshi: One last question from my side, this inventory provision of Rs.5 crore, can you explain what is that, and what is the total quantum of inventory that we have that would warrant any kind of future provision, if you can call out that. You also mentioned that you have surrendered about four lakh square feet of warehousing space, and another three lakh is in the process of surrendering. So what can be the savings in the warehousing cost also, if you can give some color on that, that's it from my side.

Manish Desai: In terms of the provision it is mixed against the raw material as well as some slow moving FG.

It would not be appropriate to say any amount which will come because our efforts are anyway on accelerated way to liquidate those kind of slow moving inventories. But if the need arises will again do a revisit on this provisioning policy and do provision in the best considering the liquidation moment . In terms of warehousing, I would say that the impact by another three lakhs will be surrendering it so in a year time frame, we will be saving another Rs.2.5 crore minimum on the warehousing side, considering that next 1 or 2 Quarters, I am talking about . Quarter 4 again will be a seasonal period, so we will see that point of time, what we need to commensurate into this .

Jinesh Joshi: You mentioned Rs. 2.5 crore , savings ?

Neetu Kashiramka: He is talking about is for three lakh square feet.

Moderator: Thank you. The next question comes from the line of Ritesh Shah from Investec . Please go ahead.

Ritesh Shah: Ma'am first question is, you indicated on closure of stores by the modern trade partners. Can you provide some more color over here , and secondly, what is the motivation behind Carlton exclusive new stores , basically if you could help us underlying the thought process and economics. Thank you.

Neetu Kashiramka: Yes. Basically, we have closed 133 stores overall, and have opened 32 stores. The idea is that , lot of these stores were opened in tier three, tier four cities where the throughput is very low. For example, a store where cost is Rs.5 lakh, if my revenue is Rs.2 lakh, I don't think it will ever
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be able to make profitable so going forward, the idea is , for exclusive stores we will focus on top tier cities where minimum threshold revenue is Rs.8 lakh per month. And basis that , this year we are targeting to open 50 stor

es, 20 in Carlton, and balance in VIP lounge. The idea of opening exclusive Carlton stores , in the top areas for example like Bandra , Colaba anyways 50%, 60% of our store revenue was coming from Carlton and therefore, we thought that it would be a better idea to have a full Carlton assortment across these premium areas, which can give us better premium positioning as well as better revenues.

Ritesh Shah: Overall distribution standpoint, can you just help us with the numbers on EBO and MBO, specifically if you can break it up between tier one, two and three that would be quite useful.

Neetu Kashiramka: Exact breaking up in tier one, tier two, I don't have immediately but we will definitely be able to give you , but total number of stores, as we talk today it stands at 404 .

Ritesh Shah: Sure . Just a follow up ma'am when you say Rs.5 lakh of store cost , what all does it include over here?

Neetu Kashiramka: Everything, rental, plus the salary of store manager, the light, everything, all the cost, operating expenditure of that stores, not the cost of product .

Ritesh Shah: Right. And ma'am, would you like to qualify any headline asset turn, margin profile or R OC threshold that we look at, you did give a number of Rs.8 lakh minimum revenue . So before we shut down, is there a particular threshold, say within two years, three years ?

Neetu Kashiramka: We definitely give 12 months to the store to at least break even before we decide to take these calls. Most of these stores which we are closing are actually existing for two to three years.

Moderator: Thank you. The next question comes from the line of Bharghav from Ambit Asset Management . Please go ahead.

Bharghav: Ma'am my first question is that, obviously we have spent a lot in terms of marketing starting April, and also a lot of new product launches have been done. So , the idea behind this is to get back our GT market share which has reduced from 21 % to 17 % , and also our modern trade market share, where salience of revenue has again reduced from Rs. 26 % to Rs. 23 %?

Neetu Kashiramka: It's not market share it's basically the salience , that offline salience for the business has to go up. The idea behind spending the money on the brand is to actually showcase and have a change in the perception in the minds of people. Like lot of people didn't know that VIP is as contemporary as any other brand can be one is that, and also the product on which we have spent on VIP is the first product from the Japanese designer . All these are reasonable prices, better margins, and also will definitely increase the confidence of the channel partners.

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Bharghav: So ma'am in your opinion, this e -com share this is at about 31% do you see this reducing as we get the offline channel sales back?

Neetu Kashiramka: It may not reduce, but we want to be at 30% for FY26. It should not go up from there, which means that both my channels should grow equally.

Bharghav: But fair to say that 50% plus gross margin can come only on the back of offline firing products or even to e -commerce we can?

Neetu Kashiramka: It can come with a better product mix. In fact, in e-commerce as well, we have just launched Carlton also with Flipkart and Amazon. Definitely in e-commerce, we are trying to increase our

premium portfolio share .

Bharghav : So, net-net the focus in FY' 26 will be to get the gross margin back to 50% right?

Neetu Kashiramka: Yes. In fact, most of the back end work is over , it's all about now front ending basically selling and therefore getting the benefits .

Bharghav: And this backpack, is it possible to increase the share of revenue maybe to 14 %, 15% or given the kind of launches we have done ?

Neetu Kashiramka: We are definitely looking at increasing the share, but we have done

well. In Quarter 4, we have

grown by 23% on our backpack portfolio which remains our focus category. We have backpack ranging from Rs.600 going up to Rs.12,500 , so we have the entire stack up, and we definitely looking in FY '26 to expand our distribution , to make backpack a larger salience in overall category . The good part on backpack is , it's a daily use case so basically, every person almost changes backpack every year , and this has daily use case as well as a higher throughput across the country .

Bharghav: And on modern trade, any development, any inroads we are making on the modern trade front ?

Neetu Kashiramka: We have definitely made some inroads , but I would not like to talk on this call because of confidentiality , but yes definitely some of the larger doors we have cracked some of the price points, and we are definitely looking at a larger share of business in the year to come.

Moderator: Thank you. The next question comes from the line of Tejas Shah from Aven dus Park. Please go ahead.

Tejas Shah: Just starting with clearly this year as the year progressed, our priority shifted from growth to repairing balance sheet first. So looking at the current scenario of inventory debt, what are the levels you will be comfortable with to pivot back to growth ? And then, if you can share the
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absolute numbers or ratios which you are actually looking to kind of shift focus to growth rather than balance sheet ?

Neetu Kashiramka: Most of the large ticket items on balance sheet is done , so we have started focusing on growth already, which is visible from a media campaigning We are now looking forward for growth and the other ratios will all start improving as the business improves. However, on the inventory level, we are looking at reducing it further by Rs.150 crore and the same level we want to reduce our debt in this year.

Tejas Shah: Sure. My second question is to this branding spend that you spoke about on VIP. Now, in last decade or so, we would have done multiple attempts to kind of make look VIP standalone brand contemporary and obviously I don't have data to judge whether it has worked or not, but at aggregate level, how do you judge ROI on suspension , and when we see some of this brands, even old age or some new age also , who would have achieved scale without spending so much on branding. So how do we kind of think about with such spends which we kind of do every two, three years, to revive VIP as a brand?

Neetu Kashiramka: There are two parts to this question. One, do we really need to spend the money on the brand is what you are saying , so if we just give discounts and we want to sell , that's one which we are not creating brand we are just selling commodity. As an organization, we believe that we have brands, and therefore it needs to be nurtured to get the right ROI. I can tell you, we have spent on three products , we have spent on Lexus in VIP, we have spent on Paradise in Skybag, and we have spent on Gemma in Carlton. In two of these three cases, we have stocked out already. And one of the case, we have sold 22,000 pieces in 30 days, which means that we have already done the ROI . I am going to spend in this quarter Rs.12 crore to Rs.15 crore , and I have already earned that money , which means we have got the ROI. It's not that we are going to spend like this every month, but this was required for us to also get confidence from our channel partners, because for last few years we have not spent . Also, they need to know that yes, VIP is back we are still alive. As earlier also said, that I will only spend when I can make money, which is an indication that I am spending because I am earning.

Tejas Shah: Okay. Ma'am my question was largely on VIP standalone , Carlton and Skybag fully unders tand .

Neetu Kashiramka: I have a view that VIP is known to everybody in the country. It's we who have not capitalized this opportunity, and I will definitely, if I were to choose between which brand to spend more, I will spend more on VIP, because I always say that , even small kids know VIP but they are not buying it , and why we already know that answer, and therefore I have to make sure that in next 12 months, people buy VIP. All my efforts on getting better products , getting technology driven products, will be all around VIP. One more big initiative which we are doing is , from 1st July onwards, all my products will be in case of VIP and Skybag , Carlton will come with a tag , "find me tag " . It's again a special feature which nobody else is offering in the world .
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Tejas Shah: I genuinely wish you we find growth also with this . Ma'am last one on store expansion. So we are definitely going consolidating phase. We were shutting stores, and we are opening where ROIs can be better and also we are cutting down our storage areas or warehouse areas also. So just was wondering, obviously you have a very tight rope walk over here, but was just wondering, at one end we are actually kind of shrinking the growth input parameters, and then we are trying to revive growth also. So then we are expecting very high productivity from lesser input going forward. So just wanted to understand, how are we thinking about this?

Neetu Kashiramka: Okay, again will break this into two parts one on warehouse. We were having 63 lakh pieces of inventory when we started on 1st of April, 24 and today the number is around 38 lakhs. Now, because the inventory is reasonable, I would say it has to come down to 30 and for that, I am surrendering the warehouse space. I am not saying that I am reducing my input, but I am actually cutting down on inefficiencies . The second again, on the store , if my store throughput is less than my cost, I don't think it is viable. Now, we are only focusing on 14 top cities, and therefore throughput will definitely come, it doesn't mean that I am giving away the area where I was having a store and where I have stopped. What I am doing is , that area will be serviced through MBOs , will be serviced through my GT will be serviced through my other modern trade partners. I am not vacating the space , I am only saying that, instead of selling it directly through my exclusive store , how can I sell this through an MBO which will help me reduce my fixed cost , so basically, it is all about efficient working and removing inefficiencies .

Tejas Shah: Very clear , and if I may squeeze in the last one . Ma'am, we would have done our inventory planning for this year I am assuming a quarter back or 2 Quarters back, and we started on a good note this fiscal year. But what is unfortunate events have played out in last one month or so, do you believe that somewhere there is a risk of slowdown happening in our calculation for the first quarter or first half of this year which is non -wedding season largely ?

Neetu Kashiramka: First quarter is a big wedding season.

Manish Desai: If you are referring to the political , it will have some kind of bearing , what we heard and what we came to know about it is, people are just changing the destination to travel, but they have not stopped traveling . We are not seeing any kind of larger substantial disruption coming on the way because of this kind of concern, and that's where we stand as of now.

Neetu Kashiramka: I have had discussion with two or three large travel companies , where they said people are just changing the destination , if they were going to Kashmir instead of that now maybe they are going to South or they are going to Thailand, but people are going .

Moderator: Thank you. T

he next question comes from the line of Perna Jhunjhunwala from Elara Capital.

Please go ahead.

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Perna Jhunjhunwala : Ma'am just wanted to understand with all these initiatives that you have spoken about, what is the growth that you think is achievable in this year, and how do you see whether we should think about double digit growth coming in, and how would the volume and pricing play now, given that last year was a big price correction year. So , do you think we can see price increases or premiumization helping you to gain ASPs at an average level?

Neetu Kashiramka: Yes, that's the endeavor , this year most likely our volume and value growth should match . On the growth front I would say that whatever is the category growth, we should do 1% or 2% better than that.

Perna Jhunjhunwala : Okay . So if the category growth for example, is around 10% we should be able to do 12% is where we are ?

Neetu Kashiramka: Yes, that's what I am saying.

Perna Jhunjhunwala : And it should be equally divided between volume and value is ?

Neetu Kashiramka: Yes, that will be our key focus area.

Perna Jhunjhunwala : Okay. And in terms of hard luggage versus soft luggage, do you see the weight of hard luggage increasing further as the industry trend is moving towards.

Neetu Kashiramka: No, we don't think so. In fact, maybe a little bit soft luggage should go up, because suddenly we have started getting inquiries regarding soft luggage premium portfolio. Premium consumers are definitely asking for more soft luggage, and we have few soft luggage products lined up, getting launched in next two to three months.

Manish Desai: And visibility from the competition portfolio also suggests that the ratio should tilt slightly towards more on the soft luggage.

Neetu Kashiramka: Yes, 3% -4% more soft luggage will happen.

Perna Jhunjhunwala : What is attracting people to soft luggage , is there ?

Neetu Kashiramka: Not attracting , there are some consumers who are still hooking on to soft luggage because of the ease of opening and also less breakages , so basically, only after you use you know the pluses and minuses, hard luggage is definitely prone to more breakages versus soft luggage.

Perna Jhunjhunwala : Okay . So people are shifting back .

Neetu Kashiramka: I won't say shifting back, it's like their preference is soft luggage, and therefore they need and these consumers are actually the premium consumers who are eyeing for soft luggage. People moved from soft luggage to hard luggage mostly in the entry points because of the Rs.1,000
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reduction in the OPP , so soft luggage opening price point used to be Rs.2,500. However, hard luggage opening price point started with Rs. 1,499 that is where the low end totally shifted but premium consumers, there is a set of consumer who are still liking soft luggage, and that will remain . So 30% in the upright soft luggage will definitely have a share and that is good for us, because we are the best in soft luggage across the industry.

Perna Jhunjhunwala : Yes, make sense. In terms of sourcing, how are we using our Bangladesh facilities , is it completely on soft luggage even today or we have started with hard luggage over there ?

Neetu Kashiramka: Only 20% capacity remains for soft luggage upright now, balance is duffels and backpacks, and as we speak we are utilizing 90% of our capacity.

Perna Jhunjhunwala : Okay . Ma'am, is there any capacity available in hard luggage as well in India, because this we don't clearly fully utilized at 90% in Bangladesh ?

Neetu Kashiramka: Bangladesh is soft luggage, and we can increase capacity in Bangladesh just by increasing the

number of hours of shift. Today , we are doing eight hours of work , we can make it 10 hours and 12 hours, and then we can increase the shift , so the capacity can be doubled by just adding one more shift.

Perna Jhunjhunwala : Okay . And what is the situation in Indian capacity ?

Neetu Kashiramka: No constraint , it's always a constraint remains with the assembly, which is easy to do , we do not have constraint on shell blowing and injection molding . .

Perna Jhunjhunwala : Okay. And how do we see the trajectory for margins going forward because you have seen, even if 50% gross margins because of other expenses being higher while we repair our balance sheet, our margins have not turned up higher. So how do we see the EBITDA margin panning out for you going forward?

Manish Desai: We would not have to give any forward guidelines, but you can understand from the current year which we have talked about repairing the balance sheets, although we work parallelly on the growth. You heard MD talking about various steps we have taken on the cost optimization, including the manpower and the other related cost this all should go into improving our EBITDA margin as we move forward.

Neetu Kashiramka: And it will be visible from Quarter 1 itself , it's just matter of two, three months to see.

Perna Jhunjhunwala : Okay . And last question on advertisement expenditure , then I will come back to the question queue again . Advertisement expense , do we see a substantial increase this year, or it should be at last year's level?

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Neetu Kashiramka: I would say that we will earn to spend, and whatever spending's we are doing is basis what we have earned , so it will definitely increase from last year, but not disproportionately.

Perna Jhunjhunwala : So what percentage can we look at ?

Neetu Kashiramka: Additional 2%.

Moderator: Thank you. The next question comes from the line of Shirish Pardesi from Motilal Oswal Financial Services Limited. Please go ahead.

Shirish Pardesi: Just two quick questions, on the retail front, general paid and retail, what is the March closing inventory you are working with, at the shelf ?

Manish Desai: You are talking about the retail channel, distributors and retailers, or stores, or our own stores .

Shirish Pardesi: Retail and general trade ?

Manish Desai: General trade would not be high , the last 10 days were going in to clean up the shelf and other stuff to make available for the Muhurat billing , so you won't expect high accumulation of inventory with the retail channel .

Neetu Kashiramka: 15 to 20 days of inventory.

Shirish Pardesi: And what kind of DSO we work with general trade ?

Neetu Kashiramka: Seven days.

Shirish Pardesi: Okay , my second question is, on the journey which you walked about last one year, looking at new designs and new colors and more to suiting with the new Gen Z population. So the quick question here is that, what is the contribution of this efforts which you have made in terms of overall sales, in terms of volume or value you can share?

Neetu Kashiramka: In the current year of FY'26 we estimate 40% of our revenue to come from new collection.

Shirish Pardesi: And what was that number in FY25?

Manish Desai: Somewhere around 25 % to 28% .

Shirish Pardesi: Just last follow up on this, this all new collection which you have launched in the market, is the

gross margin is better than your overall company gross margin, or I am again asking gross margin, not EBITDA.

Neetu Kashiramka: It is yes .

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Shirish Pardesi: And what difference would it be?

Manish Desai: We would not like to quantify it, given the confidentiality.

Shirish Pa

rdesi: So, for example if you are targeting 50% is the ambition , will it go to 55% if that number comes to 45% ?

Neetu Kashiramka: It won't go to 55 %, it can go to 52% 53%.

Manish Desai: Again this 55% is going to come from the existing lineup, and we have to calibrate on the price point, so definitely it will have a major effect.

Moderator: Thank you. The next question comes from the line of Prachi Kotek al from B ay Capital Investment Advisors . Please go ahead.

Prachi Kotekal: So, if I recall in your concall , post Q3 results you had guided for a double digit exit EBITDA for this year, around 12% if I remember correctly. And, obviously we have not sort of a chieve that. I just wanted to understand, when you gave that double digit EBITDA guidance you would have had certain expectations in mind of how things would pan out and how they have actually panned out. Just wanted to understand where are the big misses between where you had guided and what has actually happened. A few areas you could help us understand why we have missed that guidance would be very helpful.

Neetu Kashiramka: One, biggest thing is that we took some calls in the view of reduction in inventory to sell some of the items at cost or slight very little margin. Second we also decided to have lower inventories with the channel partners all this we have done for a susta inable future growth.

Otherwise, lot of our channel partners were unhappy because they were holding stocks, and therefore their ROIs were also low. I wanted to start my FY' 26 with a positive note , therefore we took some of those calls and we did inventory provision so basically the idea was that , let's leave the baggage in FY '25 and start FY'26 with a positive note .

Prachi Kotekal: Understood , okay. So your expectations for a double digit margin in FY' 26 does that still stand or we could expect ?

Neetu Kashiramka: See, I don't want to give guidance 's therefore, let's see 1st Q uarter, and then maybe we can then further discuss .

Prachi Kotekal: Understood . And on the pricing, intensity , the competition, last two months almost or one and a half month of thi s year. If you could just give us some sense, has it cooled down or has it intensified?

Neetu Kashiramka: I would say in last 45 days it has been same, I don't see it has intensified. I believe that some common sense will prevail in everybody and I feel th is is the bottom where we have reached

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below this I don't think anybody can survive. We are not seeing that kind of pressure below what we are already there.

Prachi Kotekal: Okay, so this is the bottom you feel ?

Neetu Kashiramka: Yes. As an organization al so I feel worst is behind us.

Moderator: Thank you. The next question comes from the line of Ritesh Gandhi from Discover Capital. Please go ahead.

Ritesh Gandhi: This is just a follow up on the last person's question. Look, this was the halfway through February, where we were talking about double digit like 12% EBITDA exit run rate. And even earlier, when we had met we had discussed that there were certain amount of rationalization of expenses which had already happened, so it would like naturally move up and that the numbers were already in the bag . So, what would be helpful is that , we understand that and we appreciate that you are accepting that we have missed the number, but just wanted to understand that with a little bit more granularity of how much of it was inventory hit, or how come we hadn't already realized that some of our clients were actually holding the inventory and that there were pricing it, we were going to take just wanted to understand this little work of granularity because this isn't a small miss , it's a very, very large miss.

Neetu Kashiramka: One thing on inventory with channel

partners , in February we did some meetings , we did

conferences, roadshows, and we met some of the large channel partners from top 25 . This was a common problem which everybody alluded and as an organization we took this big call , that for a future sustainable business going forward we need to take those kind of tough calls. .

Whether we should have spoiled one quarter or we should spoil few years that was the balancing which had to be done. The second thing on inventory, definitely we had plans to

reduce slow moving inventory to maximum. We always know that if we are planning to do 100, sometimes that 100 has not happened and therefore again, I thought let's take this provision so that we don't have these kind of baggages hanging around us in future. Those two big calls which we took made this happen .

Manish Desai: Right, those are the two critical things .

Neetu Kashiramka: We compromised 1 Quarter versus confidence of our channel partners for future .

Ritesh Gandhi: No, but what I was asking was that , if you were expecting to already be at a 12% EBITDA things we were expecting in the February when we had the call, would already have been normalized then it would be a little bit strange for not for us by then not to already have a feedback from channel partners. Know the inventory they have, know the ROI which they are taking, and for it to just happen over the last minute.

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Neetu Kashiramka: Actually, we started doing conferences and meetings after 15th of February. This is when we had open discussions and we took those decisions, on 3rd or 4th February when we met, we had not made up our mind, or I did not know the granularity of the problem maybe .

Ritesh Gandhi: Okay . And is there a reporting issue , is there an MIS issue , is there a communication issue that we already know that , that our channel partners are unhappy with that, just want to understand that?

Neetu Kashiramka: Channel partners will not come directly and talk to me on a daily basis . This was my initiative, I wanted to meet them and make them happy for next year. I spent 15 -20 days in the market , and this is what I realized was the biggest problem for us and I wanted to solve it.

Manish Desai: This is also in -line with the Shubmuhurat preparation, when we do it, we will find out a channel check in more detail.

Ritesh Gandhi: Okay. And the other question is that, with regards to given the overall increase in kind of comparative intensity which is not there in the industry, while the industry growth rate obviously continues to be robust, obviously the comparative intensity from the D2C, et cetera, has increased materially. Do you think that could lead to a structural impact on our overall profitability and goes up marginal levels and this is only an exceptional year, and the structurally we will have a lower margins ?

Neetu Kashiramka: Structurally things have changed a little bit. For example, in the past, we have made 17 % to 18% EBITDA, but we are not saying that we will go back there. We are saying that it should be in the range of 12 % to 15% , so some structural changes have happened, which means that our realizations have come down. I don't think it is going to go up meaningfully, or it is going to go up to the extent it used to be three years ago, because there is a structural change in the hard luggage mix and the hard luggage opening price points. We have reach a rock bottom from here, it will go up, but not to the extent from where it came down .

Moderator: Thank you. The next question comes from the line of Nitin Jain from Value Investments. Please go ahead.

Nitin Jain: So before I ask my question, just a piece of feedback, which I had given last quarter as well, just to reiterating it now, if you could release the investor pres

entation a little in advance, rather

than just five minutes before the call, it will be helpful. Thank you.

Neetu Kashiramka: Yes, definitely.

Nitin Jain: So, my questions are, what is the quantum of debt reduction we are planning in this FY '26 and the second question is, some of the expenses like professional fees and product road shows,

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et cetera that have bumped up the other expenses this quarter. So which of these do you think are one off and which one could repeat in H1. Thank you.

Neetu Kashiramka: Reduction in debt Rs.125 crore , and legal and professions 50% is one off, which will not be there in H1. These road shows are done in March, but not to the extent what we did this time on a lower scale, but this time we did definitely on a larger scale for us to basically talk to our channel partners that we are back .

Nitin Jain: And in the dealer conferences would be one of f as I understand?

Neetu Kashiramka: Yes.

Moderator: Thank you . Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Manish Desai from VIP Industries Limited for his closing remarks.

Manish Desai: So, I hope we have answered all the questions satisfactorily, if anyone still remain in the queue, I would request them to reach out us and we will definitely provide clarification and answers to it. Thank you and have a good evening to all of you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of VIP Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2025

12th August , 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal St, Kala Ghoda, Fort,
Mumbai – 400 001.

Code No. 507880 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051.
Code – VIPIND

Subject: Transcript of Earnings Conference Call on Un-audited Financial Results (Standalone and Consolidated) for the quarter ended June 30 , 2025

Dear Sir/Madam,

Please find enclosed herewith transcript of the Earnings Conference Call held on August 07, 2025 on the Un -audited Financial Results (Standalone and Consolidated) for the quarter ended June 30 , 2025. The same is also available on the Company's website https://vipindustries.co.in/investor/investor_con_call_transcript

Kindly take the same on record.

Thanking you,

Yours faithfully,

For V.I.P. Industries Limited

Ashitosh Sheth
Company Secretary & Head – Legal
ACS 25997

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VIP Industries Limited
Q1 FY '26 Earnings Conference Call
7th August, 2025

MANAGEMENT

MS. NEETU KASHIRAMKA – MANAGING DIRECTOR - VIP INDUSTRIES LIMITED

MR. MANISH DESAI - CHIEF FINANCIAL OFFICER - VIP INDUSTRIES LIMITED

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Moderator : Ladies and gentlemen, good afternoon and welcome to the Q1 FY '26 Earnings Conference Call of VIP Industries Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Devyanshi Dave from Adfactors PR Investor Relations team. Thank you and over to you , ma'am.

Devyanshi Dave: Thank you. A very good evening to everyone and welcome to the Q1 FY '26 Earnings Call of VIP Industries Limited .

From the senior management, we have with us Ms. Neetu Kashiramka , Managing Director ; and Mr. Manish Desai, Chief Financial Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today 's call may be forward -looking in nature, and hence, may involve risks and uncertainties, including those related to the future financials and operating performance of the company .

I would now like to hand over the call to Ms. Neetu Kashiramka for her opening remarks. Thank you and over to you, ma'am.

Neetu Kashiramka : Good afternoon , everyone. Thank you for joining the call. We announced our first quarter results for FY '26 yesterday.

Let me start by commenting on the operating environment. India 's travel sector continues to be on the growth trajectory. Leading hotel chains have reported encouraging occupation data. Domestic air passenger traffic has also held on to sustainable growth. India 's travel boom is also replicated in the continuous new entrants in luggage and travel allied industries.

As mentioned in my previous quarter as well, competitive intensity continues in the sector, especially , in the lower end of the market and more so in e -commerce channels. Multiple new entrants have been establishing exclusive partnerships with major e -commerce portals, leaving established players with a hard bargain. On the other hand, some of th e established brands in the value segments are also becoming more aggressive through reduced pricing to gain market share.

Coming to our quarter performance, for the first time in five quarters, volume growth has become a concern for us along with value. This is mainly on account of e -commerce secondary sales, which reported a sudden drop since the beginning of the quarter. This in turn impacted VIP Industries Limited – 7th August, 2025

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our primary sale drastically. A channel which was giving us higher double -digit growth actually de-grew by 17%. We have definitely taken some immediate corrective actions on the same and are hoping to see revival in quarter two, which is a big quarter for e -commerce channels. Moving on to the profitability, some one -time costs have pushed down our margins for the quarter. Without the impact of these one -time non -recurring items, our gross margin stood at 48% and EBITDA margin is at 10%. Without the impact of these one -offs, we continue to report sequential improvement both in gross margin as well as EBITDA. In add ition to our one -time expenses, this EBITDA margin also has an expenditure of recent mega marketing brand , which we conducted in April and May.

I would further like to highlight that despite a double -digit de -growth in revenue, we have been able to hold an adjusted EBITDA of 10%. This reflects our structural efforts on costs and expenses. Further, Bangladesh capacity utilization in the quarter was upward of 80% and generated operating profits of Rs. 8 crore versus a loss of Rs.

11 crore in quarter one last year.

Our sustainable premiumization strategy continued to show green shoots with Carlton reporting a double -digit growth in quarter one.

Hard luggage continued to be on the growth trajectory. We have always been committed to presenting best -in-class of ferings to our customers as is visible in all our new launches which have been showcased in our presentation. In our endeavor to be a one -stop solution for travel, we continuously strive to address customer challenges. Lost luggage is a key concern for man y consumers. To tackle the same, we are about to launch a first -time in industry Smart Bag Tag . Select purchases from House of VIP brands will get a QR -enabled luggage tag, making travel stress free for all our consumers.

Irrespective of quarter one challenges, we all know that VIP is still a household name and the most reliable brand in the category due to its quality , which will definitely help us gain market share going forward.

Thank you and open for questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Tejas Shah from Avendus Spark . Please go ahead.

Tejas Shah : Hi. Thanks for the opportunity. From your numbers, it appears that saliency on modern trade and e-commerce both has declined. You partly addressed the e-commerce part in your opening remarks. But anything specific that you can call out on both these channels? And are you more concerned about the demand at consumer end or is it more to do with intensity in both of these channels?

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Neetu Kashiramka : I think , it is more to do with competitive intensity. There is no issue on consumer demand per se. Both these channels are having a similar issue of lower price point. Like cabin luggage are getting sold at less than Rs. 1,100 .

Tejas Shah : And are those players making money according to assessment or they are losing money as we speak?

Neetu Kashiramka : According to me, they will be losing. And some of these are new entrants , they have just entered. Some of them have actually had exclusive partnership with some of the portals. They are like only available on that portal. So that is actually a volume game.

Tejas Shah : Okay and offline modern trade, some of the other category players have called out that one large player is kind of consolidating its presence in terms of stores. Did you also face any of this?

Neetu Kashiramka : Yes. Same thing, actually.

Tejas Shah : Despite all the challenges and controversy, Carlton actually did well in the quarter. So is it largely the primary sales , which got booked then will have some follow up effect later and how should we think about future of that brand now?

Neetu Kashiramka : Carlton is never only primary , because 80% of the Carlton revenue comes from our stores, which is direct billing to consumer. There is no big primary per se. So Carlton, whatever sales is actually sales to the consumer. There is no after effect. However, in July, we had some disruption because of that judgment. I hope you must be following it. There was a judgment whereby we were refrained from selling from 1st July. And then that order got, I think we started selling from 1st August. So 30 days we were not able to sell Carlton.

Tejas Shah : Where do we stand on that now?

Neetu Kashiramka : As of now, the legal battle is on. But yes, the restriction on selling has been removed. But still it is in the court. We will have to wait and watch.

Tejas Shah : I am not sure if Mr. Piramal and Radhika are on the call. But please convey my congratulations on building one of India's most iconic luggage brands. Wishing them very best as they pass on the baton now. Thanks a lot.

Neetu Kashiramka : Yes, definitely. Thank you.

Moderator : Thank you. The next question is from the line of Shirish Pardeshi from Motilal Oswal . Please go ahead.

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Shirish Pardeshi : On slide 18, you have given the value and revenue split , I was more curious if you put together modern trade and e-commerce. And if I go back your commentary five minutes that we have lost volume. What percentage of volume comes from these two channels put together? Is it substantially very high?

Neetu Kashiramka : Close to 50 %.

Shirish Pardeshi : Okay. And this volume loss is primarily in the lower end of the luggage or it is across?

Neetu Kashiramka : It is on the absolute lower end where actually we did not exist. But now we are coming there also. So that is where it is. So we are going to have some play with Alfa. We have one brand called Alfa. We are going to fight this battle through Alfa.

Shirish Pardeshi : Within that 50%, this lower end would be again substantial?

Neetu Kashiramka : Yes.

Shirish Pardeshi : Okay.

Neetu Kashiramka : 90% of our revenue on e-commerce is actually Aristocrat .

Shirish Pardeshi : The second question on the old inventory and what is the status today? And maybe on the insurance claim, I could see something. But what is pending and what is that we can expect by when we will get the insurance claim back?

Manish Desai : Are you referring to a Bangladesh one?

Shirish Pardeshi : Yes.

Manish Desai : Yes. So Bangladesh, I would say that we did receive close to seven crore in this last quarter and we are hopeful of getting further into the quarter too. However , if I look from the claim submission perspective, the collection even with the future one will fall around 50%. The balance also we are aggressively pursuing with them. And hopefully , by the next six months to seven months, we are expecting to collect all our legitimate dues from the insurance.

Neetu Kashiramka : So after this there is Rs. 30 crore pending .

Shirish Pardeshi : How much of the old inventory is left now as on June 2025?

Manish Desai : I would say that , if I look from the composition of the basket perspective, it will be somewhere between 15 % to 18%, which we are pursuing for liquidations in the coming quarters.

Neetu Kashiramka : We have taken a Rs. 15 crore provision also in quarter one.

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Manish Desai : Considering the velocity of the sale, we did take provisions. And what numbers I am showing, what I just told you about it, that is what we are targeting to liquidate as well.

Shirish Pardeshi : That is really helpful. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Jinesh Joshi from PL Capital . Please go ahead.

Jinesh Joshi : Yes. Thanks for the opportunity. My question is pertaining to the inventory provisioning outlook. I mean, you mentioned that in this quarter, we took a provisioning of about Rs. 15 crore and I think , if I remember right in the last quarter, that number was about Rs. 5 crore .

And in response to previous participants ' questions, you mentioned that the old inventory sitting on the balance sheet is about 15 % to 18% of the total basket. So basically the question is, given the quantum is 15% to 18%, should we expect further provision going ahead? Or I mean, have all the accruals been taken care of?

Manish Desai : Let me tell you, chief, it all depends upon in case of raw material, how are we putting into the utilization and in terms of the FG, how I am putting on for the sale of those inventories. Based upon those velocity , going on the range and the SKUs and the categories, the provision has been decided.

And looking into the quarter two

, which is the festival period and the gifting period, we are reasonably sure that we should be able to liquidate most of the slow -moving inventories and will not require to make any additional provision. But it all, as I said, we do measure out the velocity and then take appropriate call in order to carry out the provision in books of accounts.

Jinesh Joshi : We got that. When we provide for it, I mean, does it technically imply that this inventory predominantly will get sold below cost? Is that what you mean?

Neetu Kashiramka : No. We never sold at below cost. Even during COVID, we were sitting with more than one year inventory. Still, we never sold below cost.

Jinesh Joshi : Then in that case, what does this provision pursue into?

Neetu Kashiramka : So basically, the provision will mean that there is a risk to that extent. And therefore, I am providing . A hypothetical example, if there is a Rs. 15 crore of inventory sitting with a slow -moving, if let us assume in a quarter, I sell all that Rs. 15 crore , then this Rs. 15 crore will get reversed.

Manish Desai : Basically, the time it takes to liquidate and taking into the past what the trend is reflecting, the provision gets worked out. So , just to give a lead to the example of what MD said, out of Rs. 50 crore , and we would go as a range wise and category wise, I am finding that the percentage of sale in the quarter for the inventory more than one year, falling short of the threshold what we agreed, those differences or delta gets provided on a cost basis.

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Neetu Kashiramka : That does not mean it is a loss already. It is just in anticipation, to be more conservative, we are providing.

Jinesh Joshi : Understood. And Madam, beyond the inventory provisioning number of Rs. 15 crore , I think we have also stated in our PPT that there was some one -off cost, which may be other expenses.

If you can specifically call out what is the quantum and the nature of this cost?

Manish Desai : The quantum is closer on Rs. 10 odd crore to Rs. 11 odd crore . And this is comprising of many heads. We will not like to spell out very clearly on this front. But these are the one -off and non -recurring in nature.

Neetu Kashiramka : Yes, legal and professional.

Jinesh Joshi : Sure. One last question from my side. I think in the last call, we had mentioned that for FY '26 , we are planning an inventory reduction of about Rs. 150 crore and debt reduction of approximately Rs. 130 crore . So, is it possible to kind of call out what kind of reduction have we achieved in Q1? Or maybe if you can just share the inventory or debt number as of Q1, that would be helpful.

Neetu Kashiramka : It is there in our presentation, actually.

Manish Desai : So, I would say that in terms of the inventory reduction, it was around Rs. 20 crore to Rs. 22 crore . I am talking about the net of provision. Otherwise, if you add the provision, it goes Rs. 35 odd crore and in terms of debt reduction, we remain at the level of March 2025. But we have not moved out on either on the FY'25 - '26. We are still hopeful that we should be able to control or reduce the inventory and debt at the targeted level.

Jinesh Joshi : Understood. Thank you. Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Madhuchanda Dey from MC Pro . Please go ahead.

Madhuchanda Dey : Hi, my name is Madhuchanda Dey . So my question is to Neetu ma'am. Ma'am, you have been mentioning about this in your previous conference call s as well, that there is a change in consumer behavior pattern. The replacement cycle has shortened. And the ownership of luggage, people are going in for low ticket luggage. And th at seems to be playing out as you were referring to the competition at the lower end.

So, how does this fit in with your strategy of premiumization that you have been referring to all along?

Neetu Kashiramka : There are two things which are happening in the country , okay. Especially , in our industry , one, there is a premiumization which is playing out, which is already visible because Carlton has grown by double -digit. However, the lower end, but if you see the population of our country, 85% of the people fall in the lower category. And that is where the growth which we are seeing
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in that end is much larger than what we can see on the top end. But as a base, premium is definitely growing faster or equivalent to what the lower end is growing. But the lower end is 80% of the market.

Madhuchanda Dey : What you are suggesting where the competition is hitting you hard is in the e-comm . Do you think this e-comm channel is predominantly that botto m 80%?

Neetu Kashiramka : Not only e -commerce , I said 80% of the revenue today is coming from the lower end of the spectrum, maybe products below Rs. 3,000. So these products are not only sold on e -commerce, it is sold across.

Madhuchanda Dey : Do you see VI P kind of revamping the entire portfolio in light of this? Do you see a need for revamp ?

Neetu Kashiramka : I would like to reframe too much of a future looking statements in this call, mainly because we are in the transition phase where shareholder change is going to happen soon. So there might be some strategy changes. And therefore, I will refrain myself from talking on too much of a futuristic strategy, etc. on this cal l.

Madhuchanda Dey : Okay, understood. Thank you.

Moderator : Thank you. The next question is from the line of Perna Jhunjunwala from Elara Securities. Please go ahead.

Perna Jhunjunwala : Thank you for the opportunity. Ma'am just wanted to understand the margin for this quarter at around 4%. Given this quarter is largely marriage season and where premium sales also take a good jump, do you think that margin should have been better in this quarter as compared to our past performances? Like in last year, sa me quarter we were at 8% and this year we are at 5%, from that perspective.

Neetu Kashiramka : So if you see the adjusted EBITDA, it is 10 %. Because inventory provision is not something , which we keep doing every month or every quarter. And there were some other expenditures. So, if I remove that, our margin was 10%. Also , understand our revenue has a de -growth of minus 12 %. So in spite of a minus 12% degrowth, if we are able to generate an adj usted EBITDA of 10%, it is better. Otherwise, if let us assume I would have done a flat revenue, then this margin would have been almost 12 % to 13%, 4% better.

Perna Jhunjunwala : Okay. And I missed your initial commentary. Why would we have a degrowth in this quarter given that last year same quarter was also weak?

Neetu Kashiramka : Mainly because of competitive intensity. Mainly because we had a big primary reduction in our e-commerce channel because the secondaries at e -commerce channel de -grew mainly b ecause of new entrance into the marketplace. So luggage was sold at Rs. 1,100 at the lower end cabin
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size which impacted our secondaries and therefore , primary did not happen. And for the first time, our e -commerce channel after eight quarters or nine quarters had a degrowth. That impacted our first quarter revenue in a big way.

Perna Jhunjunwala : Ma'am, I also noticed the share of modern channel weakening in this quarter. What could be the reason for the same?

Neetu Kashiramka : One of the large chain is actually consolidating and reducing the number of stores , which has impacted our overall modern trade share.

Perna Jhunjunwala : Will that impact continue?

Neetu Kashiramka : We will have to wait and watch.

Perna Jhunjunwala : There are no indications from the large chain that you are talking about of any further consolidation as of now?

Neetu Kashiramka : No, not yet.

Prerna Jhunjhunwala : Any capex plans for the year that you would want to call out?

Neetu Kashiramka : Nothing major. It will be maintenance capex .

Prerna Jhunjhunwala : Maintenance capex, ok. Any color on Caprese ? Any movement over there on demand and supply perspective?

Neetu Kashiramka : As of now, it is maintaining its saliency. Nothing big ,we have enough other matters. This actually is something where focus is less because of the other challenges.

Prerna Jhunjhunwala : Okay. Understood, ma'am. Thank you and all the best.

Neetu Kashiramka : Thank you.

Moderator : Thank you. As there no further questions from the participants , I now hand the conference over to Mr. Manish Desai from VIP Industries Limited for closing comments. Over to you, sir.

Manish Desai : Yeah. Good afternoon to all of you and thank you for attending the call. I hope that we have been able to answer all your observations. If it is still left out anything, we are there to answer or we are there to connect with you. Thank you and have a very good evening.

Neetu Kashiramka : Thank you.

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Moderator : Thank you. On behalf of VIP Industries Limited, th at concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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